

Hilltops Council

ANNUAL FINANCIAL STATEMENTS
for the year ended 30 June 2020



Hilltops Council

GENERAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2020



General Purpose Financial Statements

for the year ended 30 June 2020

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Overview

Hilltops Council is constituted under the Local Government Act 1993 (NSW) and has its principal place of business at:

189 Boorowa Street
Young NSW 2594

Council's guiding principles are detailed in Chapter 3 of the LGA and includes:

- principles applying to the exercise of functions generally by council,
- principles to be applied when making decisions,
- principles of community participation,
- principles of sound financial management, and
- principles for strategic planning relating to the development of an integrated planning and reporting framework.

A description of the nature of Council's operations and its principal activities are provided in Note 2(b).

Through the use of the internet, we have ensured that our reporting is timely, complete and available at minimum cost. All press releases, financial statements and other information are publicly available on our website: www.hilltops.nsw.gov.au.

Hilltops Council

General Purpose Financial Statements

for the year ended 30 June 2020

Statement by Councillors and Management made pursuant to Section 413(2)(c) of the Local Government Act 1993 (NSW) (as amended)

The attached General Purpose Financial Statements have been prepared in accordance with:

- the *Local Government Act 1993* (NSW) (as amended) and the regulations made thereunder,
- the Australian Accounting Standards and other pronouncements of the Australian Accounting Standards Board
- the *Local Government Code of Accounting Practice and Financial Reporting*.

To the best of our knowledge and belief, these statements:

- present fairly the Council's operating result and financial position for the year
- accord with Council's accounting and other records.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 24 February 2021.



Clr Brian Ingram

Mayor

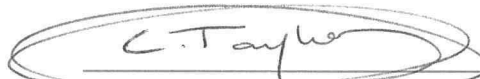
31 March 2021



Anthony O'Reilly

General Manager

31 March 2021



Courtney Taylor

Responsible Accounting Officer

31 March 2021

Income Statement

for the year ended 30 June 2020

Original unaudited budget 2020	\$ '000	Notes	Actual 2020	Actual 2019
	Income from continuing operations			
23,159	Rates and annual charges	3a	23,393	22,384
18,116	User charges and fees	3b	8,905	14,302
887	Other revenues	3c	649	569
13,732	Grants and contributions provided for operating purposes	3d,3e	16,014	20,645
11,728	Grants and contributions provided for capital purposes	3d,3e	17,651	10,825
1,262	Interest and investment income	4	322	1,281
–	Net gains from the disposal of assets	6	99	459
–	Rental income	12e	568	–
68,884	Total income from continuing operations		67,601	70,465
	Expenses from continuing operations			
20,464	Employee benefits and on-costs	5a	21,068	21,224
940	Borrowing costs	5b	744	1,323
19,260	Materials and contracts	5c	16,331	22,390
16,834	Depreciation and amortisation	5d	17,920	16,991
6,781	Other expenses	5e	4,474	4,540
–	Revaluation decrement / impairment of IPP&E	5d	–	646
64,279	Total expenses from continuing operations		60,537	67,114
4,605	Operating result from continuing operations		7,064	3,351
4,605	Net operating result for the year		7,064	3,351
–	Net operating result attributable to council		7,064	3,351
(7,123)	Net operating result for the year before grants and contributions provided for capital purposes		(10,587)	(7,474)

The Council has not restated comparatives when initially applying AASB 1058 *Income of Not-for-Profit Entities*, AASB 15 *Revenue from Contracts with Customers* and AASB 16 *Leases*. The comparative information has been prepared under AASB 111 *Construction Contracts*, AASB 118 *Revenue*, AASB 1004 *Contributions*, AASB 117 *Leases* and related Accounting Interpretations.

The above Income Statement should be read in conjunction with the accompanying notes.

Statement of Comprehensive Income

for the year ended 30 June 2020

\$ '000	Notes	2020	2019
Net operating result for the year (as per Income Statement)		7,064	3,351
Other comprehensive income:			
Amounts which will not be reclassified subsequently to the operating result			
Gain (loss) on revaluation of IPP&E	10(a)	51,976	3,475
Total items which will not be reclassified subsequently to the operating result		51,976	3,475
Amounts which will be reclassified subsequently to the operating result when specific conditions are met			
Realised (gain) loss on financial assets at fair value through other comprehensive income		—	785
Total items which will be reclassified subsequently to the operating result when specific conditions are met		—	785
Total other comprehensive income for the year		51,976	4,260
Total comprehensive income for the year		59,040	7,611
Total comprehensive income attributable to Council		59,040	7,611

The Council has not restated comparatives when initially applying AASB 1058 *Income of Not-for-Profit Entities*, AASB 15 *Revenue from Contracts with Customers* and AASB 16 *Leases*. The comparative information has been prepared under AASB 111 *Construction Contracts*, AASB 118 *Revenue*, AASB 1004 *Contributions*, AASB 117 *Leases* and related Accounting Interpretations.

The above Statement of Comprehensive Income should be read in conjunction with the accompanying notes.

Statement of Financial Position

as at 30 June 2020

\$ '000	Notes	2020	Restated 2019	Restated 1 July 2018
ASSETS				
Current assets				
Cash and cash equivalents	7(a)	22,048	11,361	28,663
Investments	7(b)	14,199	27,056	21,315
Receivables	8	10,760	18,739	9,656
Inventories	9a	906	875	1,090
Contract assets	11a	3,378	—	—
Other	9b	26	26	1
Total current assets		51,317	58,057	60,725
Non-current assets				
Infrastructure, property, plant and equipment	10(a)	639,229	573,966	563,109
Right of use assets	12a	522	—	—
Total non-current assets		639,751	573,966	563,109
Total assets		691,068	632,023	623,834
LIABILITIES				
Current liabilities				
Payables	13	6,277	6,977	5,804
Income received in advance	13	—	499	454
Contract liabilities	11b	6,997	—	—
Lease liabilities	12b	109	—	—
Borrowings	13	1,910	1,343	1,344
Provisions	14	5,566	7,036	6,633
Total current liabilities		20,859	15,855	14,235
Non-current liabilities				
Payables	13	73	30	555
Lease liabilities	12b	430	—	—
Borrowings	13	17,184	10,513	11,865
Provisions	14	9,839	8,219	7,384
Total non-current liabilities		27,526	18,762	19,804
Total liabilities		48,385	34,617	34,039
Net assets		642,683	597,406	589,795
EQUITY				
Accumulated surplus	15	565,717	572,416	569,065
Revaluation reserves	15	76,181	24,205	20,730
Other reserves	15	785	785	—
Council equity interest		642,683	597,406	589,795
Total equity		642,683	597,406	589,795

The Council has not restated comparatives when initially applying AASB 1058 *Income of Not-for-Profit Entities*, AASB 15 *Revenue from Contracts with Customers* and AASB 16 *Leases*. The comparative information has been prepared under AASB 111 *Construction Contracts*, AASB 118 *Revenue*, AASB 1004 *Contributions*, AASB 117 *Leases* and related Accounting Interpretations.

The above Statement of Financial Position should be read in conjunction with the accompanying notes.

Statement of Changes in Equity

for the year ended 30 June 2020

		as at 30/06/20				as at 30/06/19			
		Accumulated surplus	IPP&E revaluation reserve	Financial assets at FVOCI	Total equity	Accumulated surplus	IPP&E revaluation reserve	Financial assets at FVOCI	Total equity
\$ '000	Notes					Restated	Restated	Restated	Restated
Opening balance		572,416	24,205	785	597,406	569,065	20,730	—	589,795
Changes due to AASB 1058 and AASB 15 adoption	15	(13,763)	—	—	(13,763)	—	—	—	—
Changes due to AASB 16 adoption	15	—	—	—	—	—	—	—	—
Restated opening balance		558,653	24,205	785	583,643	569,065	20,730	—	589,795
Net operating result for the year as reported in the 2018 financial statements		7,064	—	—	7,064	3,351	—	—	3,351
Restated net operating result for the period		7,064	—	—	7,064	3,351	—	—	3,351
Other comprehensive income									
— Gain (loss) on revaluation of IPP&E	10(a)	—	51,976	—	51,976	—	3,475	—	3,475
— Realised (gain) loss on financial assets at fair value through other comprehensive income		—	—	—	—	—	—	785	785
Other comprehensive income		—	51,976	—	51,976	—	3,475	785	4,260
Total comprehensive income		7,064	51,976	—	59,040	3,351	3,475	785	7,611
Equity – balance at end of the reporting period		565,717	76,181	785	642,683	572,416	24,205	785	597,406

The Council has not restated comparatives when initially applying AASB 1058 *Income of Not-for-Profit Entities*, AASB 15 *Revenue from Contracts with Customers* and AASB 16 *Leases*. The comparative information has been prepared under AASB 111 *Construction Contracts*, AASB 118 *Revenue*, AASB 1004 *Contributions*, AASB 117 *Leases* and related Accounting Interpretations.

The above Statement of Changes in Equity should be read in conjunction with the accompanying notes.

Statement of Cash Flows

for the year ended 30 June 2020

Original unaudited budget 2020	\$ '000	Notes	Actual 2020	Actual 2019
Cash flows from operating activities				
Receipts:				
23,159	Rates and annual charges		22,435	21,871
18,116	User charges and fees		9,367	13,229
1,262	Investment and interest revenue received		491	1,259
25,460	Grants and contributions		26,677	30,374
–	Bonds, deposits and retention amounts received		464	–
887	Other		5,868	(1,529)
Payments:				
(20,362)	Employee benefits and on-costs		(21,003)	(21,867)
–	Bonds, deposits and retention amounts refunded		–	(84)
(19,260)	Materials and contracts		(15,598)	(28,780)
(890)	Borrowing costs		(801)	(1,437)
(6,781)	Other		(6,217)	519
21,591	Net cash provided (or used in) operating activities	16b	21,683	13,555
Cash flows from investing activities				
Receipts:				
–	Deferred debtors receipts		–	1
11,928	Sale of investment securities		12,855	17,250
–	Sale of real estate assets		–	(2)
887	Sale of infrastructure, property, plant and equipment		428	973
Payments:				
(10,502)	Purchase of investment securities		–	(22,206)
(28,898)	Purchase of infrastructure, property, plant and equipment		(31,416)	(25,531)
–	Purchase of real estate assets		–	11
(26,585)	Net cash provided (or used in) investing activities		(18,133)	(29,504)
Cash flows from financing activities				
Receipts:				
7,144	Proceeds from borrowings and advances		8,644	–
Payments:				
(2,150)	Repayment of borrowings and advances		(1,406)	(1,353)
–	Lease liabilities (principal repayments)		(101)	–
4,994	Net cash flow provided (used in) financing activities		7,137	(1,353)
–	Net increase/(decrease) in cash and cash equivalents		10,687	(17,302)
–	Plus: cash and cash equivalents – beginning of year	16a	11,361	28,663
–	Cash and cash equivalents – end of the year	16a	22,048	11,361
–	plus: Investments on hand – end of year	7(b)	14,199	27,056
–	Total cash, cash equivalents and investments		36,247	38,417

The Council has not restated comparatives when initially applying AASB 1058 *Income of Not-for-Profit Entities*, AASB 15 *Revenue from Contracts with Customers* and AASB 16 *Leases*. The comparative information has been prepared under AASB 111 *Construction Contracts*, AASB 118 *Revenue*, AASB 1004 *Contributions*, AASB 117 *Leases* and related Accounting Interpretations.

The above Statement of Cash Flows should be read in conjunction with the accompanying notes.

Notes to the Financial Statements

for the year ended 30 June 2020

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Notes to the Financial Statements

for the year ended 30 June 2020

Note 1. Basis of preparation

These financial statements were authorised for issue by Council on 31 March 2021. Council has the power to amend and reissue these financial statements in cases where critical information is received from public submissions or where the OLG directs Council to amend the financial statements.

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below.

These policies have been consistently applied to all the years presented, unless otherwise stated.

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards and Australian Accounting Interpretations, the *Local Government Act 1993 (NSW)* and Regulations, and the Local Government Code of Accounting Practice and Financial Reporting.

Council is a not for-profit entity.

The financial statements are presented in Australian dollars and are rounded to the nearest thousand dollars.

(a) Historical cost convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain financial assets and liabilities and certain classes of infrastructure, property, plant and equipment and investment property.

(b) Significant accounting estimates and judgements

The preparation of financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Council's accounting policies.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Council and that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

Council makes estimates and assumptions concerning the future.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

- (i) estimated fair values of infrastructure, property, plant and equipment – refer Note 10.
- (ii) estimated tip remediation provisions – refer Note 14.
- (iii) employee benefit provisions – refer Note 14.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 1. Basis of preparation (continued)

Significant judgements in applying the council's accounting policies

(i) Impairment of receivables

Council has made a significant judgement about the impairment of a number of its receivables – refer Note 8.

Monies and other assets received by Council

(a) The Consolidated Fund

In accordance with the provisions of Section 409(1) of the Local Government Act 1993 (NSW), all money and property received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

Cash and other assets of the following entities have been included as part of the Consolidated Fund:

General purpose operations
Water service
Sewerage service
Section 355 Committees of Council
South West Regional Waste Management Group
South West Rural Fire Service

(b) The Trust Fund

In accordance with the provisions of Section 411 of the *Local Government Act 1993 (NSW)* (as amended), a separate and distinct Trust Fund is maintained to account for all money and property received by the council in trust which must be applied only for the purposes of, or in accordance with, the trusts relating to those monies.

Trust monies and property subject to Council's control have been included in these reports.

Goods and Services Tax (GST)

Revenues, expenses and assets are recognised net of the amount of associated GST, unless the GST incurred is not recoverable from the taxation authority. In this case it is recognised as part of the cost of acquisition of the asset or as part of the expense.

Receivables and payables are stated inclusive of the amount of GST receivable or payable. The net amount of GST recoverable from, or payable to the taxation authority is included with other receivables or payables in the Statement of Financial Position.

Cash flows are presented on a gross basis. The GST components of cash flows arising from investing or financing activities that are recoverable from, or payable to, the taxation authority are presented as operating cash flows.

Volunteer services

Council's Tourist centre and community operations use volunteers to assist in their operation. The inconsistency and variability of times worked provides these activities with assistance when required. The value of volunteer labour is considered not material due to the use being minor or not reliably measureable.

New accounting standards and interpretations issued not yet effective

New accounting standards and interpretations issued but not yet effective

Certain new accounting standards and interpretations (ie. pronouncements) have been published by the Australian Accounting Standards Board that are not mandatory for the 30 June 2020 reporting period.

Council has elected not to apply any of these pronouncements in these financial statements before their operative dates.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 1. Basis of preparation (continued)

As at the date of authorisation of these financial statements Council does not consider that any of these new (and still to be applied) standards and interpretations are likely to have a material impact on the Council's future financial statements, financial position, financial performance or cash flows.

New accounting standards adopted during the year

During the year Council adopted the following accounting standards and interpretations (as issued by the Australian Accounting Standards Board) which were mandatorily effective from 1 July 2019:

- AASB 16 Leases
- AASB 15 Revenue from contracts with customers and associated amending standards.
- AASB 1058 Income of Not-for-profit entities

Further information on the newly adopted standards which had a material impact on Council's reported financial position, financial performance and/or associated financial statement disclosures can be found at Note 18.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 2(a). Council functions/activities – financial information

Income, expenses and assets have been directly attributed to the following functions or activities.
Details of those functions or activities are provided in Note 2(b).

\$ '000	Income from continuing operations		Expenses from continuing operations		Operating result from continuing operations		Grants included in income from continuing operations		Carrying amount of assets	
	2020	2019	2020	2019	2020	2019	2020	2019	2020	2019
Functions or activities										
Governance	909	–	1,396	201	(487)	(201)	–	–	–	–
Administration	9,009	8,786	6,054	13,234	2,955	(4,448)	2,631	2,684	117,509	118,504
Public Order and Safety	595	344	1,353	1,439	(758)	(1,095)	546	291	93	118
Health	51	49	150	649	(99)	(600)	–	4	–	–
Environment	6,761	5,902	7,484	6,807	(723)	(905)	473	159	16,598	15,489
Community Services and Education	158	(9)	293	327	(135)	(336)	218	3	–	–
Housing and community amenities	673	696	1,955	2,219	(1,282)	(1,523)	38	91	3,012	1,430
Water Supplies	8,496	9,906	7,420	6,533	1,076	3,373	71	–	61,715	57,195
Sewerage Supplies	4,360	4,347	3,308	225	1,052	4,122	60	–	52,411	47,647
Recreation and culture	1,354	1,204	4,469	6,388	(3,115)	(5,184)	8,179	8,192	25,412	24,620
Mining, manufacturing and construction	115	272	397	986	(282)	(714)	–	–	314	878
Transport and communication	12,662	14,743	20,577	22,764	(7,915)	(8,021)	6,917	6,921	409,621	361,848
Economic affairs	962	2,231	5,681	5,342	(4,719)	(3,111)	–	22	124	123
General purpose Income	21,496	21,995	–	–	21,496	21,995	8,461	8,194	4,259	4,171
Total functions and activities	67,601	70,466	60,537	67,114	7,064	3,352	27,594	26,561	691,068	632,023

Notes to the Financial Statements

for the year ended 30 June 2020

Note 2(b). Council functions/activities - component descriptions

Details relating to the Council's functions/activities as reported in Note 2(a) are as follows:

Governance

Includes costs relating to Council's role as a component of democratic government, including elections, members fees and expenses, subscriptions to local authority associations, meetings of Council and policy-making committees, public disclosure (e.g. GIPA), and legislative compliance.

Administration

Includes corporate support and other support services, engineering works, and any Council policy compliance.

Public order and safety

Includes Council's fire and emergency services levy, fire protection, emergency services, enforcement of regulations and animal control.

Health

Includes immunisation, food control, health centres etc.

Environment

Includes emerging weeds and insect/vermin control; other environmental protection; solid waste management, including domestic waste; other waste management; other sanitation; and garbage, street cleaning, drainage and stormwater management.

Community services and education

Includes administration and education; social protection (welfare); migrant, Aboriginal and other community services and administration (excluding accommodation – as it is covered under 'housing and community amenities'); youth services; aged and disabled persons services; childrens services; and other children services.

Housing and community amenities

Includes public cemeteries; public conveniences; street lighting; town planning; other community amenities, including housing development and accommodation for families and children, aged persons, disabled persons, migrants and Indigenous persons.

Water supplies

Sewerage supplies

Recreation and culture

Includes public libraries; museums; art galleries; community centres and halls, including public halls and performing arts venues; sporting grounds and venues; swimming pools; parks; gardens; and other sporting, recreational and cultural services.

Mining, manufacturing and construction

Includes building control, quarries and pits.

Transport and communication

Urban local, urban regional, includes sealed and unsealed roads, bridges, footpaths, parking areas, and aerodromes.

Economic affairs

Includes camping areas and caravan parks; tourism and area promotion; industrial development promotion; saleyards and markets; real estate development; and other business undertakings.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 3. Revenue from continuing operations

\$ '000	AASB	2020	2019
(a) Rates and annual charges			
Ordinary rates			
Residential	1058 (1)	4,838	4,710
Farmland	1058 (1)	6,962	6,693
Business	1058 (1)	1,275	1,216
Mining	1058 (1)	20	19
Less: pensioner rebates (mandatory)	1058 (1)	(481)	(334)
Rates levied to ratepayers		12,614	12,304
Pensioner rate subsidies received	1058 (1)	183	272
Total ordinary rates		12,797	12,576
Special rates			
Stormwater levy	1058 (1)	125	116
Rates levied to ratepayers		125	116
Total special rates		125	116
Annual charges			
(pursuant to s.496, s.496A, s.496B, s.501 & s.611)			
Domestic waste management services	1058 (1)	2,475	1,990
Water supply services	1058 (1)	3,104	2,932
Waste management services (non-domestic)	1058 (1)	47	317
Section 611 charges	1058 (1)	11	1
Sewerage services	1058 (1)	4,329	4,176
Recycling	1058 (1)	119	283
Greenwaste	1058 (1)	423	200
Less: pensioner rebates (mandatory)		(243)	(391)
Annual charges levied		10,265	9,508
Pensioner subsidies received:			
– Water	1058 (1)	71	111
– Sewerage	1058 (1)	60	60
– Domestic waste management	1058 (1)	75	13
Total annual charges		10,471	9,692
TOTAL RATES AND ANNUAL CHARGES		23,393	22,384

The **AASB** notation (above) identifies the revenue recognition pattern for material items of Council revenue:

- 15 (1)** indicates income recognised under AASB 15 “at a point in time”,
15 (2) indicates income recognised under AASB 15 “over time”,
1058 (1) indicates income recognised under AASB 1058 “at a point in time”, while
1058 (2) indicates income recognised under AASB 1058 “over time”.

Council has used 2019 year valuations provided by the NSW Valuer General in calculating its rates.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 3. Revenue from continuing operations (continued)

Accounting policy for rates and charges

Rates and annual charges are recognised as revenue when the Council obtains control over the assets comprising these receipts which is the beginning of the rating period to which they relate.

Prepaid rates are recognised as a financial liability until the beginning of the rating period.

Pensioner rebates relate to reductions in rates and certain annual charges for eligible pensioners' place of residence in the local government council area that are not subsidised by the NSW Government.

Pensioner rate subsidies are received from the NSW Government to provide a contribution towards the pensioner rebates and are in substance a rates payment.

2019 accounting policy

Control over assets acquired from rates and annual charges is obtained at the commencement of the rating year as it is an enforceable debt linked to the rateable property or, where earlier, upon receipt of the rates.

\$ '000	AASB	2020	2019
(b) User charges and fees			
Specific user charges			
(per s.502 - specific 'actual use' charges)			
Waste management services (non-domestic)	15 (2)	56	69
Water supply services	15 (2)	4,742	6,272
Sewerage services	15 (2)	–	58
Trade waste	15 (2)	1	6
Total specific user charges		4,799	6,405
Other user charges and fees			
(i) Fees and charges – statutory and regulatory functions (per s.608)			
Building regulation	15 (1)	4	34
Inspection services	15 (1)	62	25
Planning and building regulation	15 (1)	274	254
Private works – section 67	15 (2)	266	156
Regulatory/ statutory fees	15 (1)	8	44
Section 149 certificates (EPA Act)	15 (1)	49	48
Section 603 certificates	15 (1)	53	38
Town planning	15 (1)	–	7
Animal	15 (1)	13	16
Environment protection	15 (1)	–	1
Total fees and charges – statutory/regulatory		729	623
(ii) Fees and charges – other (incl. general user charges (per s.608))			
Cemeteries	15 (1)	264	245
Recycling income (non-domestic)	15 (1)	10	11
Tourism	15 (1)	–	25
Waste disposal tipping fees	15 (1)	824	811
Caravan park	15 (1)	200	192
Gravel pits	15 (1)	–	93
Lease rentals		–	486
Leaseback fees – Council vehicles	15 (1)	70	53
Library and art gallery	15 (1)	6	16
Park rents	15 (1)	36	33
TfNSW (formerly RMS) charges (state roads not controlled by Council)	15 (2)	1,788	5,047
Saleyards	15 (1)	–	1
Swimming centres	15 (1)	68	100

continued on next page ...

Notes to the Financial Statements

for the year ended 30 June 2020

Note 3. Revenue from continuing operations (continued)

\$ '000	AASB	2020	2019
Water connection fees	15 (1)	18	51
Truckwash	15 (1)	13	14
Water plan fees	15 (1)	—	7
Septic tank fees	15 (1)	31	49
Sewer plan fees	15 (1)	40	35
Sewer connection fees	15 (1)	7	1
Other	15 (1)	2	4
Total fees and charges – other		3,377	7,274
TOTAL USER CHARGES AND FEES		8,905	14,302

The **AASB** notation (above) identifies the revenue recognition pattern for material items of Council revenue:

15 (1) indicates income recognised under AASB 15 “at a point in time”,

15 (2) indicates income recognised under AASB 15 “over time”,

1058 (1) indicates income recognised under AASB 1058 “at a point in time”, while

1058 (2) indicates income recognised under AASB 1058 “over time”.

Accounting policy for user charges and fees

Revenue arising from user charges and fees is recognised when or as the performance obligation is completed and the customer receives the benefit of the goods / services being provided.

The performance obligation relates to the specific services which are provided to the customers and generally the payment terms are within 30 days of the provision of the service or in some cases such as caravan parks, the customer is required to pay on arrival. There is no material obligation for Council in relation to refunds or returns.

Where an upfront fee is charged such as membership fees for the leisure centre the fee is recognised on a straight-line basis over the expected life of the membership.

Licences granted by Council are all either short-term or low value and all revenue from licences is recognised at the time that the licence is granted rather than the term of the licence.

2019 accounting policy

User charges and fees are recognised as revenue when the service has been provided.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 3. Revenue from continuing operations (continued)

\$ '000	AASB	2020	2019
(c) Other revenues			
Fines – parking	1058 (1)	7	13
Fines – other	1058 (1)	12	13
Legal fees recovery – rates and charges (extra charges)	1058 (1)	–	3
Commissions and agency fees	1058 (1)	32	16
Insurance claims recoveries	1058 (1)	92	40
Legal fees recovery – other	1058 (1)	3	–
Sales – general	15 (1)	101	100
Other	15 (1)	60	132
Promotion and trade fairs	1058 (1)	–	1
Insurance incentives and rebates	1058 (1)	–	93
Dividend southern phone	1058 (1)	47	21
Sale of scrap metal	1058 (1)	23	11
Section 355 committee	1058 (1)	62	40
Sale of garbage bins	1058 (1)	11	7
Training incentives	1058 (1)	–	3
Worker health and safety incentives	1058 (1)	60	–
Workers compensation reimbursement	1058 (1)	139	76
<u>TOTAL OTHER REVENUE</u>		649	569

The **AASB** notation (above) identifies the revenue recognition pattern for material items of Council revenue:

15 (1) indicates income recognised under AASB 15 “at a point in time”,

15 (2) indicates income recognised under AASB 15 “over time”,

1058 (1) indicates income recognised under AASB 1058 “at a point in time”, while

1058 (2) indicates income recognised under AASB 1058 “over time”.

Accounting policy for other revenue

Where the revenue relates to a contract with customer, the revenue is recognised when or as the performance obligation is completed and the customer receives the benefit of the goods / services being provided.

Where the revenue relates to a contract which is not enforceable or does not contain sufficiently specific performance obligations then revenue is recognised when an unconditional right to a receivable arises or the cash is received, which is earlier.

2019 accounting policy:

Council recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the Council and specific criteria have been met for each of the Council's activities as described below. Council bases its estimates on historical results, taking into consideration the type of customer, the type of transaction and the specifics of each arrangement.

Parking fees and fines are recognised as revenue when the service has been provided, or when the penalty has been applied, whichever occurs first.

Rental income is accounted for on a straight-line basis over the lease term.

Miscellaneous sales are recognised when physical possession has transferred to the customer which is deemed to be the point of transfer of risks and rewards.

Other income is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 3. Revenue from continuing operations (continued)

\$ '000	AASB	Operating 2020	Operating 2019	Capital 2020	Capital 2019
(d) Grants					
Specific purpose					
Water supplies	1058 (2)	170	–	249	–
Library – special projects	1058 (2)	–	–	26	20
Recreation and culture	1058 (1)	205	553	1,307	–
Storm/flood damage	1058 (1)	–	311	–	–
Transport (roads to recovery)	1058 (1)	2,708	2,399	–	–
Bushfire and emergency services	1058 (2)	279	268	286	7
Employment and training programs	1058 (1)	5	7	–	–
Heritage and cultural	1058 (1)	129	44	–	–
Library – per capita	1058 (1)	82	66	–	–
LIRS subsidy	1058 (1)	67	56	–	–
Noxious weeds	1058 (1)	134	159	–	–
Street lighting	1058 (1)	91	91	–	–
Transport (other roads and bridges funding)	1058 (2)	–	–	4,170	4,190
Youth services	1058 (1)	48	3	–	–
Health programs	1058 (1)	6	(8)	–	–
New Council Implementation Funds	1058 (1)	–	2,600	–	–
Stronger Community Funds	1058 (2)	–	–	9,144	6,067
Other	1058 (1)	96	271	–	–
Rail Siding	1058 (1)	–	1,250	–	–
Other	1058 (2)	–	–	115	13
Total specific purpose		4,020	8,070	15,297	10,297
General purpose (untied)					
Current year allocation					
Financial assistance – general component	1058 (1)	2,626	2,608	–	–
Financial assistance – local roads component	1058 (1)	1,392	1,414	–	–
Payment in advance - future year allocation					
Financial assistance – local roads component	1058 (1)	1,478	1,454	–	–
Financial assistance – general component	1058 (1)	2,781	2,718	–	–
Total general purpose		8,277	8,194	–	–
Total grants		12,297	16,264	15,297	10,297
Grant revenue is attributable to:					
– Commonwealth funding		10,985	11,850	2,170	2,447
– State funding		1,312	4,402	13,127	7,850
– Other funding		–	12	–	–
		12,297	16,264	15,297	10,297

The **AASB** notation (above) identifies the revenue recognition pattern for material items of Council revenue:

15 (1) indicates income recognised under AASB 15 “at a point in time”,

15 (2) indicates income recognised under AASB 15 “over time”,

1058 (1) indicates income recognised under AASB 1058 “at a point in time”, while

1058 (2) indicates income recognised under AASB 1058 “over time”.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 3. Revenue from continuing operations (continued)

\$ '000	Notes	AASB	Operating 2020	Operating 2019	Capital 2020	Capital 2019
(e) Contributions						
Other contributions:						
Cash contributions						
Community services	1058 (1)		8	–	–	–
Other	1058 (2)		2	28	100	20
Bushfire services	1058 (1)		–	1	–	–
Other councils – joint works/services	1058 (1)		2,068	1,860	–	–
Recreation and culture	1058 (1)		2	20	–	–
RMS contributions (regional roads, block grant)	1058 (1)		1,623	2,313	1,496	188
Water supplies (excl. section 64 contributions)	1058 (2)		–	–	–	2
Waste	1058 (1)		14	–	–	–
Total other contributions – cash			3,717	4,222	1,596	210
Total other contributions			3,717	4,222	1,596	210
Developer contributions: (s7.4 & s7.11 - EP&A Act, s64 of the LGA):						
Cash contributions						
S 7.11 – contributions towards amenities/services	1058 (1)		–	159	308	268
S 64 – sewerage service contributions	1058 (1)		–	–	20	9
S 7.12 – fixed development consent levies	1058 (1)		–	–	341	30
S 64 – water supply contributions	1058 (1)		–	–	89	11
Total developer contributions – cash			–	159	758	318
Total developer contributions	23		–	159	758	318
Total contributions			3,717	4,381	2,354	528
TOTAL GRANTS AND CONTRIBUTIONS			16,014	20,645	17,651	10,825

The **AASB** notation (above) identifies the revenue recognition pattern for material items of Council revenue:

15 (1) indicates income recognised under AASB 15 “at a point in time”,

15 (2) indicates income recognised under AASB 15 “over time”,

1058 (1) indicates income recognised under AASB 1058 “at a point in time”, while

1058 (2) indicates income recognised under AASB 1058 “over time”.

Accounting policy for grants and contributions**Accounting policy from 1 July 2019****Grant income under AASB 15**

Where grant income arises from an agreement which is enforceable and contains sufficiently specific performance obligations then the revenue are recognised when control of each performance obligations is satisfied.

The performance obligations are varied based on the agreement but include [provide details of performance obligations within AASB 15 grants e.g. events, vaccinations]. Payment terms vary depending on the terms of the grant, cash is received upfront for some grants and on the achievement of certain payment milestones for others.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 3. Revenue from continuing operations (continued)

Each performance obligation is considered to ensure that the revenue recognition reflects the transfer of control and within grant agreements there may be some performance obligations where control transfers at a point in time and others which have continuous transfer of control over the life of the contract.

Where control is transferred over time, generally the input methods being either costs or time incurred are deemed to be the most appropriate methods to reflect the transfer of benefit.

Grant income

Assets arising from grants in the scope of AASB 1058 is recognised at the assets fair value when the asset is received. Councils considers whether there are any related liability or equity items associated with the asset which are recognised in accordance with the relevant accounting standard.

Once the assets and liabilities have been recognised then income is recognised for any remaining asset value at the time that the asset is received

Capital grants

Capital grants received to enable Council to acquire or construct an item of infrastructure, property, plant and equipment to identified specifications which will be under Council's control and which is enforceable are recognised as revenue as and when the obligation to construct or purchase is completed.

For construction projects, this is generally as the construction progresses in accordance with costs incurred since this is deemed to be the most appropriate measure of the completeness of the construction project as there is no profit margin.

For acquisitions of assets, the revenue is recognised when the asset is acquired and controlled by the Council.

Contributions

Council has obligations to provide facilities from contribution revenues levied on developers under the provisions of sections 7.4, 7.11 and 7.12 of the *Environmental Planning and Assessment Act 1979*.

While Council generally incorporates these amounts as part of a Development Consents Order, such developer contributions are only recognised as income upon receipt by Council, due to the possibility that individual development consents may not be acted upon by the applicant and, accordingly, would not be payable to Council.

Developer contributions may only be expended for the purposes for which the contributions were required, but the Council may apply contributions according to the priorities established in work schedules

Accounting policy prior to 1 July 2019

Control over grants and contributions is normally obtained upon their receipt (or acquittal) and revenue is recognised at this time and is valued at the fair value of the granted or contributed asset at the date of transfer.

Where grants or contributions recognised as revenues during the financial year were obtained on condition that they be expended in a particular manner, or used over a particular period, and those conditions were un-discharged at reporting date, the unused grant or contribution is disclosed below.

A liability is recognised in respect of revenue that is reciprocal in nature to the extent that the requisite service has not been provided at reporting date.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 3. Revenue from continuing operations (continued)

\$ '000	2020	2019
(f) Unspent grants and contributions – external restrictions		
Certain grants and contributions are obtained by Council on condition that they be spent in a specified manner due to externally imposed restrictions.		
Operating grants		
Unexpended at the close of the previous reporting period	576	4,723
Less: operating grants received in a previous reporting period now spent and recognised as income	(375)	–
Less: operating grants recognised in a previous reporting period now spent (2019 only)	–	(4,147)
Unexpended and held as externally restricted assets (operating grants)	201	576
Capital grants		
Unexpended at the close of the previous reporting period	54	104
Less: capital grants received in a previous reporting period now spent and recognised as income	(54)	–
Add: capital grants recognised as income in the current period but not yet spent (2019 only)	–	54
Less: capital grants recognised in a previous reporting period now spent (2019 only)	–	(104)
Unexpended and held as externally restricted assets (capital grants)	–	54
Contributions		
Unexpended at the close of the previous reporting period	2,316	2,040
Add: contributions recognised as income in the current period but not yet spent	784	527
Less: contributions recognised in a previous reporting period now spent	(88)	(251)
Unexpended and held as externally restricted assets (contributions)	3,012	2,316

Notes to the Financial Statements

for the year ended 30 June 2020

Note 4. Interest and investment income

\$ '000	2020	2019
Interest on financial assets measured at amortised cost		
– Overdue rates and annual charges (incl. special purpose rates)	93	154
– Cash and investments	229	1,121
– Other	–	6
Total Interest and investment income	322	1,281
Interest revenue is attributable to:		
Unrestricted investments/financial assets:		
Overdue rates and annual charges (general fund)	48	155
General Council cash and investments	195	1,070
Restricted investments/funds – external:		
Development contributions		
– Section 7.11	30	2
– Section 64	5	17
Water fund operations	28	30
Sewerage fund operations	16	7
Total interest and investment revenue	322	1,281

Accounting policy for interest and investment revenue

Interest income is recognised using the effective interest rate at the date that interest is earned.

Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 5. Expenses from continuing operations

\$ '000	2020	2019
(a) Employee benefits and on-costs		
Salaries and wages	17,095	16,839
Travel expenses	165	34
Employee leave entitlements (ELE)	2,584	3,196
Superannuation	1,921	1,676
Workers' compensation insurance	807	873
Fringe benefit tax (FBT)	135	–
Payroll tax	107	161
Training costs (other than salaries and wages)	278	291
Protective clothing	86	63
WH&S expenses	38	23
Other	173	102
Total employee costs	23,389	23,258
Less: capitalised costs	(2,321)	(2,034)
TOTAL EMPLOYEE COSTS EXPENSED	21,068	21,224
Number of 'full-time equivalent' employees (FTE) at year end	253	255

Accounting policy for employee benefits and on-costs

Employee benefit expenses are recorded when the service has been provided by the employee.

Retirement benefit obligations

Some employees of the Council are entitled to benefits on retirement, disability or death. Council contributes to various defined benefit plans and defined contribution plans on behalf of its employees.

Superannuation plans

Contributions to defined contribution plans are recognised as an expense as they become payable. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

Council participates in a defined benefit plan under the Local Government Superannuation Scheme, however, sufficient information to account for the plan as a defined benefit is not available and therefore Council accounts for its obligations to defined benefit plans on the same basis as its obligations to defined contribution plans, i.e. as an expense when it becomes payable – refer to Note 14 for more information.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 5. Expenses from continuing operations (continued)

\$ '000	Notes	2020	2019
(b) Borrowing costs			
(i) Interest bearing liability costs			
Interest on leases		39	–
Interest on overdraft		–	2
Interest on loans		465	503
Total interest bearing liability costs		504	505
Total interest bearing liability costs expensed		504	505
(ii) Other borrowing costs			
Discount adjustments relating to movements in provisions (other than ELE)		–	–
– Remediation liabilities	14	240	818
Total other borrowing costs		240	818
TOTAL BORROWING COSTS EXPENSED		744	1,323

Accounting policy for borrowing costs

Borrowing costs incurred for the construction of any qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale. Other borrowing costs are expensed as incurred.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 5. Expenses from continuing operations (continued)

\$ '000	2020	2019
(c) Materials and contracts		
Raw materials and consumables	18,050	21,507
Contractor and consultancy costs	8,064	8,247
– RTA works	12	191
– Security services	38	43
– IT support services	626	1,345
– Town planning	18	60
– Regional landfill receival charges	862	1,224
– Waste haulage	1,174	1,099
Auditors remuneration ²	193	181
Legal expenses:		
Expenses from short-term leases (2020 only)	6	–
– Legal expenses: planning and development	21	3
– Legal expenses: debt recovery	–	3
– Legal expenses: other	313	26
Operating leases expense (2019 only):		
– Operating lease rentals: minimum lease payments ¹	–	32
Water acquisition costs	865	987
Water purchase	3,453	3,536
Swimming pool	1	(23)
Total materials and contracts	33,696	38,461
Less: capitalised costs	(17,365)	(16,071)
TOTAL MATERIALS AND CONTRACTS	16,331	22,390

Accounting policy for materials and contracts

Expenses are recorded on an accruals basis as the council receives the goods or services.

Operating leases (2019 only)

Leases in which a significant portion of the risks and rewards of ownership are not transferred to Council as lessee are classified as operating leases. Payments made under operating leases (net of any incentives received from the lessor) are charged to the income statement on a straight-line basis over the period of the lease.

1. Operating lease payments are attributable to:

Other	–	32
	–	32

2. Auditor remuneration

During the year, the following fees were incurred for services provided by the auditor of Council, related practices and non-related audit firms

Auditors of the Council - NSW Auditor-General:**(i) Audit and other assurance services**

Audit and review of financial statements	165	154
Remuneration for audit and other assurance services	165	154
Total Auditor-General remuneration	165	154

Notes to the Financial Statements

for the year ended 30 June 2020

Note 5. Expenses from continuing operations (continued)

\$ '000	2020	2019
Non NSW Auditor-General audit firms		
(i) Audit and other assurance services		
Internal audit	28	27
Remuneration for audit and other assurance services	28	27
Total remuneration of non NSW Auditor-General audit firms	28	27
Total Auditor remuneration	193	181

\$ '000	Notes	2020	2019
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(d) Depreciation, amortisation and impairment of non-financial assets**Depreciation and amortisation**

Plant and equipment		2,342	2,136
Office equipment		65	47
Furniture and fittings		41	39
Land improvements (depreciable)		6	4

Infrastructure:

10(a)

– Buildings – non-specialised		2,693	2,527
– Buildings – specialised		648	812
– Other structures		336	218
– Roads		7,895	7,677
– Bridges		550	527
– Footpaths		107	106
– Stormwater drainage		297	315
– Water supply network		931	916
– Sewerage network		1,350	1,139
– Swimming pools		176	148
– Other open space/recreational assets		308	284

Right of use assets

12

		118	–
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Other assets:

– Library books		45	85
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Reinstatement, rehabilitation and restoration assets:

– Quarry assets	14, 10(a)	12	11
Total gross depreciation and amortisation costs		17,920	16,991

Total depreciation and amortisation costs	17,920	16,991
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Impairment / revaluation decrement of IPP&E**Infrastructure:**

10(a)

– Roads		–	612
– Bridges		–	34

Total gross IPP&E impairment / revaluation decrement costs / (reversals)

		–	646
Total IPP&E impairment / revaluation decrement costs / (reversals) charged to Income Statement		–	646

TOTAL DEPRECIATION, AMORTISATION AND IMPAIRMENT FOR NON-FINANCIAL ASSETS

	17,920	17,637
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continued on next page ...

Notes to the Financial Statements

for the year ended 30 June 2020

Note 5. Expenses from continuing operations (continued)

Accounting policy for depreciation, amortisation and impairment expenses of non-financial assets

Depreciation and amortisation

Depreciation and amortisation are calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives. Useful lives are included in Note 9 for IPPE assets.

Impairment of non-financial assets

Council assets held at fair value that are not held primarily for their ability to generate net cash flow, and that are deemed to be specialised, are no longer required to be tested for impairment under AASB 136. This is because these assets are assessed on an annual basis to ensure that the carrying amount is not materially different from fair value and therefore an impairment loss would be captured during this assessment.

Intangible assets that have an indefinite useful life, or are not yet available for use, are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. Other assets that do not meet the criteria above are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows that are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets that suffered an impairment are reviewed for possible reversal of the impairment at each reporting date.

Impairment losses for revalued assets are firstly offset against the amount in the revaluation surplus for the class of asset, with only the excess to be recognised in the Income Statement.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 5. Expenses from continuing operations (continued)

\$ '000	2020	2019
(e) Other expenses		
Advertising	75	109
Bad and doubtful debts	17	30
Bank charges	60	64
Cleaning	–	44
Cost of sales	49	60
Computer software charges	121	27
Contributions/levies to other levels of government		
– Emergency services levy (includes FRNSW, SES, and RFS levies)	646	606
– Other contributions/levies	28	–
Councillor expenses – mayoral fee	27	31
Councillor expenses – councillors' fees	127	126
Councillors' expenses (incl. mayor) – other (excluding fees above)	32	75
Donations, contributions and assistance to other organisations (Section 356)	95	186
– Southern Slopes Weeds Authority	176	–
– ROC membership	41	41
– Section 355 committees and community events	18	–
– Water utilities alliance	–	1
– Shires Association	43	53
Electricity and heating	822	864
Insurance	743	591
Office expenses (including computer expenses)	7	87
Postage	84	92
Printing and stationery	122	140
Street lighting	169	266
Subscriptions and publications	148	186
Telephone and communications	372	323
Valuation fees – land rates	111	104
Licence fees	60	85
Lease property	20	40
Promotion and trade fairs	150	77
Other	111	232
Total other expenses	4,474	4,540
TOTAL OTHER EXPENSES	4,474	4,540

Accounting policy for other expenses

Other expenses are recorded on an accruals basis as the Council receives the goods or services.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 6. Gain or loss from disposal of assets

\$ '000	Notes	2020	2019
Property (excl. investment property)			
Proceeds from disposal – property		–	132
Net gain/(loss) on disposal		–	132
Plant and equipment	10(a)		
Proceeds from disposal – plant and equipment		428	841
Less: carrying amount of plant and equipment assets sold/written off		(327)	(512)
Net gain/(loss) on disposal		101	329
Real estate assets held for sale	9		
Proceeds from disposal – real estate assets		–	(2)
Net gain/(loss) on disposal		–	(2)
Investments	7(b)		
Proceeds from disposal/redemptions/maturities – financial assets		10,743	17,250
Less: carrying amount of financial assets sold/redeemed/matured		(10,745)	(17,250)
Net gain/(loss) on disposal		(2)	–
<u>NET GAIN/(LOSS) ON DISPOSAL OF ASSETS</u>		<u>99</u>	<u>459</u>

Accounting policy for disposal of assets

Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in the Income Statement.

The gain or loss on sale of an asset is determined when control of the asset has irrevocably passed to the buyer and the asset is de-recognised.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 7(a). Cash and cash equivalents

\$ '000	2020	2019
Cash and cash equivalents		
Cash on hand and at bank	20,048	8,764
Cash-equivalent assets		
– Short-term deposits	2,000	2,597
Total cash and cash equivalents	22,048	11,361

Accounting policy for cash and cash equivalents

For Statement of Cash Flow presentation purposes, cash and cash equivalents include: cash on hand; deposits held at call with financial institutions; other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value; and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the Statement of Financial Position.

Note 7(b). Investments

\$ '000	2020 Current	2020 Non-current	2019 Current	2019 Non-current
Investments				
a. 'Financial assets at fair value through profit and loss'				
b. 'Financial assets at amortised cost'	14,199	–	26,268	–
d. 'Financial assets at fair value through other comprehensive income'	–	–	788	–
Total Investments	14,199	–	27,056	–
TOTAL CASH ASSETS, CASH EQUIVALENTS AND INVESTMENTS	36,247	–	38,417	–
Financial assets at amortised cost				
Long term deposits	14,199	–	26,268	–
Total	14,199	–	26,268	–
Financial assets at fair value through other comprehensive income / available for sale financial assets				
Other long term financial assets	–	–	788	–
Total	–	–	788	–

Accounting policy for investments

Financial instruments are recognised initially on the date that the Council becomes party to the contractual provisions of the instrument.

On initial recognition, all financial instruments are measured at fair value plus transaction costs (except for instruments measured at fair value through profit or loss where transaction costs are expensed as incurred).

Financial assets

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification

On initial recognition, Council classifies its financial assets into the following categories – those measured at:

- amortised cost
- fair value through profit and loss (FVTPL)
- fair value through other comprehensive income – equity instrument (FVOCI-equity)

Notes to the Financial Statements

for the year ended 30 June 2020

Note 7(b). Investments (continued)

Financial assets are not reclassified subsequent to their initial recognition.

Amortised cost

Assets measured at amortised cost are financial assets where:

- the business model is to hold assets to collect contractual cash flows, and
- the contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Council's financial assets measured at amortised cost comprise trade and other receivables, term deposits and cash and cash equivalents in the Statement of Financial Position.

Subsequent to initial recognition, these assets are carried at amortised cost using the effective interest rate method less provision for impairment.

Interest income, impairment and gains or loss on de-recognition are recognised in profit or loss.

Fair value through other comprehensive income – equity instruments

Council has a number of strategic investments in entities over which they do not have significant influence nor control. Council has made an irrevocable election to classify these equity investments as fair value through other comprehensive income as they are not held for trading purposes.

These investments are carried at fair value with changes in fair value recognised in other comprehensive income (financial asset reserve). On disposal any balance in the financial asset reserve is transferred to accumulated surplus and is not reclassified to profit or loss.

Other net gains and losses excluding dividends are recognised in Other Comprehensive Income Statement.

Financial assets through profit or loss

All financial assets not classified as measured at amortised cost or fair value through other comprehensive income as described above are measured at fair value through profit or loss.

Net gains or losses, including any interest or dividend income, are recognised in profit or loss.

Council's financial assets measured at fair value through profit or loss comprise investments in FRNs and NCDs in the Statement of Financial Position.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 7(c). Restricted cash, cash equivalents and investments

\$ '000	2020 Current	2020 Non-current	2019 Current	2019 Non-current
Total cash, cash equivalents and investments	36,247	—	38,417	—
attributable to:				
External restrictions	29,476	—	21,213	—
Internal restrictions	9,152	—	25,645	—
Unrestricted	(2,381)	—	(8,441)	—
	36,247	—	38,417	—

Commentary:

Council recognises, that as at 30 June 2020, the value of internal and external restrictions exceeds the total cash and investments by \$2,381.

On 1 July 2020, Council will realise the following restricted receivables and government debtors:

GST receivable (Note 8)	1,208
Government Grants and Subsidies (Note 8)	227
Totals	1,435

Once these debtors are realised the cash position improves to a deficit of \$946.

As at the lodgement date for these statements, Council has a positive unrestricted cash balance.

\$ '000	2020	2019
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Details of restrictions

External restrictions – included in liabilities

Specific purpose unexpended grants – general fund (2020 only)	39	—
Specific purpose unexpended loans – general	176	—
Specific purpose unexpended loans – water	2,653	—
Specific purpose unexpended loans – sewer	3,180	—
External restrictions – included in liabilities	6,048	—

External restrictions – other

Developer contributions – general	2,007	1,421
Developer contributions – water fund	912	818
Developer contributions – sewer fund	88	68
Specific purpose unexpended grants (recognised as revenue) – general fund	620	630
Water supplies	13,147	12,600
Sewerage services	2,257	897
Stormwater management	342	297
Waste transfer station	—	237
Regional waste group	3,692	3,178
Regional fire zone	93	118
Domestic waste management	132	151
Other contributions	21	21
Other	117	777
External restrictions – other	23,428	21,213
Total external restrictions	29,476	21,213

Notes to the Financial Statements

for the year ended 30 June 2020

Note 7(c). Restricted cash, cash equivalents and investments (continued)

\$ '000	2020	2019
Internal restrictions		
Plant and vehicle replacement	475	702
Infrastructure replacement	96	522
Employees leave entitlement	1,100	3,200
Financial assistance grant advance payment	–	4,171
Implementation Funding	1,270	2,699
Stronger Councils Funds	5,553	13,693
Quarries and pit restoration	552	552
Corporate support reserves	106	106
Total internal restrictions	9,152	25,645
TOTAL RESTRICTIONS	38,628	46,858

Notes to the Financial Statements

for the year ended 30 June 2020

Note 8. Receivables

\$ '000	2020 Current	2020 Non-current	2019 Current	2019 Non-current
Purpose				
Rates and annual charges	3,200	—	2,242	—
Interest and extra charges	206	—	192	—
User charges and fees	3,862	—	4,257	—
Contributions to works	496	—	496	—
Accrued revenues				
– Interest on investments	71	—	254	—
– Other income accruals	869	—	1,411	—
Net investment in finance lease	—	—	—	—
Amounts due from other councils	201	—	184	—
Deferred debtors	21	—	21	—
Government grants and subsidies	227	—	3,949	—
Net GST receivable	1,208	—	5,648	—
Contributions	170	—	170	—
Other debtors	315	—	1	—
Total	10,846	—	18,825	—
Less: provision of impairment				
Rates and annual charges	(4)	—	(4)	—
User charges and fees	(65)	—	(65)	—
Other debtors	(17)	—	(17)	—
Total provision for impairment – receivables	(86)	—	(86)	—
TOTAL NET RECEIVABLES	10,760	—	18,739	—
Externally restricted receivables				
Water supply				
– Rates and availability charges	509	—	281	—
– Other	2,086	—	2,023	—
Sewerage services				
– Rates and availability charges	606	—	397	—
– Other	32	—	56	—
Domestic waste management	923	—	160	—
Total external restrictions	4,156	—	2,917	—
Unrestricted receivables	6,604	—	15,822	—
TOTAL NET RECEIVABLES	10,760	—	18,739	—

\$ '000	2020	2019
Movement in provision for impairment of receivables		
Balance at the beginning of the year	86	87
– amounts already provided for and written off this year	—	(1)
Balance at the end of the year	86	86

Accounting policy for receivables

Notes to the Financial Statements

for the year ended 30 June 2020

Note 8. Receivables (continued)

Recognition and measurement

Receivables are included in current assets, except for those with maturities greater than 12 months after the reporting date which are classified as non-current assets.

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. Receivables are generally due for settlement within 30 days.

Cash flows relating to short-term receivables are not discounted if the effect of discounting is immaterial.

Impairment

Impairment of financial assets measured at amortised cost is recognised on an expected credit loss (ECL) basis.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition, and when estimating ECL, the Council considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on Council's historical experience and informed credit assessment, and including forward-looking information.

When considering the ECL for rates debtors, Council takes into account that unpaid rates represent a charge against the rateable property that will be recovered when the property is next sold. For non-rates debtors, Council uses the presumption that an asset which is more than 30 days past due has seen a significant increase in credit risk.

The Council uses the presumption that a financial asset is in default when:

- the other party is unlikely to pay its credit obligations to the Council in full, without recourse by the Council to actions such as realising security (if any is held) or
- the financial assets (for non-rates debtors) are more than 90 days past due.

Credit losses are measured as the present value of the difference between the cash flows due to the entity in accordance with the contract, and the cash flows expected to be received. This is applied using a probability weighted approach.

On initial recognition of the asset, an estimate of the expected credit losses for the next 12 months is recognised. Where the asset has experienced significant increase in credit risk then the lifetime losses are estimated and recognised.

Council uses the simplified approach for trade receivables where the expected lifetime credit losses are recognised on day 1.

There has been no change in the estimation techniques or significant assumptions made during the current reporting period.

The Council writes off a trade receivable when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or when the receivables are over 2 years past due, whichever occurs first.

None of the receivables that have been written off are subject to enforcement activity.

Where the Council renegotiates the terms of receivables due from certain customers, the new expected cash flows are discounted at the original effective interest rate and any resulting difference to the carrying value is recognised in profit or loss.

Rates and annual charges outstanding are secured against the property.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 9. Inventories and other assets

\$ '000	2020 Current	2020 Non-current	2019 Current	2019 Non-current
(a) Inventories				
(i) Inventories at cost				
Real estate for resale	123	–	123	–
Stores and materials	783	–	752	–
Total inventories at cost	906	–	875	–
TOTAL INVENTORIES	906	–	875	–

(b) Other assets

Prepayments	26	–	26	–
TOTAL OTHER ASSETS	26	–	26	–

(i) Other disclosures

\$ '000	2020 Current	2020 Non-current	2019 Current	2019 Non-current
(a) Details for real estate development				
Residential	123	–	123	–
Total real estate for resale	123	–	123	–

(Valued at the lower of cost and net realisable value)

Represented by:

Acquisition costs	15	–	15	–
Development costs	108	–	108	–
Total costs	123	–	123	–
Total real estate for resale	123	–	123	–

Movements:

Real estate assets at beginning of the year	123	–	134	–
– Purchases and other costs	–	–	(11)	–
Total real estate for resale	123	–	123	–

Notes to the Financial Statements

for the year ended 30 June 2020

Note 9. Inventories and other assets (continued)

Accounting policy for inventories and other assets

Raw materials and stores, work in progress and finished goods

Raw materials and stores, work in progress and finished goods are stated at the lower of cost and net realisable value. Costs are assigned to individual items of inventory on the basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

Land held for resale/capitalisation of borrowing costs

Land held for resale is stated at the lower of cost and net realisable value. Cost is assigned by specific identification and includes the cost of acquisition, and development and borrowing costs during development. When development is completed, borrowing costs and other holding charges are expensed as incurred.

Borrowing costs included in the cost of land held for resale are those costs that would have been avoided if the expenditure on the acquisition and development of the land had not been made. Borrowing costs incurred while active development is interrupted for extended periods are recognised as expenses.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 10(a). Infrastructure, property, plant and equipment

	as at 30/06/19			Asset movements during the reporting period							as at 30/06/20		
	Gross carrying amount	Accumulated depreciation	Net carrying amount	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense	WIP transfers	Adjustments and transfers	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation	Net carrying amount
\$ '000													
Capital work in progress	6,630	–	6,630	–	4,796	–	–	(6,630)	–	–	4,796	–	4,796
Plant and equipment	31,785	(16,410)	15,375	2,757	–	(327)	(2,342)	–	(160)	–	32,363	(17,060)	15,303
Office equipment	1,112	(805)	307	17	220	–	(65)	18	–	–	1,367	(870)	497
Furniture and fittings	808	(509)	299	–	–	–	(41)	–	–	–	808	(550)	258
Land:													
– Operational land	7,450	–	7,450	–	–	–	–	–	–	–	7,450	–	7,450
– Community land	7,597	–	7,597	–	–	–	–	–	–	–	7,597	–	7,597
Land improvements – non-depreciable	71	–	71	–	–	–	–	–	–	–	71	–	71
Land improvements – depreciable	444	(20)	424	–	26	–	(6)	44	–	–	514	(26)	488
Infrastructure:													
– Buildings – non-specialised	91,741	(43,498)	48,243	–	6,088	–	(2,693)	891	787	–	99,507	(46,191)	53,316
– Buildings – specialised	23,021	(12,717)	10,304	–	–	–	(648)	2,565	(787)	–	24,799	(13,364)	11,435
– Other structures	9,451	(4,173)	5,278	–	2,814	–	(336)	297	83	–	13,099	(4,962)	8,137
– Roads	351,635	(120,930)	230,705	–	8,355	–	(7,895)	–	–	13,311	383,811	(139,369)	244,442
– Bridges	55,745	(25,512)	30,233	–	68	–	(550)	871	–	2,543	61,491	(28,291)	33,200
– Footpaths	7,933	(2,313)	5,620	–	237	–	(107)	36	–	436	8,849	(2,627)	6,222
– Bulk earthworks (non-depreciable)	95,290	–	95,290	–	–	–	–	–	–	34,191	129,481	–	129,481
– Stormwater drainage	28,689	(17,223)	11,466	–	171	–	(297)	–	–	673	30,589	(18,576)	12,013
– Water supply network	73,815	(32,500)	41,315	–	1,504	–	(931)	76	–	392	76,096	(33,740)	42,356
– Sewerage network	73,267	(27,979)	45,288	–	620	–	(1,350)	62	–	430	74,645	(29,594)	45,051
– Swimming pools	8,870	(4,252)	4,618	–	3,247	–	(176)	334	77	–	12,645	(4,546)	8,099
– Other open space/recreational assets	11,952	(5,013)	6,939	–	476	–	(308)	1,393	–	–	13,821	(5,321)	8,500
Other assets:													
– Library books	653	(465)	188	19	–	–	(45)	41	–	–	713	(510)	203
Reinstatement, rehabilitation and restoration assets (refer Note 17):													
– Tip assets	304	(304)	–	–	–	–	–	–	–	–	304	(304)	–
– Quarry assets	640	(314)	326	–	–	–	(12)	–	–	–	639	(325)	314
Total Infrastructure, property, plant and equipment	888,903	(314,937)	573,966	2,793	28,622	(327)	(17,802)	(2)	–	51,976	985,455	(346,226)	639,229

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

Notes to the Financial Statements

for the year ended 30 June 2020

Note 10(a). Infrastructure, property, plant and equipment (continued)

	as at 30/06/18			Asset movements during the reporting period							as at 30/06/19		
	Gross carrying amount	Accumulated depreciation	Net carrying amount	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense	Impairment loss / revaluation decrements (recognised in P/L)	Adjustments and transfers	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation	Net carrying amount
\$ '000													
Capital work in progress	1,166	—	1,166	5,464	—	—	—	—	—	—	6,630	—	6,630
Plant and equipment	30,198	(15,478)	14,720	3,300	—	(513)	(2,136)	—	4	—	31,785	(16,410)	15,375
Office equipment	1,055	(758)	297	—	57	—	(47)	—	—	—	1,112	(805)	307
Furniture and fittings	808	(470)	338	—	—	—	(39)	—	—	—	808	(509)	299
Land:													
– Operational land	7,449	—	7,449	—	—	—	—	—	1	—	7,450	—	7,450
– Community land	7,596	—	7,596	—	—	—	—	—	1	—	7,597	—	7,597
Land improvements – non-depreciable	71	—	71	—	—	—	—	—	—	—	71	—	71
Land improvements – depreciable	396	(17)	379	—	49	—	(4)	—	—	—	444	(20)	424
Infrastructure:													
– Buildings – non-specialised	26,722	(12,856)	13,866	—	—	—	(2,527)	—	35,190	—	91,741	(43,498)	48,243
– Buildings – specialised	87,914	(40,020)	47,894	126	—	—	(812)	—	(35,190)	—	23,021	(12,717)	10,304
– Other structures	7,666	(3,889)	3,777	15	—	—	(218)	—	911	793	9,451	(4,173)	5,278
– Roads	343,706	(113,253)	230,453	8,541	—	—	(7,677)	(612)	—	—	351,635	(120,930)	230,705
– Bridges	53,461	(24,985)	28,476	—	2,318	—	(527)	(34)	—	—	55,745	(25,512)	30,233
– Footpaths	7,863	(2,206)	5,657	70	—	—	(106)	—	(1)	—	7,933	(2,313)	5,620
– Bulk earthworks (non-depreciable)	95,290	—	95,290	—	—	—	—	—	—	—	95,290	—	95,290
– Stormwater drainage	28,420	(16,908)	11,512	—	269	—	(315)	—	—	—	28,689	(17,223)	11,466
– Water supply network	72,618	(31,317)	41,301	—	284	—	(916)	—	—	646	73,815	(32,500)	41,315
– Sewerage network	71,210	(29,784)	41,426	—	4,356	—	(1,139)	—	—	645	73,267	(27,979)	45,288
– Swimming pools	8,073	(3,830)	4,243	—	40	—	(148)	—	1	482	8,870	(4,252)	4,618
– Other open space/recreational assets	10,832	(4,151)	6,681	—	545	—	(284)	—	(912)	909	11,952	(5,013)	6,939
Other assets:													
– Library books	560	(380)	180	93	—	—	(85)	—	—	—	653	(465)	188
Reinstatement, rehabilitation and restoration assets (refer Note 17):													
– Tip assets	304	(304)	—	—	—	—	—	—	—	—	304	(304)	—
– Quarry assets	640	(303)	337	—	—	—	(11)	—	—	—	640	(314)	326
Total Infrastructure, property, plant and equipment	864,018	(300,909)	563,109	17,609	7,918	(513)	(16,991)	(646)	5	3,475	888,903	(314,937)	573,966

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

Notes to the Financial Statements

for the year ended 30 June 2020

Note 10(a). Infrastructure, property, plant and equipment (continued)

Accounting policy for infrastructure, property, plant and equipment

ASSET POLICY

Infrastructure, property, plant and equipment (I,PP&E)

Acquisition of assets

Council's non-current assets are continually revalued (over a 5-year period) in accordance with the fair valuation policy as mandated by the Office of Local Government.

At balance date, the following classes of I,PP&E were stated at their fair value:

- **Operational Land**
(External Valuation as at 30/6/18)
- **Buildings – Specialised**
(External Valuation as at 30/6/18)
- **Buildings – Non Specialised**
(External Valuation as at 30/6/18)
- **Plant and Equipment**
(Fair Value approximated by depreciated historical cost)
- **Roads Assets Including K&G**
(External Valuation as at 30/6/20)
- **Bridges**
(External Valuation as at 30/6/20)
- **Footpaths**
(External Valuation as at 30/6/20)
- **Bulk Earthworks**
(External Valuation as at 30/6/20)
- **Stormwater Drainage**
(External Valuation as at 30/6/20)
- **Community Land**
(External Valuation as at 30/6/18)
- **Land Improvements**
(External Valuation as at 30/6/18)
- **Water Supply Network**
(Internal Valuation as at 30/6/17)
- **Sewer Network**
(Internal Valuation as at 30/6/17)
- **Open Space Recreation**
(External Valuation as at 30/6/19)
- **Swimming Pools**
(External Valuation as at 30/6/19)
- **Other Structures**
(External Valuation as at 30/6/19)
- **Library Books**
(Fair Value approximated by depreciated historical cost)
- **Office Equipment Furniture & Fittings**

Notes to the Financial Statements

for the year ended 30 June 2020

Note 10(a). Infrastructure, property, plant and equipment (continued)

(Fair Value approximated by depreciated historical cost)

- **Reinstatements**

(Internal valuation 30/6/20)

Initial recognition

On initial recognition, an asset's cost is measured at its fair value, plus all expenditure that is directly attributable to the acquisition.

Where settlement of any part of an asset's cash consideration is deferred, the amounts payable in the future are discounted to their present value as at the date of recognition (i.e. date of exchange) of the asset to arrive at fair value.

The discount rate used is the Council's incremental borrowing rate, being the rate at which a similar borrowing could be obtained from an independent financier under comparable terms and conditions.

Where infrastructure, property, plant and equipment assets are acquired for no cost or for an amount other than cost, the assets are recognised in the financial statements at their fair value at acquisition date – being the amount that the asset could have been exchanged between knowledgeable willing parties in an arm's length transaction.

Upon the consolidation of all asset registers from Boorowa Harden and Young upon the merger to form Hilltops Council all assets were imported with the asset useful lives that were recorded in the legacy asset registers. These useful lives and depreciation rates have been reviewed and standardised for each asset category in line with this policy at the time that revaluation of the asset categories occurs within the 5 year revaluation cycle of Council.

Subsequent costs

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably.

All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred.

Asset revaluations (including indexation)

In accounting for asset revaluations relating to infrastructure, property, plant and equipment:

- increases in the combined carrying amounts of asset classes arising on revaluation are credited to the asset revaluation reserve,
- to the extent that a net asset class increase reverses a decrease previously recognised via the profit or loss, then increase is first recognised in profit or loss,
- net decreases that reverse previous increases of the same asset class are first charged against revaluation reserves directly in equity to the extent of the remaining reserve attributable to the asset, with all other decreases charged to the Income Statement.

Water and sewerage network assets are indexed annually between full revaluations in accordance with the latest indices provided by DPI Water.

For all other assets, Council assesses at each reporting date whether there is any indication that a revalued asset's carrying amount may differ materially from that which would be determined if the asset were revalued at the reporting date.

If any such indication exists, Council determines the asset's fair value and revalues the asset to that amount.

Full revaluations are undertaken for all assets on a 5-year cycle. External Revaluation of Roads, Bridges, Drainage and earthworks were undertaken in 2020.

Capitalisation thresholds

Items of infrastructure, property, plant and equipment are not capitalised unless their cost of acquisition exceeds the following;

Land

- Operational land	100% Capitalised
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Notes to the Financial Statements

for the year ended 30 June 2020

Note 10(a). Infrastructure, property, plant and equipment (continued)

- Community land	100% Capitalised
- Open space	100% Capitalised
- Land under roads (purchases after 30/6/08)	100% Capitalised
- Land Improvement	> \$5,000
Plant and Equipment	
Plant & Equipment	> \$5,000
Office Furniture	> \$5,000
Office Equipment	> \$5,000
Building	
- Buildings Specialised	> \$10,000
- Buildings Non-Specialised	> \$10,000
- Buildings Other	> \$5,000
Water Supply Network	
Reticulation extensions	> \$5,000
Other	> \$5,000
Sewer Network	
Reticulation extensions	> \$5,000
Other	> \$5,000
Stormwater Assets	
Drains and Culverts	> \$5,000
Other	> \$5,000
Road Assets	
Road construction and reconstruction	> \$10,000
Bridge construction and reconstruction	> \$10,000
Footpaths	> \$5,000
Kerb & Gutter	> \$5,000
Other Infrastructure Assets	
Swimming Pools	> \$5,000
Open Space/Recreational Assets	> \$5,000
Other Structures	> \$5,000
Quarries & Pits	> \$5,000
Library Books	
- Books & Equipment	> \$5,000

Depreciation

Depreciation on Council's infrastructure, property, plant and equipment assets is calculated using the straight-line method in order to allocate an asset's cost over its estimated useful life.

Land is not depreciated.

Estimated useful lives for Council's I, PP and E include:

Plant and Equipment

- Office Equipment	4 to 10 years
- Office furniture	4 to 10 years
- Computer Equipment	4 years
- Light Vehicles	4 to 10 years
- Heavy Plant/Road Making equip.	5 to 10 years
- Other plant and equipment	5 to 25 years

Other Equipment

- Playground equipment	5 to 15 years
- Benches, seats etc	10 to 20 years

Buildings

- Buildings Specialised	40 to 60 years
- Buildings Non-Specialised	40 to 100 years

continued on next page ...

Notes to the Financial Statements

for the year ended 30 June 2020

Note 10(a). Infrastructure, property, plant and equipment (continued)

- Buildings Other	40 to 60 years
Stormwater Drainage	
- Drains	80 to 100 years
- Culverts	80 to 100 years
Road Assets	
- Sealed Roads: Surface	15 to 50 years
- Sealed Roads: Structure	50 to 150 years
- Bridge: Concrete	80 to 100 years
- Footpaths	15 to 50 years
- Kerb & Gutter	15 to 50 years
- Bulk earthworks	Not Depreciated
Water and Sewer Assets	
- Dams and reservoirs	80 to 100 years
- Reticulation pipes: PVC	70 to 80 years
- Reticulation pipes: Other	25 to 75 years
- Pumps and telemetry	10 to 20 years
Other Infrastructure Assets	
- Bulk earthworks	Not Depreciated
- Swimming Pools	25 to 60 years
- Open Space Recreational Assets	15 to 60 years
- Other Structures	20 to 60 years
Quarries & Pits	3-5 Years
Library Books	
- Books & Equipment	5 Years

All asset values and useful lives are reviewed and adjusted (if appropriate) at each reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Disposal and derecognition

An item of property, plant and equipment is derecognised upon disposal or when no further future economic benefits are expected from its use or disposal.

Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in Council's Income Statement in the year the asset is derecognised.

Land

Land (other than land under roads) is in accordance with Part 2 of Chapter 6 of the *Local Government Act (1993)* classified as either operational or community.

Land under roads

Land under roads is land under roadways and road reserves, including land under footpaths, nature strips and median strips.

Council has elected not to recognise land under roads acquired before 1 July 2008 in accordance with AASB 1051.

Land under roads acquired after 1 July 2008 is recognised in accordance with AASB 116 – Property, Plant and Equipment.

Intangible assets

Notes to the Financial Statements

for the year ended 30 June 2020

Note 10(a). Infrastructure, property, plant and equipment (continued)

Council has not classified any assets as intangible.

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council.

While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Investment property

Investment property comprises land and/or buildings that are principally held for long-term rental yields, capital gains or both, that is not occupied by Council.

Investment property is carried at fair value, representing an open-market value determined annually by external valuers.

Annual changes in the fair value of investment properties are recorded in the Income Statement as part of 'other income'.

Full revaluations are carried out every 5 years with an appropriate index utilised each year in between the full revaluations.

The last full revaluation for Council's investment properties was dated at 30 June 2018.

Provisions for Restoration and for Environmental Clean-up Costs – including Tips and Quarries

Close down, restoration and remediation costs include the dismantling and demolition of infrastructure, the removal of residual materials and the remediation of disturbed areas.

Estimated close down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs.

Provisions for close down and restoration costs do not include any additional obligations that are expected to arise from future disturbance.

Costs are estimated on the basis of a closure plan.

The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

Close down, restoration and remediation costs are a normal consequence of tip and quarry operations, and the majority of close down and restoration expenditure is incurred at the end of the life of the operations.

Although the ultimate cost to be incurred is uncertain, Council estimates the respective costs based on feasibility and engineering studies using current restoration standards and techniques.

The amortisation or 'unwinding' of the discount applied in establishing the net present value of provisions is charged to the Income Statement in each accounting period.

This amortisation of the discount is disclosed as a borrowing cost in Note 5.

Other movements in the provisions for close down, restoration and remediation costs including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations and revisions to discount rates are capitalised within property, plant and equipment.

These costs are then depreciated over the lives of the assets to which they relate.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 10(a). Infrastructure, property, plant and equipment (continued)

Where rehabilitation is conducted systematically over the life of the operation, rather than at the time of closure, provision is made for the estimated outstanding continuous rehabilitation work at each balance sheet date and the cost is charged to the Income Statement.

Provision is made for the estimated present value of the costs of environmental clean-up obligations outstanding at the balance sheet date.

These costs are charged to the Income Statement.

Movements in the environmental clean-up provisions are presented as an operating cost, except for the unwinding of the discount, which is shown as a borrowing cost.

Remediation procedures generally commence soon after the time the damage, remediation process and estimated remediation costs become known, but may continue for many years depending on the nature of the disturbance and the remediation techniques.

As noted above, the ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques or experience at other locations.

The expected timing of expenditure can also change, for example, in response to changes in quarry reserves or production rates.

As a result there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

Specific information about Council's provisions relating to close down, restoration and remediation costs can be found at Note 26.

Non-current assets (or disposal groups) 'held for sale' and discontinued operations

Non-current assets (or disposal groups) are classified as held for sale and stated at the lower of either

- their carrying amount and
- fair value less costs to sell, if their carrying amount will be recovered principally through a sale transaction rather than through continuing use.

The exception to this is plant and motor vehicles, which are turned over on a regular basis. Plant and motor vehicles are retained in non-current assets under the classification of infrastructure, property, plant and equipment.

For any assets or disposal groups classified as non-current assets 'held for sale', an impairment loss is recognised at any time when the assets carrying value is greater than its fair value less costs to sell.

Non-current assets 'held for sale' are not depreciated or amortised while they are classified as 'held for sale'.

Non-current assets classified as 'held for sale' are presented separately from the other assets in the balance sheet.

A discontinued operation is a component of Council that has been disposed of or is classified as 'held for sale' and that represents a separate major line of business or geographical area of operations, is part of a single co-ordinated plan to dispose of such a line of business or area of operations, or is a subsidiary acquired exclusively with a view to resale.

The results of discontinued operations are presented separately on the face of the Income Statement.

Impairment of assets

All Council's I,PP&E is subject to an annual assessment of impairment.

Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 10(a). Infrastructure, property, plant and equipment (continued)

The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

Where an asset is not held principally for cash-generating purposes (for example infrastructure assets) and would be replaced if the Council was deprived of it, then depreciated replacement cost is used as value in use, otherwise value in use is estimated by using a discounted cash flow model.

Non-financial assets (other than goodwill) that suffered a prior period impairment are reviewed for possible reversal of the impairment at each reporting date.

Goodwill and other intangible assets that have an indefinite useful life and are not subject to amortisation are tested annually for impairment.

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council. While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Rural Fire Service assets

Under Section 119 of the *Rural Fire Services Act 1997 (NSW)*, "all firefighting equipment purchased or constructed wholly or from money to the credit of the Fund is to be vested in the council of the area for or on behalf of which the firefighting equipment has been purchased or constructed".

Until such time as discussions on this matter have concluded and the legislation changed, Council will recognise rural fires service assets including land and buildings, but will not recognise plant and vehicles.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 10(b). Externally restricted infrastructure, property, plant and equipment

\$ '000	as at 30/06/20			as at 30/06/19		
	Gross carrying amount	Accumulated depn. and impairment	Net carrying amount	Gross carrying amount	Accumulated depn. and impairment	Net carrying amount
Water supply						
Plant and equipment	719	586	133	639	561	78
Office equipment	99	62	37	99	58	41
Land						
– Operational land	196	–	196	196	–	196
Buildings	18	18	–	18	18	–
Infrastructure	76,096	34,054	42,042	73,658	32,507	41,151
Total water supply	77,128	34,720	42,408	74,610	33,144	41,466
Sewerage services						
Plant and equipment	1,907	1,862	45	1,926	1,844	82
Land						
– Operational land	570	–	570	570	–	570
Buildings	803	188	615	804	179	625
Infrastructure	74,665	29,647	45,018	73,328	28,032	45,296
Total sewerage services	77,945	31,697	46,248	76,628	30,055	46,573
Domestic waste management						
Plant and equipment	254	–	254	203	186	17
Land						
Total DWM	254	–	254	203	186	17
Other restricted assets						
Plant and equipment	1,552	1,085	467	1,552	964	588
Other Structures	199	38	161	199	21	178
Total other restrictions	1,751	1,123	628	1,751	985	766
TOTAL RESTRICTED IPP&E	157,078	67,540	89,538	153,192	64,370	88,822

Notes to the Financial Statements

for the year ended 30 June 2020

Note 11. Contract assets and liabilities

\$ '000		2020 Current	2020 Non-current
(a) Contract assets			
Other		3,378	—
Total Contract assets		3,378	—

\$ '000	Notes	2020 Current	2020 Non-current
(b) Contract liabilities			
Grants and contributions received in advance:			
Unexpended capital grants (to construct Council controlled assets)	(i)	6,284	—
Unexpended operating grants (received prior to performance obligation being satisfied)	(ii)	147	—
Total grants received in advance		6,431	—
User fees and charges received in advance:			
Other		566	—
Total user fees and charges received in advance		566	—
Total contract liabilities		6,997	—

Notes

(i) Council has received funding to construct assets including sporting facilities, bridges, library and other infrastructure. The funds received are under an enforceable contract which require Council to construct an identified asset which will be under Council's control on completion. The revenue is recognised as Council constructs the asset and the contract liability reflects the funding received which cannot yet be recognised as revenue. The revenue is expected to be recognised in the next 12 months.

(ii) The contract liability relates to grants received prior to the revenue recognition criteria in AASB 15 being satisfied since the performance obligations are ongoing.

\$ '000	2020
(ii) Revenue recognised (during the financial year) from opening contract liability balances	
Grants and contributions received in advance:	
Capital grants (to construct Council controlled assets)	7,332
Total Revenue recognised during the financial year that was included in the contract liability balance at the beginning of the period	7,332

Significant changes in contract assets and liabilities

The contract liabilities have arisen on adoption of AASB 15 and AASB 1058. Previously income received in advance was recognised for reciprocal contracts. The increase in a contract liability is primarily due to grants in the scope of AASB 15 and capital grants received by Council to acquire or construct assets which will be under Council's control. Previously, revenue was recognised on receipt of the funds.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 11. Contract assets and liabilities (continued)

Accounting policy for contract assets and liabilities

Where the amounts billed to customers are based on the achievement of various milestones established in the contract, the amounts recognised as revenue in a given period do not necessarily coincide with the amounts billed to or certified by the customer.

When a performance obligation is satisfied by transferring a promised good or service to the customer before the customer pays consideration or before the payment is due, Council presents the work in progress as a contract asset, unless the rights to that amount of consideration are unconditional, in which case Council recognises a receivable.

When an amount of consideration is received from a customer / fund provider prior to Council transferring a good or service to the customer, Council presents the funds which exceed revenue recognised as a contract liability.

Note 12. Leases

The Council has applied AASB 16 using the modified retrospective (cumulative catch-up) method and therefore the comparative information has not been restated and continues to be reported under AASB 117 and related Interpretations.

(i) Council as a lessee

Council has a lease over Vehicles in the asset class plant and equipment. Information relating to the leases in place and associated balances and transactions is provided below.

Vehicles

Council leases 2 vehicles for waste collection and recycling with lease terms over 7 years; the lease payments are fixed during the lease term and there is no renewal option.

\$ '000	Plant & Equipment	Ready to use	Total
Opening balance at 30 June 2019	640	–	640
Depreciation charge	(118)	–	(118)
<u>RIGHT OF USE ASSETS</u>	<u>522</u>	<u>–</u>	<u>522</u>

\$ '000	2020 Current	2020 Non-current
Lease liabilities	109	430
<u>TOTAL LEASE LIABILITIES</u>	<u>109</u>	<u>430</u>

(i) The maturity analysis

The maturity analysis of lease liabilities based on contractual undiscounted cash flows is shown in the table below:

Notes to the Financial Statements

for the year ended 30 June 2020

Note 12. Leases (continued)

\$ '000	< 1 year	1 – 5 years	> 5 years	Total	Total per Statement of Financial Position
Cash flows	141	480	–	621	539
\$ '000					2020

(c) Income Statement

The amounts recognised in the Income Statement relating to leases where Council is a lessee are shown below:

Interest on lease liabilities	39
Depreciation of right of use assets	118
Expenses relating to short-term leases	6
	163

(d) Statement of Cash Flows

Total cash outflow for leases	(141)
	(141)

Accounting policy

Accounting policies under AASB 16 – applicable from 1 July 2019

At inception of a contract, Council assesses whether a lease exists – i.e. does the contract convey the right to control the use of an identified asset for a period of time in exchange for consideration?

Council has elected not to separate non-lease components from lease components for any class of asset and has accounted for payments as a single component.

At the lease commencement, Council recognises a right-of-use asset and associated lease liability for the lease term. The lease term includes extension periods where Council believes it is reasonably certain that the option will be exercised.

The right-of-use asset is measured using the cost model where cost on initial recognition comprises: the lease liability, initial direct costs, prepaid lease payments, estimated cost of removal and restoration, less any lease incentives. The right-of-use is depreciated over the lease term on a straight-line basis and assessed for impairment in accordance with the impairment of asset accounting policy.

The lease liability is initially recognised at the present value of the remaining lease payments at the commencement of the lease. The discount rate is the rate implicit in the lease, however where this cannot be readily determined then the Council's incremental borrowing rate for a similar term with similar security is used.

Subsequent to initial recognition, the lease liability is measured at amortised cost using the effective interest rate method. The lease liability is re-measured when there is a lease modification, or change in estimate of the lease term or index upon which the lease payments are based (e.g. CPI).

Where the lease liability is re-measured, the right-of-use asset is adjusted to reflect the re-measurement.

Exceptions to lease accounting

Council has applied the exceptions to lease accounting for both short-term leases (i.e. leases with a term of less than or equal to 12 months) and leases of low-value assets. Council recognises the payments associated with these leases as an expense on a straight-line basis over the lease term.

Leases at significantly below market value / concessionary leases

Notes to the Financial Statements

for the year ended 30 June 2020

Note 12. Leases (continued)

Council has elected to measure the right of use asset arising from the concessionary leases at cost which is based on the associated lease liability at initial recognition.

Accounting policy under AASB 117 and associated Accounting Interpretations (2019 only)

Refer to Note 5c and Note 15.

(ii) Council as a lessor

(e) Operating leases

Council leases out a number of properties and /or plant and equipment to community groups; these leases have been classified as operating leases for financial reporting purposes and the assets are included as IPP&E (refer in this note part (v) below) in the Statement of Financial Position.

The amounts recognised in the Income Statement relating to operating leases where Council is a lessor are shown below:

\$ '000	2020
(i) Operating lease income	
Other lease income	
Room/Facility Hire	568
Total income relating to operating leases	568

Accounting policy

When Council is a lessor, the lease is classified as either an operating or finance lease at inception date, based on whether substantially all of the risks and rewards incidental to ownership of the asset have been transferred to the lessee. If the risks and rewards have been transferred then the lease is classified as a finance lease, otherwise it is an operating lease.

When Council has a sub-lease over an asset and is the intermediate lessor then the head lease and sub-lease are accounted for separately. The classification of the sub-lease is based on the right-of-use asset which arises from the head lease rather than the useful life of the underlying asset.

If the lease contains lease and non-lease components then the non-lease components are accounted for in accordance with AASB 15 *Revenue from Contracts with Customers*.

The lease income is recognised on a straight-line basis over the lease term.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 13. Payables and borrowings

\$ '000	2020 Current	2020 Non-current	2019 Current	2019 Non-current
Payables				
Prepaid rates	–	–	–	–
Goods and services – operating expenditure	2,509	–	1,745	–
Accrued expenses:				
– Borrowings	–	–	57	–
– Salaries and wages	239	–	66	18
– Other expenditure accruals	1,398	73	2,984	8
Funds held for Section 355 Committees	139	–	95	–
Security bonds, deposits and retentions	1,098	–	634	–
ATO – net GST payable	334	–	1,081	–
Government departments and agencies	325	–	77	4
Other	235	–	238	–
Total payables	6,277	73	6,977	30
Income received in advance (2019 only)				
Payments received in advance	–	–	499	–
Total income received in advance	–	–	499	–
Borrowings				
Loans – secured ¹	1,910	17,184	1,343	10,513
Total borrowings	1,910	17,184	1,343	10,513
<u>TOTAL PAYABLES AND BORROWINGS</u>	<u>8,187</u>	<u>17,257</u>	<u>8,819</u>	<u>10,543</u>

(1) Loans are secured over the general rating income of Council.

Disclosures on liability interest rate risk exposures, fair value disclosures and security can be found in Note 20.

\$ '000	2020 Current	2020 Non-current	2019 Current	2019 Non-current
(a) Payables and borrowings relating to restricted assets				
Externally restricted assets				
Water	559	3,227	652	–
Sewer	747	9,702	437	7,029
Payables and borrowings relating to externally restricted assets	1,306	12,929	1,089	7,029
Total payables and borrowings relating to restricted assets	1,306	12,929	1,089	7,029
Total payables and borrowings relating to unrestricted assets	6,881	4,328	7,730	3,514
<u>TOTAL PAYABLES AND BORROWINGS</u>	<u>8,187</u>	<u>17,257</u>	<u>8,819</u>	<u>10,543</u>

Notes to the Financial Statements

for the year ended 30 June 2020

Note 13. Payables and borrowings (continued)

\$ '000	2020	2019
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(b) Current payables and borrowings not anticipated to be settled within the next twelve months

The following liabilities, even though classified as current, are not expected to be settled in the next 12 months.

Payables – security bonds, deposits and retentions	995	584
Other liabilities	–	3
Total payables and borrowings	995	587

(c) Changes in liabilities arising from financing activities

\$ '000	as at 30/06/19		Non-cash changes				as at 30/06/19
	Opening Balance	Cash flows	Acquisition	Fair value changes	Acquisition due to change in accounting policy	Other non-cash movement	Closing balance
Loans – secured	11,856	7,238	–	–	–	–	19,094
Lease liabilities	–	539	–	–	–	–	539
TOTAL	11,856	7,777	–	–	–	–	19,633

\$ '000	as at 30/06/18		Non-cash changes			as at 30/06/19
	Opening Balance	Cash flows	Acquisition	Fair value changes	Other non-cash movement	Closing balance
Loans – secured	13,209	(1,353)	–	–	–	11,856
TOTAL	13,209	(1,353)	–	–	–	11,856

Accounting policy for payables and borrowings

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

The financial liabilities of the Council comprise trade payables, bank and other loans and finance lease liabilities.

Payables

These amounts represent liabilities for goods and services provided to the council prior to the end of financial year that are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition.

Borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in the Income Statement over the period of the borrowings using the effective-interest method. Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the drawdown occurs. To the extent that there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalised as a prepayment for liquidity services and amortised over the period of the facility to which it relates.

Borrowings are removed from the Statement of Financial Position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in other income or finance cost.

Borrowings are classified as current liabilities unless Council has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 14. Provisions

\$ '000	2020 Current	2020 Non-current	2019 Current	2019 Non-current
Provisions				
Employee benefits				
Annual leave	1,918	–	1,724	–
Sick leave	793	–	758	–
Long service leave	2,604	1,565	4,445	185
RDO leave	251	–	109	–
Sub-total – aggregate employee benefits	5,566	1,565	7,036	185
Asset remediation/restoration:				
Asset remediation/restoration (future works)	–	8,274	–	8,034
Sub-total – asset remediation/restoration	–	8,274	–	8,034
<u>TOTAL PROVISIONS</u>	<u>5,566</u>	<u>9,839</u>	<u>7,036</u>	<u>8,219</u>

(a) Provisions relating to restricted assets

Externally restricted assets

Water	228	–	314	–
Sewer	121	–	165	–
Provisions relating to externally restricted assets	349	–	479	–
Total provisions relating to restricted assets	349	–	479	–
Total provisions relating to unrestricted assets	5,217	9,839	6,557	8,219
<u>TOTAL PROVISIONS</u>	<u>5,566</u>	<u>9,839</u>	<u>7,036</u>	<u>8,219</u>

\$ '000	2020	2019
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(b) Current provisions not anticipated to be settled within the next twelve months

The following provisions, even though classified as current, are not expected to be settled in the next 12 months.

Provisions – employees benefits	3,873	4,916
	<u>3,873</u>	<u>4,916</u>

Notes to the Financial Statements

for the year ended 30 June 2020

Note 14. Provisions (continued)

(c) Description of and movements in provisions

\$ '000	ELE provisions				Total
	Annual leave	Sick leave	Long service leave	Other employee benefits	
2020					
At beginning of year	1,724	758	4,630	109	7,221
Additional provisions	1,388	35	127	142	1,692
Amounts used (payments)	(1,194)	–	(588)	–	(1,782)
Total ELE provisions at end of year	1,918	793	4,169	251	7,131
2019					
At beginning of year	1,889	622	4,227	64	6,802
Additional provisions	1,322	136	1,044	45	2,547
Amounts used (payments)	(1,487)	–	(641)	–	(2,128)
Total ELE provisions at end of year	1,724	758	4,630	109	7,221

\$ '000	Other provisions	
	Asset remediation	Total
2020		
At beginning of year	8,034	8,034
Other	240	240
Total other provisions at end of year	8,274	8,274
2019		
At beginning of year	7,215	7,215
Other	819	819
Total other provisions at end of year	8,034	8,034

Accounting policy for provisions

Provisions are recognised when Council has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount has been reliably estimated.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the reporting date. The discount rate used to determine the present value reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as interest expense.

Employee benefits

Short-term obligations

Liabilities for wages and salaries (including non-monetary benefits, annual leave and accumulating sick leave expected to be wholly settled within 12 months after the end of the period in which the employees render the related service) are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liability for annual leave and accumulating sick leave is recognised in the provision for employee benefits. All other short-term employee benefit obligations are presented as payables.

Other long-term employee benefit obligations

Notes to the Financial Statements

for the year ended 30 June 2020

Note 14. Provisions (continued)

The liability for long-service leave and annual leave that is not expected to be wholly settled within 12 months after the end of the period in which the employees render the related service is recognised in the provision for employee benefits and measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. Expected future payments are discounted using market yields at the end of the reporting period on national government bonds with terms to maturity and currency that match, as closely as possible, the estimated future cash outflows.

On-costs

The employee benefit provisions include the aggregate on-cost liabilities that will arise when payment of current employee benefits is made in future periods.

These amounts include superannuation, payroll tax and workers compensation expenses which will be payable upon the future payment of certain leave liabilities which employees are entitled to at the reporting period.

The obligations are presented as current liabilities in the Statement of Financial Position if the Council does not have an unconditional right to defer settlement for at least 12 months after the reporting date, regardless of when the actual settlement is expected to occur.

Provisions for close-down and restoration, and environmental clean-up costs – tips and quarries

Restoration

Close-down and restoration costs include the dismantling and demolition of infrastructure, and the removal of residual materials and remediation of disturbed areas. Estimated close-down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs.

Provisions for close-down and restoration costs do not include any additional obligations which are expected to arise from future disturbance. The costs are estimated on the basis of a closure plan. The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

Rehabilitation

Where rehabilitation is conducted systematically over the life of the operation, rather than at the time of closure, provision is made for the estimated outstanding continuous rehabilitation work at each reporting date, and the cost is charged to the Income Statement.

Provision is made for the estimated present value of the costs of environmental clean-up obligations outstanding at the reporting date. These costs are charged to the Income Statement. Movements in the environmental clean-up provisions are presented as an operating cost, except for the unwinding of the discount which is shown as a borrowing cost.

Remediation procedures generally commence soon after the time the damage, remediation process, and estimated remediation costs become known, but may continue for many years depending on the nature of the disturbance and the remediation techniques.

As noted above, the ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques, or experience at other locations. The expected timing of expenditure can also change, for example in response to changes in quarry reserves or production rates. As a result, there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

Other movements in the provisions for close-down and restoration costs, including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations, and revisions to discount rates, are capitalised within property, plant and equipment. These costs are then depreciated over the lives of the assets to which they relate.

Close-down and restoration costs are a normal consequence of tip and quarry operations, and the majority of close-down and restoration expenditure is incurred at the end of the life of the operations. Although the ultimate cost to be incurred is uncertain, Council estimates the respective costs based on feasibility and engineering studies using current restoration standards and techniques.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 15. Accumulated surplus, revaluation reserves, changes in accounting policies, changes in accounting estimates and errors

(a) Nature and purpose of reserves

Infrastructure, property, plant and equipment revaluation reserve

The infrastructure, property, plant and equipment revaluation reserve is used to record increments / decrements of non-current asset values due to their revaluation.

Fair value through other comprehensive income reserve (FVOCI)

Changes in the fair value of financial assets are taken through the fair value through other comprehensive income revaluation reserve. The accumulated changes in fair value are transferred to profit or loss when the financial asset is derecognised or impaired.

(b) Correction of errors relating to a previous reporting period

Nature of prior-period error

Council has historically recognised a liability for Southern Slopes County Council (which was amalgamated with Hilltops Council) for a value equivalent to the cash transferred on amalgamation. Other assets and liabilities were recognised through equity at the time. The liability was created in error and the value of 663k has been reversed in the prior year.

The errors identified above have been corrected by restating the balances at the beginning of the earliest period presented (1 July 2018) and taking the adjustment through to accumulated surplus at that date.

Comparatives have been changed to reflect the correction of errors. The impact on each line item is shown in the tables below.

Changes to the opening Statement of Financial Position at 1 July 2018**Statement of Financial Position**

\$ '000	Original Balance 1 July, 2018	Impact Increase/ (decrease)	Restated Balance 1 July, 2018
Payables	6,467	(663)	5,804
Total liabilities	—	(663)	(663)
Accumulated Surplus	568,402	663	569,065
Total equity	—	663	663

Adjustments to the comparative figures for the year ended 30 June 2019**Statement of Financial Position**

\$ '000	Original Balance 30 June, 2019	Impact Increase/ (decrease)	Restated Balance 30 June, 2019
Payables	7,639	—	7,639
Accumulated Surplus	571,754	—	571,754

Notes to the Financial Statements

for the year ended 30 June 2020

Note 15. Accumulated surplus, revaluation reserves, changes in accounting policies, changes in accounting estimates and errors (continued)

(ii) AASB 15 and AASB 1058

The following approach has been applied on transition to AASB 15 and AASB 1058:

- Council has not adopted the completed contract expedient and therefore has not excluded revenue which was fully recognised in previous years in accordance with the former accounting standards and pronouncements
- Council has retrospectively restated contracts for modifications that occurred before 1 July 2019 unless such contract modification were minor.

Costs incurred in fulfilling customer contracts

Prior to adopting AASB 15 Council would recognise direct costs associated with fulfilling customer contracts as expenses when incurred, as they did not qualify for recognition as assets under any other accounting standards. Under AASB 15, as these costs relate directly to the contracts, generate resources used in satisfying the contracts, and are expected to be recovered, they are capitalised as 'costs to fulfil a contract' assets and released through profit and loss on the same basis as the revenue is recognised.

Revenue recognition from contract modifications

In relation to contract modifications, AASB 15 requires customer approval, which is a more prudent criteria than the probability requirement in the previous standards and has resulted in deferral of revenue where unapproved works have been performed.

Transfer of control to a customer – over time or at a point in time

AASB 15 has specific criteria regarding whether control is transferred over time or at a point in time. The entity has reviewed its contracts and concluded that the criteria for recognition over time is not met in some circumstances. In such cases, revenue and related production costs will be recognised at the delivery of each separate performance obligation instead of over the contract using a single margin.

Principal v agent

Prior to adoption of AASB 15, the Council had assessed that they were a principal in transactions where another party was involved in providing the goods or services including pass-through grants.

Under AASB 15, the indicators of a principal have changed and there are now a number of performance obligations within grant agreements where the Council is acting as an agent since the only obligation is to transfer the funds to a third party. The result is that Council can only recognise the "commission" to which they are entitled rather than the gross revenue and expenses. There is no change to reported profit.

Licences

Council has reviewed the licences it grants and considers that all licences are either short-term or low value and elects to recognise all revenue from licences up-front rather than spreading them over the life of the licence.

Prepaid rates

Under AASB 1004, rates were recorded as revenue at the earliest of receipt of the funds from the ratepayer and the beginning of the rating period. Under AASB 1058, prepaid rates are recognised as a financial liability until the beginning of the rating period.

Grants – operating

Under AASB 1004, most grant income was recognised as revenue on receipt. Under AASB 15, where an agreement is enforceable and contains sufficiently specific performance obligations, the revenue is either recognised over time as the work is performed, or recognised at the point in time that the control of the services passes to the customer.

Grants – capital

Under AASB 1004, most grant monies were recorded as revenue on receipt. Under AASB 1058, where Council has received assets (including cash) to acquire or construct a non-financial asset, the asset is to be controlled by Council and the contract is enforceable, then the asset is recognised as a contract liability on receipt and recorded as revenue as the performance obligation to acquire or construct the asset is completed.

Changes in presentation

In addition to the above changes in accounting policies, the Council has also amended the presentation of certain items to align them with the requirements of AASB 15 and AASB 1058:

- Movement of balances between receivables and contract assets.
- Additional line items of contract assets, contract cost assets and contract liabilities have been created.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 15. Accumulated surplus, revaluation reserves, changes in accounting policies, changes in accounting estimates and errors (continued)

	Balance at 1 July 2019
\$ '000	
Opening contract balances at 1 July 2019	
Contract assets	
– Under AASB 15	3,563
– Under AASB 1058	–
Total Contract assets	<u>3,563</u>
Contract liabilities	
– Under AASB 15	149
– Under AASB 1058	13,614
Total Contract liabilities	<u>13,763</u>

Notes to the Financial Statements

for the year ended 30 June 2020

Note 15. Accumulated surplus, revaluation reserves, changes in accounting policies, changes in accounting estimates and errors (continued)

Comparison of financial statement line items under AASB 15 compared to previous standards for the current year

The following tables show the impact of adopting AASB 15 and AASB 1058 on the Council's financial statements for the year ended 30 June 2020.

Statement of Financial Position

\$ '000	Carrying amount per Statement of Financial Position under AASB 15 and AASB 1058	Reclassification	Remeasurement	Carrying amount under previous revenue standards	Notes
Current assets					
Cash and cash equivalents	22,048	—	—	22,048	
Investments	14,199	—	—	14,199	
Receivables	10,760	3,378	—	14,138	
Inventories	906	—	—	906	
Contract assets	3,378	(3,378)	—	—	
Other	26	—	—	26	
Total current assets	51,317	—	—	51,317	
Current liabilities					
Payables	6,277	—	—	6,277	
Contract liabilities	6,997	(6,994)	—	3	
Lease liabilities	109	—	—	109	
Borrowings	1,910	—	—	1,910	
Provisions	5,566	—	—	5,566	
Total current liabilities	20,859	(6,994)	—	13,865	
Non-current assets					
Infrastructure, property, plant and equipment	639,229	—	—	639,229	
Right of use assets	522	—	—	522	
Total non-current assets	639,751	—	—	639,751	
Non-current liabilities					
Payables	73	—	—	73	
Lease liabilities	430	—	—	430	
Borrowings	17,184	—	—	17,184	
Provisions	9,839	—	—	9,839	
Total Non-current liabilities	27,526	—	—	27,526	
Net assets	642,683	6,994	—	649,677	
Equity					
Accumulated surplus	565,717	6,994	—	572,711	
Revaluation reserves	76,181	—	—	76,181	
Other reserves	785	—	—	785	
Council equity interest	642,683	6,994	—	649,677	
Total equity	642,683	6,994	—	649,677	

Notes to the Financial Statements

for the year ended 30 June 2020

Note 15. Accumulated surplus, revaluation reserves, changes in accounting policies, changes in accounting estimates and errors (continued)

Funds under AASB 1058 which have been received prior to the satisfaction of the performance obligation.

Income Statement

\$ '000	Income Statement and comprehensive income under AASB 15 and AASB 1058	Reclassification	Remeasurement	Income Statement and comprehensive income under previous revenue standards	Notes
<u>Income from continuing operations</u>					
Rates and annual charges	23,393	—	—	23,393	
User charges and fees	8,905	—	—	8,905	
Other revenues	649	—	—	649	
Grants and contributions provided for operating purposes	16,014	—	—	16,014	
Grants and contributions provided for capital purposes	17,651	(6,994)	—	10,657	
Interest and investment income	322	—	—	322	
Net gains from the disposal of assets	99	—	—	99	
Rental income	568	—	—	568	
Total Income from continuing operations	67,601	(6,994)	—	60,607	
<u>Expenses from continuing operations</u>					
Employee benefits and on-costs	21,068	—	—	21,068	
Borrowing costs	744	—	—	744	
Materials and contracts	16,331	—	—	16,331	
Depreciation and amortisation	17,920	—	—	17,920	
Other expenses	4,474	—	—	4,474	
Total Expenses from continuing operations	60,537	—	—	60,537	
Total Operating result from continuing operations	7,064	(6,994)	—	70	
Net operating result for the year	7,064	(6,994)	—	70	
Total comprehensive income	59,040	6,994	—	66,034	

Difference in revenue between recognition on receipt under the old standards and as/when performance obligations are met under the new standards.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 15. Accumulated surplus, revaluation reserves, changes in accounting policies, changes in accounting estimates and errors (continued)

Adjustments to the current year figures for the year ended 30 June 2020

Statement of Financial Position

\$ '000	Original Balance 1 July, 2019	Impact Increase/ (decrease)	Restated Balance 1 July, 2019
Contract assets	—	—	—
Total assets	—	—	—
Contract liabilities	—	13,763	13,763
Total liabilities	—	13,763	13,763
Accumulated surplus	—	(13,763)	(13,763)
Total equity	—	(13,763)	(13,763)

(iii) AASB 16 Leases

Notes to the Financial Statements

for the year ended 30 June 2020

Note 15. Accumulated surplus, revaluation reserves, changes in accounting policies, changes in accounting estimates and errors (continued)**Council as a lessee**

Under AASB 117, Council assessed whether leases were operating or finance leases, based on its assessment of whether the significant risks and rewards of ownership had been transferred to Council or remained with the lessor. Under AASB 16, there is no differentiation between finance and operating leases for the lessee and therefore all leases which meet the definition of a lease are recognised on the statement of financial position (except for short-term leases and leases of low-value assets).

Council has used the exception to lease accounting for short-term leases and leases of low-value assets, and the lease expense relating to these leases is recognised in the Income Statement on a straight-line basis.

Practical expedients used on transition

AASB 16 includes a number of practical expedients which can be used on transition. Council has used the following expedients:

- Contracts which had previously been assessed as not containing leases under AASB 117 were not re-assessed on transition to AASB 16.
- Lease liabilities have been discounted using the Council's incremental borrowing rate at 1 July 2019.
- Right-of-use assets at 1 July 2019 have been measured at an amount equal to the lease liability adjustment by the any prepaid or accrued lease payments.
- A single discount rate was applied to all leases with similar characteristics.
- The right-of-use asset was adjusted by the existing onerous lease provision (where relevant) at 30 June 2019 rather than perform impairment testing of the right-of-use asset.
- Excluded leases with an expiry date prior to 30 June 2020 from the Statement of Financial Position, and lease expenses for these leases have been recorded on a straight-line basis over the remaining term.
- Used hindsight when determining the lease term if the contract contains options to extend or terminate the lease.

Financial statement impact of adoption of AASB 16

Council has recognised right-of-use assets and lease liabilities of \$640,439 at 1 July 2019 for leases previously classified as operating leases, or leases that are significantly below market value which were previously off balance sheet.

The weighted average lessee's incremental borrowing rate applied to lease liabilities at 1 July 2019 was 4.2%.

\$ '000	Balance at 1 July 2019
---------	---------------------------

Operating lease commitments at 30 June 2019 per Council financial statements

2

Reconciliation of lease liabilities recognised on adoption of AASB 16 Leases**Add:**

Contracts not accounted for as operating lease commitments last year

640

Lease liabilities recognised at 1 July 2019

640

Council as a lessor

For the arrangements where Council is a lessor, there are no significant accounting policy changes on adoption of AASB 16 except for sub-leases, which have now been classified in relation to the right-of-use asset under the head lease rather than the underlying asset.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 15. Accumulated surplus, revaluation reserves, changes in accounting policies, changes in accounting estimates and errors (continued)

Adjustments to the current year figures for the year ended 30 June 2020

Statement of Financial Position

\$ '000	Original Balance 1 July, 2019	Impact Increase/ (decrease)	Restated Balance 1 July, 2019
Rights-of-use assets	—	640	640
Total assets	—	640	640
Leases	—	640	640
Total liabilities	—	640	640
Accumulated surplus	—	—	—
Total equity	—	—	—

Notes to the Financial Statements

for the year ended 30 June 2020

Note 16. Statement of cash flow information

\$ '000	Notes	2020	2019
(a) Reconciliation of cash and cash equivalents			
Total cash and cash equivalents per Statement of Financial Position	7(a)	22,048	11,361
Balance as per the Statement of Cash Flows		22,048	11,361
(b) Reconciliation of net operating result to cash provided from operating activities			
Net operating result from Income Statement		7,064	3,351
Adjust for non-cash items:			
Depreciation and amortisation		17,920	16,991
Net losses/(gains) on disposal of assets		(99)	(459)
Adoption of AASB 15/1058		(13,763)	–
Losses/(gains) recognised on fair value re-measurements through the P&L:			
– Revaluation decrements / impairments of IPP&E direct to P&L		–	646
+/- Movement in operating assets and liabilities and other cash items:			
Decrease/(increase) in receivables		7,979	(9,083)
Increase/(decrease) in provision for doubtful debts		–	(1)
Decrease/(increase) in inventories		(31)	204
Decrease/(increase) in other assets		–	(25)
Decrease/(increase) in contract assets		(3,378)	–
Increase/(decrease) in payables		764	(2,488)
Increase/(decrease) in accrued interest payable		(57)	(114)
Increase/(decrease) in other accrued expenses payable		(1,366)	2,043
Increase/(decrease) in other liabilities		(497)	1,251
Increase/(decrease) in contract liabilities		6,997	–
Increase/(decrease) in employee leave entitlements		(90)	419
Increase/(decrease) in other provisions		240	819
Net cash provided from/(used in) operating activities from the Statement of Cash Flows		21,683	13,554

Notes to the Financial Statements

for the year ended 30 June 2020

Note 17. Commitments

\$ '000	2020	2019
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(a) Capital commitments (exclusive of GST)

Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:

Property, plant and equipment

Buildings	1,052	284
Bridges	160	2,387
Other	356	—
Total commitments	1,568	2,671

These expenditures are payable as follows:

Within the next year	1,568	2,671
Total payable	1,568	2,671

Sources for funding of capital commitments:

Unrestricted general funds	356	2,671
Future grants and contributions	160	—
Internally restricted reserves	1,052	—
Total sources of funding	1,568	2,671

(b) Non-cancellable operating lease commitments (2019 only)

a. Commitments under non-cancellable operating leases at the reporting date, but not recognised as liabilities are payable:

Within the next year	—	2
Total non-cancellable operating lease commitments	—	2

Refer to Note 15 for information relating to leases for 2020.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 18. Contingencies

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge and disclosure is considered relevant to the users of Council's financial report.

LIABILITIES NOT RECOGNISED

1. Guarantees

(i) Defined benefit superannuation contribution plans

Council is party to an Industry Defined Benefit Plan under the Local Government Superannuation Scheme, named The Local Government Superannuation Scheme – Pool B (the Scheme) which is a defined benefit plan that has been deemed to be a 'multi-employer fund' for purposes of AASB119 Employee Benefits for the following reasons:

- Assets are not segregated within the sub-group according to the employees of each sponsoring employer.
- The contribution rates have been the same for all sponsoring employers. That is, contribution rates have not varied for each sponsoring employer according to the experience relating to the employees of that sponsoring employer.
- Benefits for employees of all sponsoring employers are determined according to the same formulae and without regard to the sponsoring employer.
- The same actuarial assumptions are currently used in respect of the employees of each sponsoring employer.

Given the factors above, each sponsoring employer is exposed to the actuarial risks associated with current and former employees of other sponsoring employers, and hence shares in the associated gains and losses (to the extent that they are not borne by members).

Description of the funding arrangements.

Pooled employers are required to pay standard employer contributions and additional lump sum contributions to the fund.

The standard employer contributions were determined using the new entrant rate method under which a contribution rate sufficient to fund the total benefits over the working life-time of a typical new entrant is calculated. The current standard employer contribution rates are:

Division B	1.9 times employee contributions for non-180 Point members: Nil for 180 point members
Division C	2.5% salaries
Division D	1.64 times employee contributions

The additional lump sum contribution for each Pooled Employer is a share of the total additional contributions of \$40 million per annum from 1 July 2019 for 3 years to 30 June 2021, apportioned according to each employer's share of the accrued liabilities as at 30 June 2019. These additional lump sum contributions are used to maintain the adequacy of assets to accrued liabilities as at 30 June 2020.

The adequacy of contributions is assessed at each triennial actuarial investigation and monitored annually between triennials.

Description of the extent to which Council can be liable to the plan for other Council's obligations under the terms and conditions of the multi-employer plan

As stated above, each sponsoring employer (Council) is exposed to the actuarial risks associated with current and former employees of other sponsoring employers and hence shares in the associated gains and losses.

However, there is no relief under the Fund's trust deed for employers to walk away from their defined benefit obligations. Under limited circumstances, an employer may withdraw from the plan when there are no active members, on full payment of outstanding additional contributions. There is no provision for allocation of any surplus which may be present at the date of withdrawal of the Council.

There are no specific provisions under the Fund's trust deed dealing with deficits or surplus on wind-up.

The amount of Council employer contributions to the defined benefit section of the Local Government Superannuation Scheme and recognised as an expense for the year ending 30 June 2020 was \$301,964.71. The estimated employer reserves financial

Notes to the Financial Statements

for the year ended 30 June 2020

Note 18. Contingencies (continued)

position above is a preliminary calculation, and once all the relevant information has been received by the funds actuary, the final end of year review will be completed around November/December 2020.

Council's expected contribution to the plan for the next annual reporting period is \$308,732.32.

The estimated employer reserves financial position for the Pooled Employers at 30 June 2020 is:

Employer reserves only *	\$millions	Asset Coverage
Assets	1,695.2	95.8%
Past Service Liabilities	1,773.2	95.6%
Vested Benefits	1,757.5	96.5%

* excluding member accounts and reserves in both assets and liabilities.

The share of this deficit that is broadly attributed to Council is estimated to be in the order of 0.45% as at 30 June 2020.

Council's share of that deficiency cannot be accurately calculated as the Scheme is a mutual arrangement where assets and liabilities are pooled together for all member councils. For this reason, no liability for the deficiency has been recognised in Council's accounts. Council has a possible obligation that may arise should the Scheme require immediate payment to correct the deficiency.

The key economic long term assumptions used to calculate the present value of accrued benefits are:

Investment return	5.75% per annum
Salary inflation *	3.5% per annum
Increase in CPI	2.5% per annum

* Plus promotional increases

The contribution requirements may vary from the current rates if the overall sub-group experience is not in line with the actuarial assumptions in determining the funding program; however, any adjustment to the funding program would be the same for all sponsoring employers in the Pooled Employers group.

(ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability insurance to local government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the net assets or liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the fund years.

The future realisation and finalisation of claims incurred but not reported to 30/6 this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

(iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW local government industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of net assets in accordance with its licence requirements.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 18. Contingencies (continued)

(iv) Other guarantees

Council has provided no other guarantees other than those listed above.

2. Other liabilities

(i) Third party claims

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

Council believes that it is appropriately covered for all claims through its insurance coverage and does not expect any material liabilities to eventuate.

(ii) Potential land acquisitions due to planning restrictions imposed by Council

Council has classified a number of privately owned land parcels as local open space or bushland.

As a result, where notified in writing by the various owners, Council will be required to purchase these land parcels.

At reporting date, reliable estimates as to the value of any potential liability (and subsequent land asset) from such potential acquisitions has not been possible.

ASSETS NOT RECOGNISED

(i) Land under roads

As permitted under AASB 1051, Council has elected not to bring to account land under roads that it owned or controlled up to and including 30/6/08.

(ii) Infringement notices/fines

Fines and penalty income, the result of Council issuing infringement notices is followed up and collected by the Infringement Processing Bureau.

Council's revenue recognition policy for such income is to account for it as revenue on receipt.

Accordingly, at year end, there is a potential asset due to Council representing issued but unpaid infringement notices.

Due to the limited information available on the status, value and duration of outstanding notices, Council is unable to determine the value of outstanding income.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 19. Financial risk management

Risk management

Council's activities expose it to a variety of financial risks including **(1)** price risk, **(2)** credit risk, **(3)** liquidity risk and **(4)** interest rate risk.

The Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Council.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk.

Financial risk management is carried out by Council's finance section under policies approved by the Council.

A comparison by category of the carrying amounts and fair values of Council's financial assets and financial liabilities recognised in the financial statements is presented below.

\$ '000	Carrying value 2020	Carrying value 2019	Fair value 2020	Fair value 2019
Financial assets				
Measured at amortised cost				
Cash and cash equivalents	22,048	11,361	17,586	23,826
Receivables	10,760	18,739	10,760	18,739
Investments				
– 'Held to maturity'	14,199	26,268	18,661	13,803
Fair value through other comprehensive income				
Investments				
– 'Available for sale'	–	788	–	788
Fair value through profit and loss				
Investments				
– 'Held for trading'	–	–	–	(4)
Total financial assets	47,007	57,156	47,007	57,152
Financial liabilities				
Payables	6,350	7,007	6,350	7,669
Loans/advances	19,094	11,856	19,094	11,856
Lease liabilities	539	–	539	–
Total financial liabilities	25,983	18,863	25,983	19,525

Fair value is determined as follows:

- **Cash and cash equivalents, receivables, payables** – are estimated to be the carrying value that approximates market value.
- **Borrowings and held-to-maturity investments** – are based upon estimated future cash flows discounted by the current mkt interest rates applicable to assets and liabilities with similar risk profiles, unless quoted market prices are available.
- Financial assets classified (i) **'at fair value through profit and loss'** or (ii) **'available-for-sale'** – are based upon quoted market prices (in active markets for identical investments) at the reporting date or independent valuation.

Council's objective is to maximise its return on cash and investments whilst maintaining an adequate level of liquidity and preserving capital.

Council's finance area manages the cash and Investments portfolio with the assistance of independent advisors.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 19. Financial risk management (continued)

Council has an investment policy which complies with the Local Government Act 1993 and Minister's investment order 625. This policy is regularly reviewed by Council and its staff and an investment report is tabled before Council on a monthly basis setting out the portfolio breakup and its performance as required by Local Government regulations.

The risks associated with the instruments held are:

- **Price risk** – the risk that the capital value of Investments may fluctuate due to changes in market prices, whether these changes are caused by factors specific to individual financial instruments or their issuers or are caused by factors affecting similar instruments traded in a market.
- **Interest rate risk** – the risk that movements in interest rates could affect returns and income.
- **Liquidity risk** – the risk that Council will not be able to pay its debts as and when they fall due.
- **Credit risk** – the risk that the investment counterparty will not complete their obligations particular to a financial instrument, resulting in a financial loss to Council – be it of a capital or income nature.

Council manages these risks (amongst other measures) by diversifying its portfolio and only purchasing investments with high credit ratings or capital guarantees.

Council also seeks advice from independent advisers before placing any funds in cash equivalents and investments.

(a) Market risk – price risk and interest rate risk

The impact on result for the year and equity of a reasonably possible movement in the price of investments held and interest rates is shown below. The reasonably possible movements were determined based on historical movements and economic conditions in place at the reporting date.

\$ '000	Increase of values/rates		Decrease of values/rates	
	Profit	Equity	Profit	Equity
2020				
Possible impact of a 1% movement in interest rates	359	359	(359)	(359)
2019				
Possible impact of a 1% movement in interest rates	437	437	(437)	(437)

(b) Credit risk

Council's major receivables comprise (i) rates and annual charges and (ii) user charges and fees.

Council manages the credit risk associated with these receivables by monitoring outstanding debt and employing stringent debt recovery procedures. Council also encourages ratepayers to pay their rates by the due date through incentives.

The credit risk for liquid funds and other short-term financial assets is considered negligible, since the counterparties are reputable banks with high quality external credit ratings.

There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions.

The level of outstanding receivables is reported to Council monthly and benchmarks are set and monitored for acceptable collection performance.

Council makes suitable provision for doubtful receivables as required and carries out credit checks on most non-rate debtors.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

Credit risk profile

Notes to the Financial Statements

for the year ended 30 June 2020

Note 19. Financial risk management (continued)

Receivables – rates and annual charges

Credit risk on rates and annual charges is minimised by the ability of Council to secure a charge over the land relating to the debts – that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates and annual charges at higher than market rates which further encourages the payment of debt.

\$ '000	Not yet overdue	< 1 year overdue	1 - 2 years overdue	2 - 5 years overdue	> 5 years overdue	Total
2020						
Gross carrying amount	83	2,285	319	332	181	3,200
2019						
Gross carrying amount	153	1,195	497	210	187	2,242

Receivables - non-rates and annual charges

Council applies the simplified approach for non-rates and annual charges debtors to provide for expected credit losses prescribed by AASB 9, which permits the use of the lifetime expected loss provision. To measure the expected credit losses, non-rates and annual charges debtors have been grouped based on shared credit risk characteristics and the days past due.

The loss allowance provision as at 30 June 2020 is determined as follows. The expected credit losses incorporate forward-looking information.

\$ '000	Not yet overdue	0 - 30 days overdue	31 - 60 days overdue	61 - 90 days overdue	> 91 days overdue	Total
2020						
Gross carrying amount	6,664	40	301	352	289	7,646
Expected loss rate (%)	0.00%	4.00%	5.00%	10.00%	10.00%	1.06%
ECL provision	–	2	15	35	29	81
2019						
Gross carrying amount	11,275	2,152	910	1,536	710	16,583
Expected loss rate (%)	0.00%	0.95%	1.10%	1.00%	5.00%	0.49%
ECL provision	–	20	10	15	36	81

(c) Liquidity risk

Payables, lease liabilities and borrowings are both subject to liquidity risk – the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels and maintaining an adequate cash buffer.

Payment terms can (in extenuating circumstances) also be extended and overdraft facilities utilised as required.

Borrowings are also subject to interest rate risk – the risk that movements in interest rates could adversely affect funding costs and debt servicing requirements. Council manages this risk through diversification of borrowing types, maturities and interest rate structures. The finance team regularly reviews interest rate movements to determine if it would be advantageous to refinance or renegotiate part or all of the loan portfolio.

The timing of cash flows presented in the table below to settle financial liabilities reflects the earliest contractual settlement dates. The timing of expected outflows is not expected to be materially different from contracted cashflows.

The amounts disclosed in the table are the undiscounted contracted cash flows for non-lease liabilities and therefore the balances in the table may not equal the balances in the Statement of Financial Position due to the effect of discounting.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 19. Financial risk management (continued)

\$ '000	Weighted average interest rate	Subject to no maturity	≤ 1 Year	payable in: 1 - 5 Years	> 5 Years	Total cash outflows	Actual carrying values
\$ '000	Weighted average interest rate	Subject to no maturity	≤ 1 Year	payable in: 1 - 5 Years	> 5 Years	Total cash outflows	Actual carrying values
2020							
Trade/other payables	0.00%	1,098	5,252	—	—	6,350	6,350
Loans and advances	3.60%	—	1,968	8,341	8,785	19,094	19,094
Total financial liabilities		1,098	7,220	8,341	8,785	25,444	25,444
2019							
Trade/other payables	0.00%	634	6,011	—	666	7,311	7,007
Loans and advances	5.43%	—	1,343	5,344	5,170	11,857	11,856
Total financial liabilities		634	7,354	5,344	5,836	19,168	18,863

Notes to the Financial Statements

for the year ended 30 June 2020

Note 20. Material budget variations

Council's original financial budget for 19/20 was adopted by the Council on 26/06/2019 and is unaudited.

While the Income Statement included in this General Purpose Financial Statements must disclose the original budget adopted by Council, the Local Government Act 1993 requires Council to review its financial budget on a quarterly basis, so that it is able to manage the various variations between actuals versus budget that invariably occur throughout the year.

This note sets out the details of **material variations** between Council's original budget and its actual results for the year as per the Income Statement – even though such variations may have been adjusted for during each quarterly budget review.

Material variations represent those variances between the original budget figure and the actual result that amount to **10%** or more.

Variation Key: **F** = Favourable budget variation, **U** = Unfavourable budget variation.

\$ '000	2020 Budget	2020 Actual	2020 ----- Variance -----	
REVENUES				
User charges and fees	18,116	8,905	(9,211)	(51)% U
Council overbudgeted for plant hire income by the inclusion of internal fees and charges to the value of \$5.5m. The remaining budget variance relates to a full year of water charges impacted by water restrictions as a result of ongoing drought conditions and a reduction in RMS works historically performed by Council. We have not quantified the ongoing impact of Covid-19.				
Other revenues	887	649	(238)	(27)% U
Tourism and facilities hire reduced by approx. \$180k during the year as a result of Covid-19.				
Operating grants and contributions	13,732	16,014	2,282	17% F
The major variation is due to the introduction of new standards which resulted in approx \$7M in additional revenue this year shared between operating and capital grants.				
Capital grants and contributions	11,728	17,651	5,923	51% F
The major variation is due to the introduction of new standards which resulted in approx \$7M in additional revenue this year shared between operating and capital grants.				
Interest and investment revenue	1,262	322	(940)	(74)% U
Reduction in cash rate resulted in reduced interest derived on cash and investments.				
Net gains from disposal of assets	–	99	99	∞ F
Council did not budget for the gain on disposal of assets. The gains have been netted against expenses.				
Rental income	–	568	568	∞ F
Classification of rental income changed during the year, accordingly budget recognised within user fees and charges.				

Notes to the Financial Statements

for the year ended 30 June 2020

Note 20. Material budget variations

\$ '000	2020 Budget	2020 Actual	2020 ----- Variance -----	
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EXPENSES

Borrowing costs	940	744	196	21%	F
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Council original budget factored in a repayment of the new loan in the current year.

Materials and contracts	19,260	16,331	2,929	15%	F
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As noted in User fees & Charges Council overbudgeted for plant hire expense by inclusion of internal fees and charges. While Council did not complete all budgeted and scheduled works anticipated for the year, additional materials costs were incurred as part of the finalisation of Stronger Communities Funds projects.

Other expenses	6,781	4,474	2,307	34%	F
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Council overestimated the budget for other expenses which was further exacerbated by the impacts of Covid-19.

STATEMENT OF CASH FLOWS

Cash flows from investing activities	(26,585)	(18,133)	8,452	(32)%	F
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Increased spending on infrastructure supported by stronger communities funding (held as a liability) meant a smaller cash drawdown during the year.

Cash flows from financing activities	4,994	7,137	2,143	43%	F
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Council borrowed \$1.5M more than originally budgeted.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 21. Fair Value Measurement

The Council measures the following asset and liability classes at fair value on a recurring basis:

- Infrastructure, property, plant and equipment
- Financial assets and liabilities

The fair value of assets and liabilities must be estimated in accordance with various accounting standards for either recognition and measurement requirements or for disclosure purposes.

AASB 13 Fair Value Measurement requires all assets and liabilities measured at fair value to be assigned to a 'level' in the fair value hierarchy as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

(1) Assets and liabilities that have been measured and recognised at fair values

2020	Fair value measurement hierarchy				Total
	Date of latest valuation	Level 1 Quoted prices in active mkts	Level 2 Significant observable inputs	Level 3 Significant unobservable inputs	
\$ '000					
Recurring fair value measurements					
Infrastructure, property, plant and equipment					
Plant & Equipment	30/06/18	–	–	15,303	15,303
Office Equipment, Furniture & Fittings	30/06/18	–	–	755	755
Operational Land	30/06/18	–	7,450	–	7,450
Community Land	30/06/18	–	–	7,597	7,597
Land Improvements	30/06/18	–	–	559	559
Buildings – Specialised	30/06/18	–	–	11,435	11,435
Buildings Non-Specialised	30/06/18	–	–	53,316	53,316
Other structures	30/06/19	–	–	8,137	8,137
Roads	30/06/20	–	–	236,289	236,289
Bridges	30/06/20	–	–	33,200	33,200
Footpaths	30/06/20	–	–	6,222	6,222
Kerb & Gutter	30/06/20	–	–	8,153	8,153
Bulk Earthworks	30/06/20	–	–	129,481	129,481
Stormwater Drainage	30/06/20	–	–	12,013	12,013
Water Supply Network	30/06/17	–	–	42,356	42,356
Sewer Network	30/06/17	–	–	45,051	45,051
Swimming Pools	30/06/19	–	–	8,099	8,099
Other Open Space & Recreational Assets	30/06/19	–	–	8,500	8,500
Library Books	30/06/18	–	–	203	203
Reinstatements	30/06/19	–	–	314	314
Total infrastructure, property, plant and equipment		–	7,450	626,983	634,433

Notes to the Financial Statements

for the year ended 30 June 2020

Note 21. Fair Value Measurement (continued)

2019	Fair value measurement hierarchy				Total
	Date of latest valuation	Level 1 Quoted prices in active mkt	Level 2 Significant observable inputs	Level 3 Significant unobservable inputs	
\$ '000					
Recurring fair value measurements					
Infrastructure, property, plant and equipment					
Plant & Equipment	30/06/18	—	—	15,375	15,375
Office Equipment, Furniture & Fittings	30/06/18	—	—	606	606
Operational Land	30/06/18	—	7,450	—	7,450
Community Land	30/06/18	—	—	7,597	7,597
Land Improvements	30/06/18	—	—	495	495
Buildings – Specialised	30/06/18	—	—	10,304	10,304
Buildings Non-Specialised	30/06/18	—	—	48,243	48,243
Other structures	30/06/19	—	—	5,278	5,278
Roads	30/06/15	—	—	222,911	222,911
Bridges	30/06/15	—	—	30,233	30,233
Footpaths	30/06/15	—	—	5,620	5,620
Kerb & Gutter	30/06/15	—	—	7,794	7,794
Bulk Earthworks	30/06/15	—	—	95,290	95,290
Stormwater Drainage	30/06/15	—	—	11,466	11,466
Water Supply Network	30/06/17	—	—	41,315	41,315
Sewer Network	30/06/17	—	—	45,288	45,288
Swimming Pools	30/06/19	—	—	4,618	4,618
Other Open Space & Recreational Assets	30/06/19	—	—	6,939	6,939
Library Books	30/06/18	—	—	188	188
Reinstatements	30/06/19	—	—	326	326
Total infrastructure, property, plant and equipment		—	7,450	559,886	567,336

Note that capital WIP is not included above since it is carried at cost.

(2) Transfers between level 1 and level 2 fair value hierarchies

During the year, there were no transfers between level 1 and level 2 fair value hierarchies for recurring fair value measurements.

(3) Valuation techniques used to derive level 2 and level 3 fair values

Where Council is unable to derive fair valuations using quoted market prices of identical assets (ie. level 1 inputs) Council instead utilises a spread of both observable inputs (level 2 inputs) and unobservable inputs (level 3 inputs).

The fair valuation techniques Council has employed while utilising level 2 and level 3 inputs are as follows:

Infrastructure, property, plant and equipment (IPP&E)

Plant and equipment

Council's Plant and Equipment incorporates

- Major plants- graders, loaders, rollers, trucks, tractors
- Fleet Vehicles- Cars, Utes etc.
- Minor Plant – Pumps, Chainsaws, brush cutters, mowers, concrete mixers, movie projectors

Council fair values plant and equipment using level 3 inputs. The observable Level 3 inputs used

- Quoted price for similar assets
- Purchase price
- Useful life of asset
- Current replacement Cost

Notes to the Financial Statements

for the year ended 30 June 2020

Note 21. Fair Value Measurement (continued)

The 'Cost Approach' is used to value Plant & Equipment

Furniture and fittings

Council's Furniture & Fittings incorporates

- Furniture and fittings- Desks, Chairs, Display Systems

Council fair values furniture fittings using level 3 inputs. The observable level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

The 'Cost Approach' is used to value Furniture & Fittings

Property, office equipment

Council's Office Equipment incorporates:

- Office Equipment: copiers, telephone system, projectors, fridges etc.

Council fair values office equipment using level 3 inputs. The observable Level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

Infrastructure – Roads/Bulk Earthworks

The road carriageway is defined as the trafficable portion of a road, between but not including the kerb and gutter and would include any paved makers parking places alongside roadside.

Council's Road Asset Data contains detailed dimensions and specification for all Council roads.

Council fair values, road infrastructure using Level 3 inputs at a component level.

The 'Cost Approach' is used to value roads by componentising the assets into significant parts and then rolling up these component values to provide an overall road valuation (for each road segment) within Council's Asset System.

Level of componentisation adopted by Council is in accordance with AASB 116, OLG Circular 09-09 and the Institute of Public Works Engineers International Infrastructure Management Manual (IIMM).

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Useful life and residual value
- Asset Condition
- Dimensions and Specification
- Remaining Life of Carriageway
- Unit Rates

Indexation and benchmarking by an external party occurred this year.

Infrastructure - Bridges

A bridge is defined as all structures that convey a road, a footpath or a cycleway across any other physical feature (including waterways and other roads) but do not include culverts.

Council Road Asset Data contains detailed dimensions and specification for all Council's bridges.

Council fair values, bridges (non- componentised) using Level 3 inputs.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 21. Fair Value Measurement (continued)

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In addition, the value of bridges takes into consideration the various type of structures such as:

- Bridge Deck & Superstructure
- Bridge Abutments & Foundations
- Bridge rails and hand rails

There were no changes in valuation technique from prior year.

The 'Cost Approach' is used to value bridges. Indexation and benchmarking with an external third party occurred this year

Infrastructure - Footpaths

A footpath is defined as all footways (including those shared with a cycleway) sealed or non-sealed.

Council Road Asset Data contains detailed dimensions and specifications for all Council footpaths.

Council fair values, footpaths (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In additions, the value of footpaths takes into consideration the various type of structure such as:

- Length
- Construction Materials

The 'Cost Approach' is used to value footpaths.

Infrastructure - Drainage

Council's Drainage Assets comprises pits, pipes, culverts, open channels, headwalls used to collect and remove stormwater.

Council carries fair values for drainages assets (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In addition, the value of drainage assets takes into consideration the various type if structure such as:

- Pipe Diameter
- Pit Type
- Water Quality Device Type
- Culverts and Headwall Constructions Type

The 'Cost Approach' is used to value drainage assets.

Property: - Operational Land

Notes to the Financial Statements

for the year ended 30 June 2020

Note 21. Fair Value Measurement (continued)

Council's "Operational" land by definition has no special restriction other than those that may apply to any piece of land.

Council carries fair values operational land by an External Valuer every 5 years (last valuation being 2013) using Level 2 inputs.

The unobservable Level 2 inputs used include:

- Land Area
- Rate per square Metre
- Planning and Other Restrictions
- Description of Land

The 'Market Approach' is used to value the Operational Land.

Property: - Community Land

Council's "Community" land (including owned by Council, the Crown and various other Government Agencies that is managed by Council) by definition is land intended for public access and use or where other restrictions applying to the land create some obligation to maintain public access (such as a trust deed, dedication under section 94 of the Environment Planning and Assessment Act 1979). This gives rise to the restrictions in the Act, intended to preserve the qualities of the land.

Community Land:

- Cannot be sold
- Cannot be leased, licensed, or any other estate granted over the land for more than 21 years and
- Must have a plan of management for it

In relation to Community Land the Division of Local Government has reviewed its positions on the use of the Valuer General's Valuations of community land and in association with the Local Government Accounting Advisory Group, the Division has determined that community land may be valued as follows.

- The NSW Valuer General's valuations may be used under revaluation model to represent fair value for the revaluation of community land under clause 31 of AASB 116.

Council fair values community land using unobservable Level 3 inputs based on inputs on either the UCV (Unimproved Capital Value) provided by the Valuer General or an average unit rate based on the UCV and allocated by Council against those properties where the Valuer General did not provide a UCV.

The 'Cost Approach' is used to value Community land.

Land improvements

Council's Land improvements incorporates

- Sprinkler & Watering Systems
- Cemetery Irrigation

Council carries fair values of land reserves using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of consumption
- Asset Condition
- Dimensions and Specification

The cost approach is used to value the land improvements

Buildings (specialised and non-specialised) Property:

Council Buildings incorporates Council administration buildings, Libraries, Public Amenities, Sporting Club Houses, Kiosks and Amenities, Depot Buildings and workshops, Halls & Community Centres and Rural Fire Service Buildings.

Council carries fair values building using Level 3 inputs. Valuations are generally carried out by an external Valuer using the cost approach. This approach estimates the replacement cost for each building by componentising the building (for complex structures) into significant parts with different useful life and taking in to account a range of factors. Buildings are physically inspected and although rates based on square meters could be supported from the market evidence, extensive professional

Notes to the Financial Statements

for the year ended 30 June 2020

Note 21. Fair Value Measurement (continued)

judgement, and condition and consumption rates etc. impact significantly on the final value determination of fair value. As such these assets are classified as having being valued using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Consumption rate
- Future Economic Benefits
- Condition
- Useful Life of an asset

The 'Cost Approach' is used to value specialised buildings

Other structures, swimming pools, open space and recreation:

Council's other structures incorporates the following types of assets:

- Significant single assets such as swimming pools, playgrounds, floodlighting system, tennis courts, tennis shelters, grandstands etc. and
- Aggregated lower value assets such as recreational / park infrastructures (picnic tables, seats, bollards, fences BBQs etc.)

Council carries fair value of other structures assets (non-componentised) using Level 3 inputs. Such valuations are undertaken by Council Staff or by an external valuer depending on the structure.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates

The "Cost Approach" is used to value other structures

Water supply network

Council's Water Supply Network incorporates:

- Water Lines
- Water Meters
- Pumping Stations
- Reservoirs

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are undertaken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

The "Cost Approach" is used to value other structures

Sewerage network

Council's Sewerage Network incorporates:

- Sewer Lines
- Pump Stations
- Sewer Treatment Plant

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are undertaken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 21. Fair Value Measurement (continued)

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

(4) Fair value measurements using significant unobservable inputs (level 3)

a. The following tables present the changes in level 3 fair value asset classes.

\$ '000	IPP & E
2019	
Opening balance	554,494
Purchases (GBV)	20,063
Disposals (WDV)	(513)
Depreciation and impairment	(16,991)
FV gains – Income Statement ¹	(646)
Fair value changes	3,479
Other movement	—
Closing balance	559,886
2020	
Opening balance	559,886
Purchases (GBV)	26,621
Disposals (WDV)	(327)
Depreciation and impairment	(17,802)
Fair value changes	51,976
Other movement	6,629
Closing balance	626,983

(1) FV gains recognised in the Income Statement relating to assets still on hand at year end total

c. Significant unobservable valuation inputs used (for level 3 asset classes) and their relationship to fair value.

The following table summarises the quantitative information relating to the significant unobservable inputs used in deriving the various level 3 asset class fair values.

	Valuation technique/s	Unobservable inputs
Infrastructure, property, plant and equipment		
Plant and equipment	Cost used to approximate fair value	Gross Replacement cost, useful life, residual value
Office equipment	Cost used to approximate fair value	Gross Replacement cost, useful life, residual value
Community land	Land values obtained from NSW Valuer General	Land Value, Land area
Land improvements	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Building specialised	Cost used to approximate fair value	Cost per sq metre, consumption rate. Condition, useful life
Other structures	Cost used to approximate fair value	Asset Condition, remaining life, residual value

Notes to the Financial Statements

for the year ended 30 June 2020

Note 21. Fair Value Measurement (continued)

	Valuation technique/s	Unobservable inputs
Roads	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Bridges	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Footpaths	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Bulk earthworks	Cost used to approximate fair value	Cost per sq Metre
Stormwater drainage	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Water supply network	Cost used to approximate fair value, NSW Reference Rates Manual	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Sewerage network	Cost used to approximate fair value, NSW Reference Rates Manual	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Swimming pool	Cost used to approximate fair value	Cost per unit
(5) Highest and best use		

All of Council's non-financial assets are considered as being utilised for their highest and best use.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 22. Related party disclosures

Key management personnel

Key management personnel (KMP) of the council are those persons having the authority and responsibility for planning, directing and controlling the activities of the council, directly or indirectly.

The aggregate amount of KMP compensation included in the Income Statement is:

\$ '000	2020	2019
Compensation:		
Short-term benefits	1,180	1,256
Other long-term benefits	62	137
Termination benefits	—	328
Total	1,242	1,721

Notes to the Financial Statements

for the year ended 30 June 2020

Note 23. Statement of developer contributions

Under the *Environmental Planning and Assessment Act 1979*, Council has significant obligations to provide Section 7.11 (contributions towards provision or improvement of amenities or services) infrastructure in new release areas.

It is possible that the funds contributed may be less than the cost of this infrastructure, requiring Council to borrow or use general revenue to fund the difference.

Summary of contributions and levies

	as at 30/06/19		Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	as at 30/06/20	
	Opening Balance		Cash	Non-cash				Held as restricted asset	Cumulative internal borrowings due/(payable)
\$ '000									
Roads	816		303	–	6	(28)	–	1,097	–
S7.11 contributions – under a plan	816		303	–	6	(28)	–	1,097	–
S7.12 levies – under a plan	509		357	–	22	(77)	–	811	–
Total S7.11 and S7.12 revenue under plans	1,325		660	–	28	(105)	–	1,908	–
S7.11 not under plans	97		–	–	2	–	–	99	–
S64 contributions	885		110	–	5	–	–	1,000	–
Total contributions	2,307		770	–	35	(105)	–	3,007	–

S7.11 Contributions – under a plan

CONTRIBUTION PLAN (former Harden)

Roads	816	303	–	6	(28)	–	1,097	–
Total	816	303	–	6	(28)	–	1,097	–

S7.12 Levies – under a plan

CONTRIBUTION PLAN (former Boorowa)

Notes to the Financial Statements

for the year ended 30 June 2020

Note 23. Statement of developer contributions (continued)

\$ '000	as at 30/06/19	Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	as at 30/06/20	
	Opening Balance	Cash	Non-cash				Held as restricted asset	Cumulative internal borrowings due/(payable)
Roads	150	21	–	18	–	–	189	–
Community facilities	102	–	–	1	–	–	103	–
Total	252	21	–	19	–	–	292	–
CONTRIBUTION PLAN (former Harden)								
Other	71	28	–	1	–	–	100	–
Total	71	28	–	1	–	–	100	–
CONTRIBUTION PLAN NUMBER Former Young								
Community facilities	186	308	–	2	(77)	–	419	–
Total	186	308	–	2	(77)	–	419	–
S7.11 Contributions – not under a plan								
(former Young)								
Drainage	30	–	–	1	–	–	31	–
Parking	67	–	–	1	–	–	68	–
Total	97	–	–	2	–	–	99	–

Notes to the Financial Statements

for the year ended 30 June 2020

Note 24. Result by fund

\$ '000	Other [*] 2020	General ¹ 2020	Water 2020	Sewer 2020
Income Statement by fund				
Income from continuing operations				
Rates and annual charges	20	16,085	3,033	4,255
User charges and fees	–	3,666	5,201	38
Interest and investment revenue	–	157	119	46
Other revenues	–	595	54	–
Grants and contributions provided for operating purposes	2,067	13,947	–	–
Grants and contributions provided for capital purposes	–	17,542	89	20
Net gains from disposal of assets	–	51	28	20
Rental income	–	568	–	–
Total income from continuing operations	2,087	52,611	8,524	4,379
Expenses from continuing operations				
Employee benefits and on-costs	8	19,443	897	720
Borrowing costs	–	442	–	302
Materials and contracts	1,477	11,960	2,052	842
Depreciation and amortisation	138	15,427	960	1,395
Other expenses	17	858	3,529	70
Total expenses from continuing operations	1,640	48,130	7,438	3,329
Operating result from continuing operations	447	4,481	1,086	1,050
Net operating result for the year	447	4,481	1,086	1,050
Net operating result attributable to each council fund	447	4,481	1,086	1,050
Net operating result for the year before grants and contributions provided for capital purposes	447	(13,061)	997	1,030

NB. All amounts disclosed above are gross – that is, they include internal charges and recoveries made between the funds.

(*) Other represents South West Rural Fire Zone and South West Regional Waste Management

(1) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 24. Result by fund (continued)

\$ '000	Other [*] 2020	General ¹ 2020	Water 2020	Sewer 2020
Statement of Financial Position by fund				
ASSETS				
Current assets				
Cash and cash equivalents	3,785	5,168	8,647	4,448
Investments	—	5,057	8,065	1,077
Receivables	356	7,171	2,595	638
Inventories	—	906	—	—
Contract assets	—	3,378	—	—
Other	—	26	—	—
Total current assets	4,141	21,706	19,307	6,163
Non-current assets				
Infrastructure, property, plant and equipment	628	549,945	42,408	46,248
Right of use assets	—	522	—	—
Total non-current assets	628	550,467	42,408	46,248
TOTAL ASSETS	4,769	572,173	61,715	52,411
LIABILITIES				
Current liabilities				
Payables	101	5,930	227	19
Contract liabilities	—	6,997	—	—
Lease liabilities	—	109	—	—
Borrowings	—	850	332	728
Provisions	—	5,217	228	121
Total current liabilities	101	19,103	787	868
Non-current liabilities				
Payables	—	73	—	—
Lease liabilities	—	430	—	—
Borrowings	—	4,255	3,227	9,702
Provisions	—	9,839	—	—
Total non-current liabilities	—	14,597	3,227	9,702
TOTAL LIABILITIES	101	33,700	4,014	10,570
Net assets	4,668	538,473	57,701	41,841
EQUITY				
Accumulated surplus	4,666	465,251	55,804	39,996
Revaluation reserves	2	72,437	1,897	1,845
Other reserves	—	785	—	—
Council equity interest	4,668	538,473	57,701	41,841
Total equity	4,668	538,473	57,701	41,841

NB. All amounts disclosed above are gross – that is, they include internal charges and recoveries made between the funds. Assets and liabilities shown in the water and sewer columns are restricted for use for these activities.

(*) Other represents South West Rural Fire Zone and South West Regional Waste Management

(1) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 25(a). Statement of performance measures – consolidated results

\$ '000	Amounts 2020	Indicator 2020	Prior periods		Benchmark
			2019	2018	
1. Operating performance ratio					
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1,2}	(10,686)	(21.44)%	(12.31)%	(8.75)%	>0.00%
Total continuing operating revenue excluding capital grants and contributions ¹	49,851				
2. Own source operating revenue ratio					
Total continuing operating revenue excluding all grants and contributions ¹	33,837	50.13%	55.05%	62.00%	>60.00%
Total continuing operating revenue ¹	67,502				
3. Unrestricted current ratio					
Current assets less all external restrictions	17,685	1.26x	3.86x	3.44x	>1.50x
Current liabilities less specific purpose liabilities	14,019				
4. Debt service cover ratio					
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	7,978	3.54x	4.12x	1.78x	>2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)	2,251				
5. Rates, annual charges, interest and extra charges outstanding percentage					
Rates, annual and extra charges outstanding	3,402	13.13%	9.93%	8.31%	<10.00%
Rates, annual and extra charges collectible	25,916				
6. Cash expense cover ratio					
Current year's cash and cash equivalents plus all term deposits	36,247	9.64 mths	8.52 mths	12.87 mths	>3.00 mths
Monthly payments from cash flow of operating and financing activities	3,760				

(1) Excludes fair value increments on investment properties, reversal of revaluation decrements, reversal of impairment losses on receivables, net gain on sale of assets and net share of interests in joint ventures and associates using the equity method and includes pensioner rate subsidies

(2) Excludes impairment/revaluation decrements of IPPE, fair value decrements on investment properties, net loss on disposal of assets and net loss on share of interests in joint ventures and associates using the equity method

Notes to the Financial Statements

for the year ended 30 June 2020

Note 25(b). Statement of performance measures – by fund

\$ '000	General Indicators ³		Water Indicators		Sewer Indicators		Benchmark
	2020	2019	2020	2019	2020	2019	
1. Operating performance ratio							
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1,2}	(34.31)%	(23.01)%	11.82%	21.51%	23.63%	20.91%	>0.00%
Total continuing operating revenue excluding capital grants and contributions ¹							
2. Own source operating revenue ratio							
Total continuing operating revenue excluding capital grants and contributions ¹	38.54%	43.64%	98.96%	99.35%	99.54%	99.79%	>60.00%
Total continuing operating revenue ¹							
3. Unrestricted current ratio							
Current assets less all external restrictions	1.26x	3.66x	24.53x	24.11x	7.10x	3.24x	>1.50x
Current liabilities less specific purpose liabilities							
4. Debt service cover ratio							
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	2.12x	2.78x	∞	∞	3.92x	3.45x	>2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)							
5. Rates, annual charges, interest and extra charges outstanding percentage							
Rates, annual and extra charges outstanding	10.88%	9.75%	24.80%	11.05%	13.24%	9.78%	<10.00%
Rates, annual and extra charges collectible							
6. Cash expense cover ratio							
Current year's cash and cash equivalents plus all term deposits	7.09	8.46	42.11	15.92	15.43	(0.43)	>3.00
Payments from cash flow of operating and financing activities	mths	mths	mths	mths	mths	mths	mths

(1) - (2) Refer to Notes at Note 31a above.

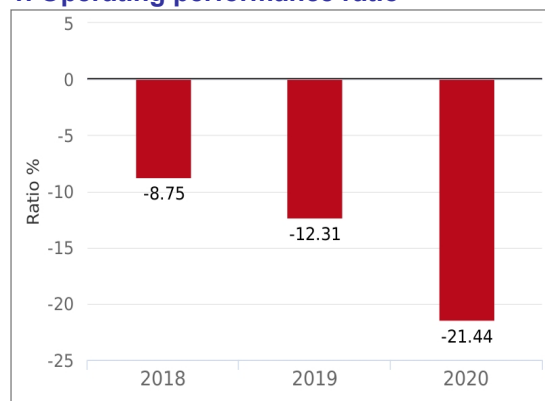
(3) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

Notes to the Financial Statements

for the year ended 30 June 2020

Note 25(c). Statement of performance measures – consolidated results (graphs)

1. Operating performance ratio



Purpose of operating performance ratio

This ratio measures Council's achievement of containing operating expenditure within operating revenue.

Commentary on 2019/20 result

2019/20 ratio (21.44)%

As in previous years, transition costs associated with the Council merger continue to have a detrimental impact on the operating result. Council is working to reduce these costs in 2020/21

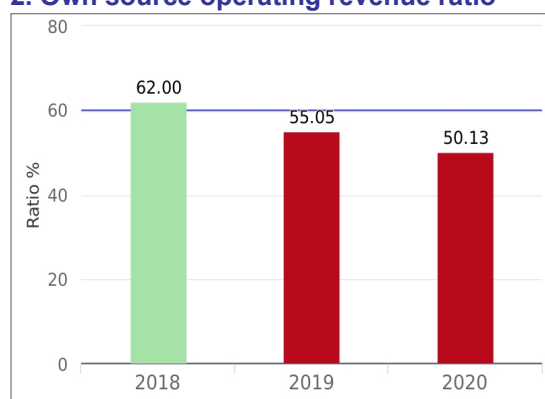
Benchmark: — > 0.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting #28

Ratio achieves benchmark

Ratio is outside benchmark

2. Own source operating revenue ratio



Purpose of own source operating revenue ratio

This ratio measures fiscal flexibility. It is the degree of reliance on external funding sources such as operating grants and contributions.

Commentary on 2019/20 result

2019/20 ratio 50.13%

Council is very close to benchmark this year, similar to the result last year Council has again received significant operating grant income associated with the merger which has artificially lowered the ratio in 2020.

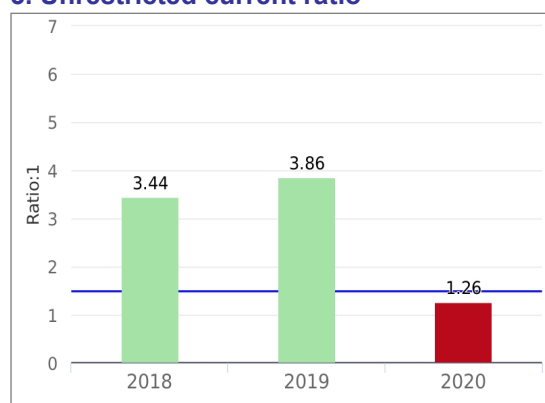
Benchmark: — > 60.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting #28

Ratio achieves benchmark

Ratio is outside benchmark

3. Unrestricted current ratio



Purpose of unrestricted current ratio

To assess the adequacy of working capital and its ability to satisfy obligations in the short term for the unrestricted activities of Council.

Commentary on 2019/20 result

2019/20 ratio 1.26x

Council has just slipped below the industry benchmark of 1.5 in 2020 but still has sufficient working capital to meet all financial obligations as they fall due.

Benchmark: — > 1.50x

Source of benchmark: Code of Accounting Practice and Financial Reporting #28

Ratio achieves benchmark

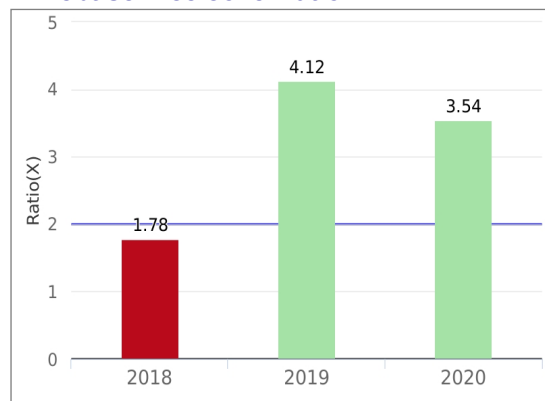
Ratio is outside benchmark

Notes to the Financial Statements

for the year ended 30 June 2020

Note 25(c). Statement of performance measures – consolidated results (graphs)

4. Debt service cover ratio



Purpose of debt service cover ratio

This ratio measures the availability of operating cash to service debt including interest, principal and lease payments

Commentary on 2019/20 result

2019/20 ratio 3.54x

In the 2018 financial period Council's Debt Service Cover Ratio was just below the industry Benchmark. In the 2019 and 2020 financial periods the ratio has seen a significant turnaround to be comfortable above the industry benchmark.

The turnaround is largely as a result of Council paying out debt in both years. Council remains in a comfortable financial position with sufficient operating cash to service debt repayments.

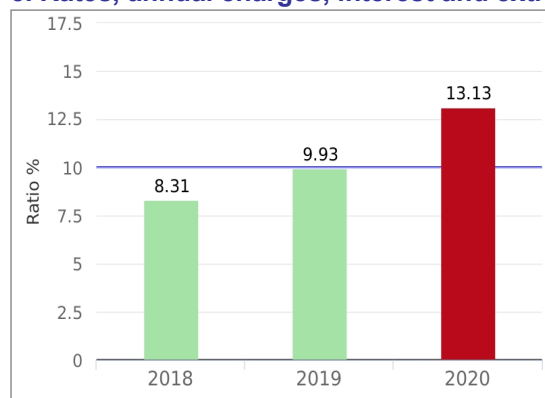
Benchmark: — > 2.00x

Source of benchmark: Code of Accounting Practice and Financial Reporting #28

Ratio achieves benchmark

Ratio is outside benchmark

5. Rates, annual charges, interest and extra charges outstanding percentage



Purpose of rates, annual charges, interest and extra charges outstanding

To assess the impact of uncollected rates and annual charges on Council's liquidity and the adequacy of recovery efforts.

Commentary on 2019/20 result

2019/20 ratio 13.13%

In the 2020 financial period uncollected rates and annual charges have increased in 2020. Council sits outside the benchmark standard for Rural Council's.

The impact of the severe drought and Covid 19 has had a significant impact on the ability of rural ratepayers to pay rates and annual charges when they fall due.

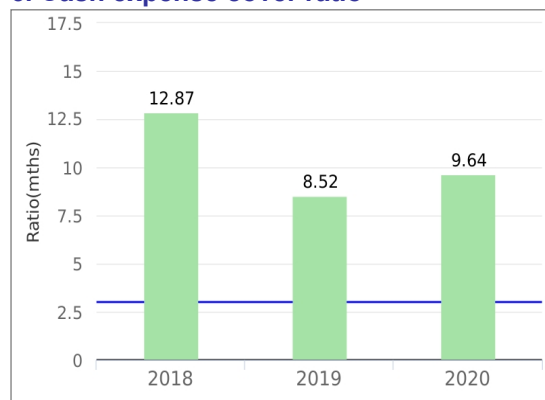
Benchmark: — < 10.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting #28

Ratio achieves benchmark

Ratio is outside benchmark

6. Cash expense cover ratio



Purpose of cash expense cover ratio

This liquidity ratio indicates the number of months a Council can continue paying for its immediate expenses without additional cash inflow.

Commentary on 2019/20 result

2019/20 ratio 9.64 mths

The ratio indicates that Council is able to pay its immediate expenses for a period of 9.6 months before it would have to seek additional cash externally in order to meet immediate expenses. Council sits comfortable above the minimum industry benchmark of 3.0 months.

Benchmark: — > 3.00mths

Source of benchmark: Code of Accounting Practice and Financial Reporting #28

Ratio achieves benchmark

Ratio is outside benchmark

General Purpose Financial Statements
for the year ended 30 June 2020



INDEPENDENT AUDITOR'S REPORT

Report on the General Purpose Financial Statements

Hilltops Council

To the Councillors of Hilltops Council

Opinion

I have audited the accompanying financial statements of Hilltops Council (the Council), which comprise the Statement by Councillors and Management, the Income Statement and Statement of Comprehensive Income for the year ended 30 June 2020, the Statement of Financial Position as at 30 June 2020, the Statement of Changes in Equity and Statement of Cash Flows for the year then ended and notes comprising a summary of significant accounting policies and other explanatory information.

In my opinion:

- the Council's accounting records have been kept in accordance with the requirements of the *Local Government Act 1993*, Chapter 13, Part 3, Division 2 (the Division)
- the financial statements:
 - have been prepared, in all material respects, in accordance with the requirements of this Division
 - are consistent with the Council's accounting records
 - present fairly, in all material respects, the financial position of the Council as at 30 June 2020, and of its financial performance and its cash flows for the year then ended in accordance with Australian Accounting Standards
- all information relevant to the conduct of the audit has been obtained
- no material deficiencies in the accounting records or financial statements have come to light during the audit.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Other Information

The Council's annual report for the year ended 30 June 2020 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the Special Purpose Financial Statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the Special Purpose Financial Statements and Special Schedule - Permissible income for general rates.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements in accordance with Australian Accounting Standards and the *Local Government Act 1993*, and for such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the Original Budget information included in the Income Statement, Statement of Cash Flows, and Note 20 Material budget variations
- on the Special Schedules. A separate opinion has been provided on Special Schedule - Permissible income for general rates
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.



Dominika Ryan
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

31 March 2021
SYDNEY

General Purpose Financial Statements
for the year ended 30 June 2020



Cr Brian Ingram
Mayor
Hilltops Council
Locked Bag 5
YOUNG NSW 2594

Contact: Dominika Ryan
Phone no: 02 9275 7336
Our ref: D2105700/1740

31 March 2021

Dear Mayor

**Report on the Conduct of the Audit
for the year ended 30 June 2020
Hilltops Council**

I have audited the general purpose financial statements (GPFS) of the Hilltops Council (the Council) for the year ended 30 June 2020 as required by section 415 of the *Local Government Act 1993* (the Act).

I expressed an unmodified opinion on the Council's GPFS.

This Report on the Conduct of the Audit (the Report) for the Council for the year ended 30 June 2020 is issued in accordance with section 417 of the Act. This Report should be read in conjunction with my audit opinion on the GPFS issued under section 417(2) of the Act.

INCOME STATEMENT

Operating result

	2020	2019	Variance
	\$m	\$m	%
Rates and annual charges revenue	23.4	22.4	↑ 4.5
Grants and contributions revenue	33.7	31.5	↑ 7.0
Operating result from continuing operations	7.1	3.4	↑ 108.8
Net operating result before capital grants and contributions	(10.6)	(7.5)	↓ 41.3

The Council's operating result from continuing operations (\$7.1 million including depreciation and amortisation expense of \$17.9 million) was \$3.7 million higher than the 2018–19 result mainly due to an increase in rates and annual charges, and grants and contributions revenue by \$1.0 million and \$2.2 million respectively, supported by the decline in materials and contracts expenses of \$6.1 million.

The net operating result before capital grants and contributions (\$10.6 million) was \$3.1 million lower than the 2018–19 result.

Rates and annual charges revenue (\$23.4 million) increased by \$1.0 million (4.5 per cent) in 2019–20. This increase was due to the IPART annual rate increase of 2.7 per cent and an increase in rateable properties by 0.3 per cent (11,153 rateable properties in 2019-20 compared to 11,120 properties last year).

Grants and contributions revenue (\$33.7 million) increased by \$2.2 million (7.0 per cent) in 2019–20.

STATEMENT OF CASH FLOWS

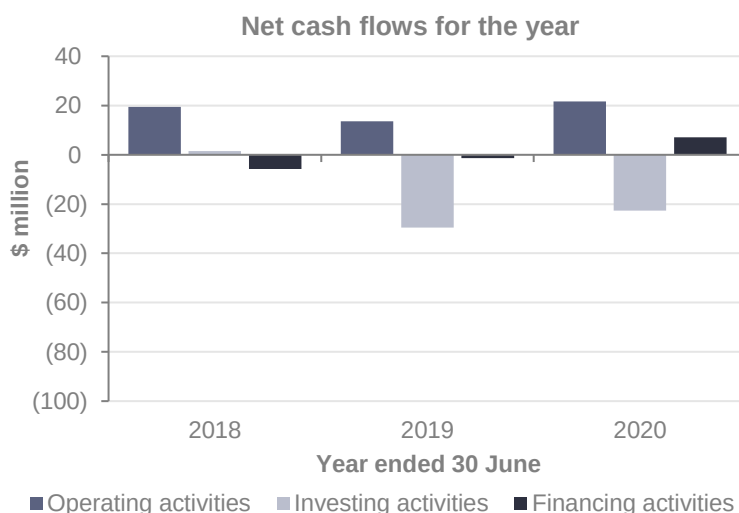
The Statement of Cash Flows illustrates the flow of cash and cash equivalents moving in and out of the Council during the year.

The Council's cash increased by \$6.2 million.

Cash inflows from operating activities increased from \$13.6 million in 2018-19 to \$21.7 million in 2019-20 mainly due to lower payments for materials and contracts, which decreased by \$13.2 million.

Cash outflows from investing activities decreased from \$29.5 million to \$22.6 million in 2018-19 and 2019-20 respectively. This is mainly attributable to the lower spending on investment securities during the year.

Cash flows from financing activities increased from an outflow of \$1.4 million to an inflow of \$7.1 million in 2018-19 and 2019-20 respectively. This is attributable to proceeds from borrowings and advances during the year.



FINANCIAL POSITION

Cash and investments

Cash and investments	2020	2019	Commentary
	\$m	\$m	
External restrictions	29.5	21.2	External restrictions include unspent specific purpose grants, developer contributions, domestic waste management charges and levies.
Internal restrictions	9.2	25.6	
Unrestricted	(2.4)	(8.4)	
Cash and investments	36.3	38.4	Balances are internally restricted due to Council policy or decisions for forward plans including works program. The significant reduction in the balance was mainly due to the \$8.1 million decrease in Stronger Councils Funds. Unrestricted balances provide liquidity for day-to-day operations. The negative balance of \$2.4 million at 30 June 2020 relates to cash with internal restrictions utilised by the Council.

PERFORMANCE

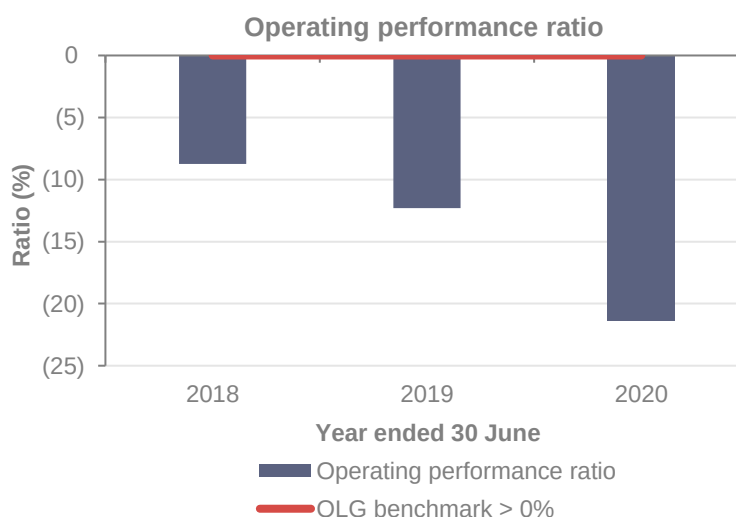
Performance measures

The following section provides an overview of the Council's performance against the performance measures and performance benchmarks set by the Office of Local Government (OLG) within the Department of Planning, Industry and Environment.

Operating performance ratio

The 'operating performance ratio' measures how well council contained operating expenditure within operating revenue (excluding capital grants and contributions, fair value adjustments, and reversal of revaluation decrements). The benchmark set by OLG is greater than zero per cent.

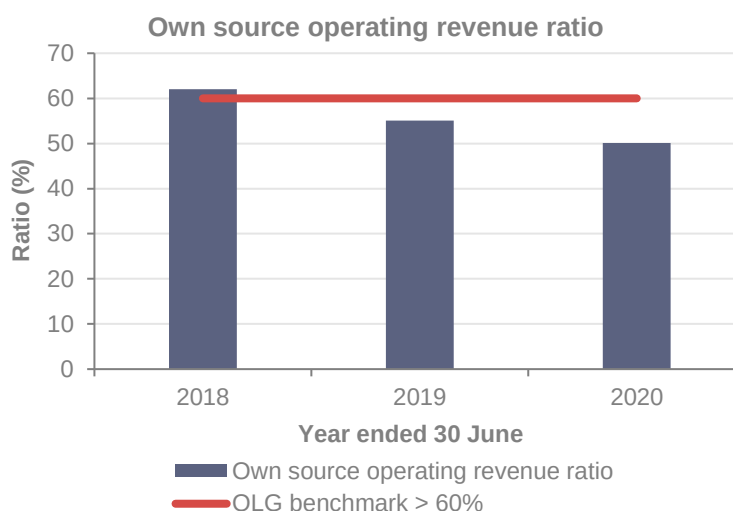
The Council did not meet the OLG benchmark for three consecutive reporting periods.



Own source operating revenue ratio

The 'own source operating revenue ratio' measures council's fiscal flexibility and the degree to which it relies on external funding sources such as operating grants and contributions. The benchmark set by OLG is greater than 60 per cent.

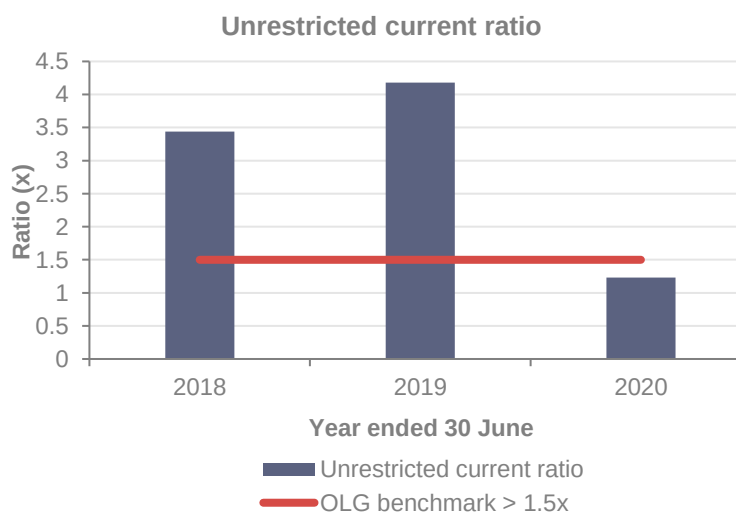
The Council's own source operating ratio of 50.1 per cent does not exceed the OLG benchmark for the current reporting period with a slight decrease from prior year.



Unrestricted current ratio

The 'unrestricted current ratio' is specific to local government and represents council's ability to meet its short-term obligations as they fall due. The benchmark set by OLG is greater than 1.5 times.

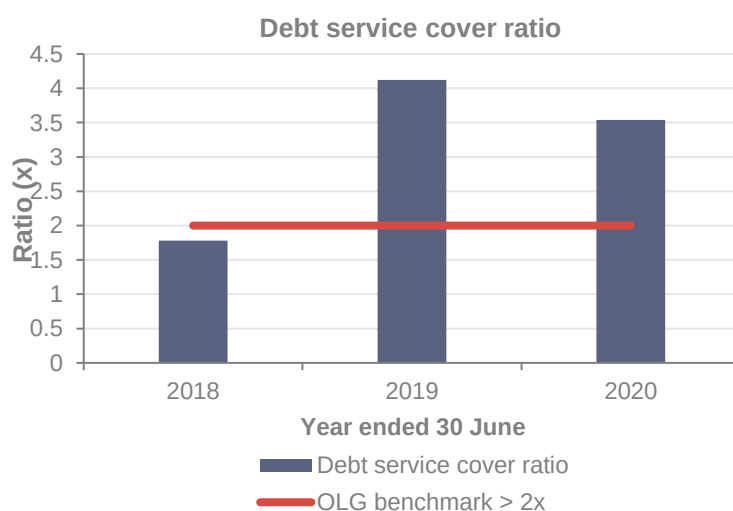
The current year ratio of 1.2 did not meet the OLG benchmark. It is lower compared to 2018-19 due to the combined effect of lower current assets and higher current liabilities.



Debt service cover ratio

The 'debt service cover ratio' measures the operating cash to service debt including interest, principal and lease payments. The benchmark set by OLG is greater than two times.

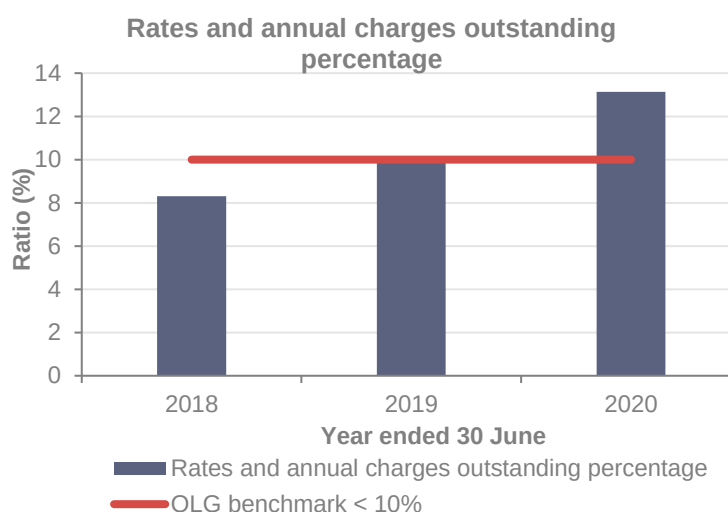
The Council has met the OLG benchmark for the current reporting period.



Rates, annual charges, interest and extra charges outstanding percentage

The 'rates and annual charges outstanding percentage' assesses the impact of uncollected rates and annual charges on council's liquidity and the adequacy of debt recovery efforts. The benchmark set by OLG is less than 10 per cent for regional and rural councils.

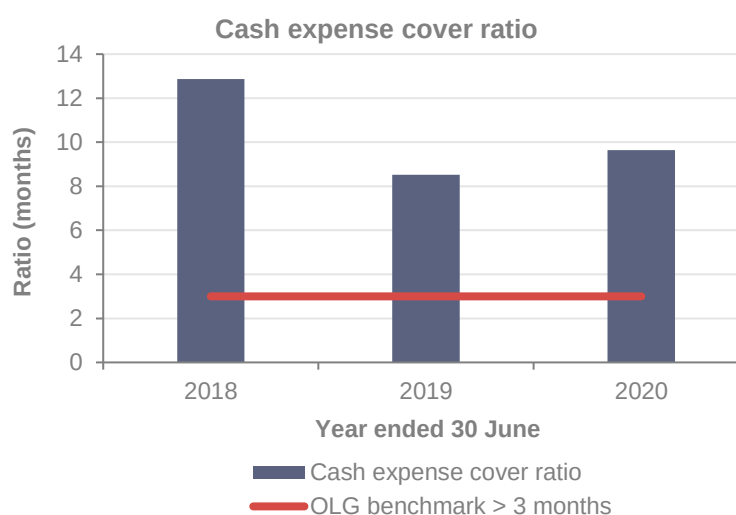
The Council did not meet the OLG benchmark for the current reporting period because the collection of rates was mainly impacted by COVID-19.



Cash expense cover ratio

This liquidity ratio indicates the number of months the council can continue paying for its immediate expenses without additional cash inflow. The benchmark set by OLG is greater than three months.

The Council exceeded the OLG benchmark for the current reporting period.



OTHER MATTERS

Impact of new accounting standards

AASB 15 'Revenue from Contracts with Customers' and AASB 1058 'Income for Not-for-Profit Entities'

The Council adopted the new accounting standards AASB 15 'Contracts with Customers' and AASB 1058 'Income of Not-for-Profit Entities' (collectively referred to as the Revenue Standards) for the first time in their 2019–20 financial statements.

AASB 15 introduces a new approach to recognising revenue based on the principle that revenue is recognised when control of a good or service transfers to a customer. AASB 15 impacts the timing and amount of revenue recorded in a councils' financial statements, particularly for grant revenue. AASB 15 also increases the amount of disclosures required.

AASB 1058 prescribes how not-for-profit entities account for transactions conducted on non-commercial terms and the receipt of volunteer services. AASB 1058 significantly impacts the

timing and amount of income recorded in a councils' financial statements, particularly for grant income and rates which are paid before the commencement of the rating period.

The Council recognised a \$13.8 million adjustment to opening accumulated surplus at 1 July 2019 on adoption of the new Revenue Standards.

The Council disclosed the impact of adopting the new Revenue Standards in Note 15.

AASB 16 'Leases'

The Council adopted the new accounting standard AASB 16 'Leases' for the first time in their 2019–20 financial statements.

AASB 16 changes the way lessees treat operating leases for financial reporting. With a few exceptions, operating leases will now be recorded in the Statement of Financial Position as a right-of-use asset, with a corresponding lease liability.

AASB 16 results in lessees recording more assets and liabilities in the Statement of Financial Position and changes the timing and pattern of expenses recorded in the Income Statement.

The Council recognised right-of-use assets of \$640,439 and lease liabilities of \$640,439 at 1 July 2019 on adoption of AASB 16.

The Council disclosed the impact of adopting AASB 16 in Note 15.

Legislative compliance

My audit procedures did not identify any instances of non-compliance with legislative requirements or a material deficiency in the Council's accounting records or financial statements. The Council's:

- accounting records were maintained in a manner and form to allow the GPFS to be prepared and effectively audited
- staff provided all accounting records and information relevant to the audit.

The Council's:

- accounting records were maintained in a manner and form that facilitated the preparation and the effective audit of the general-purpose financial statements
- staff provided all accounting records and information relevant to the audit.



Dominika Ryan
Director, Financial Audit

cc: Mr Anthony O'Reilly, General Manager
Mr Andrew Fletcher, Chair of the Audit, Risk and Improvement Committee
Mr Jim Betts, Secretary of the Department of Planning, Industry and Environment

Hilltops Council

SPECIAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2020



Special Purpose Financial Statements

for the year ended 30 June 2020

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Background

- i. These Special Purpose Financial Statements have been prepared for the use by both Council and the Office of Local Government in fulfilling their requirements under National Competition Policy.
- ii. The principle of competitive neutrality is based on the concept of a 'level playing field' between persons/entities competing in a market place, particularly between private and public sector competitors.

Essentially, the principle is that government businesses, whether Commonwealth, state or local, should operate without net competitive advantages over other businesses as a result of their public ownership.

- iii. For Council, the principle of competitive neutrality and public reporting applies only to declared business activities.

These include **(a)** those activities classified by the Australian Bureau of Statistics as business activities being water supply, sewerage services, abattoirs, gas production and reticulation, and **(b)** those activities with a turnover of more than \$2 million that Council has formally declared as a business activity (defined as Category 1 activities).

- iv. In preparing these financial statements for Council's self-classified Category 1 businesses and ABS-defined activities, councils must **(a)** adopt a corporatisation model and **(b)** apply full cost attribution including tax-equivalent regime payments and debt guarantee fees (where the business benefits from Council's borrowing position by comparison with commercial rates).

Hilltops Council

Special Purpose Financial Statements

for the year ended 30 June 2020

Statement by Councillors and Management made pursuant to the Local Government Code of Accounting Practice and Financial Reporting

The attached Special Purpose Financial Statements have been prepared in accordance with:

- the NSW Government Policy Statement '*Application of National Competition Policy to Local Government*',
- the Division of Local Government Guidelines '*Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality*',
- the Local Government Code of Accounting Practice and Financial Reporting,
- the NSW Office of Water Best-Practice Management of Water and Sewerage Guidelines.

To the best of our knowledge and belief, these statements:

- present fairly the operating result and financial position for each of Council's declared business activities for the year, and
- accord with Council's accounting and other records.
- present overhead reallocation charges to the water and sewerage businesses as fair and reasonable.

We are not aware of any matter that would render these statements false or misleading in any way.

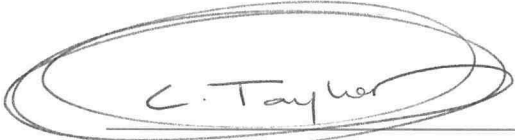
Signed in accordance with a resolution of Council made on 24 February 2021.



Clr Brian Ingram
Mayor
31 March 2021



Anthony O'Reilly
General Manager
31 March 2021



Courtney Taylor
Responsible Accounting Officer
31 March 2021

Income Statement – Water Supply Business Activity

for the year ended 30 June 2020

\$ '000	2020	2019
Income from continuing operations		
Access charges	3,033	2,911
User charges	5,200	6,537
Fees	1	4
Interest	119	375
Grants and contributions provided for non-capital purposes	–	51
Profit from the sale of assets	28	–
Other income	54	20
Total income from continuing operations	8,435	9,898
Expenses from continuing operations		
Employee benefits and on-costs	897	992
Materials and contracts	2,052	2,169
Depreciation, amortisation and impairment	960	981
Water purchase charges	3,438	3,535
Other expenses	91	92
Total expenses from continuing operations	7,438	7,769
Surplus (deficit) from continuing operations before capital amounts	997	2,129
Grants and contributions provided for capital purposes	89	13
Surplus (deficit) from continuing operations after capital amounts	1,086	2,142
Surplus (deficit) from all operations before tax	1,086	2,142
Less: corporate taxation equivalent (27.5%) [based on result before capital]	(274)	(585)
SURPLUS (DEFICIT) AFTER TAX	812	1,557
Plus opening retained profits	54,718	52,576
Less:		
– Corporate taxation equivalent	274	585
Plus adjustments for amounts unpaid:		
Closing accumulated surplus	55,804	54,718
Return on capital %	2.4%	5.1%
Subsidy from Council	–	–
Calculation of dividend payable:		
Surplus (deficit) after tax	812	1,557
Less: capital grants and contributions (excluding developer contributions)	(89)	(13)
Surplus for dividend calculation purposes	723	1,544
Potential dividend calculated from surplus	361	772

Income Statement – Sewerage Business Activity

for the year ended 30 June 2020

\$ '000	2020	2019
Income from continuing operations		
Access charges	4,255	4,108
User charges	24	44
Liquid trade waste charges	1	23
Fees	13	95
Interest	46	110
Profit from the sale of assets	20	–
Total income from continuing operations	4,359	4,380
Expenses from continuing operations		
Employee benefits and on-costs	720	888
Borrowing costs	302	324
Materials and contracts	842	976
Depreciation, amortisation and impairment	1,395	1,188
Other expenses	70	88
Total expenses from continuing operations	3,329	3,464
Surplus (deficit) from continuing operations before capital amounts	1,030	916
Grants and contributions provided for capital purposes	20	9
Surplus (deficit) from continuing operations after capital amounts	1,050	925
Surplus (deficit) from all operations before tax	1,050	925
Less: corporate taxation equivalent (27.5%) [based on result before capital]	(283)	(252)
SURPLUS (DEFICIT) AFTER TAX	767	673
Plus opening retained profits	38,946	38,021
Less:		
– Corporate taxation equivalent	283	252
Plus adjustments for amounts unpaid:		
Closing accumulated surplus	39,996	38,946
Return on capital %	2.9%	2.7%
Subsidy from Council	–	–
Calculation of dividend payable:		
Surplus (deficit) after tax	767	673
Less: capital grants and contributions (excluding developer contributions)	(20)	(9)
Surplus for dividend calculation purposes	747	664
Potential dividend calculated from surplus	373	332

Income Statement – South West Regional Waste Management Group

for the year ended 30 June 2020

\$ '000	2020 Category 2	2019 Category 2
Income from continuing operations		
Interest	19	115
Grants and contributions provided for non-capital purposes	2,067	1,871
Total income from continuing operations	2,086	1,986
Expenses from continuing operations		
Employee benefits and on-costs	8	6
Materials and contracts	1,455	1,475
Depreciation, amortisation and impairment	138	159
Other expenses	16	15
Total expenses from continuing operations	1,617	1,655
Surplus (deficit) from continuing operations before capital amounts	469	331
Surplus (deficit) from continuing operations after capital amounts	469	331
Surplus (deficit) from all operations before tax	469	331
Less: corporate taxation equivalent (27.5%) [based on result before capital]	(2)	–
SURPLUS (DEFICIT) AFTER TAX	467	331
Plus opening retained profits	4,103	3,772
Closing accumulated surplus	4,570	4,103
Return on capital %	74.7%	43.2%

Income Statement – South West Rural Fire Zone

for the year ended 30 June 2020

\$ '000	2020 Category 2	2019 Category 2
Income from continuing operations		
Interest	1	–
Grants and contributions provided for non-capital purposes	–	16
Total income from continuing operations	1	16
Expenses from continuing operations		
Employee benefits and on-costs	–	5
Materials and contracts	22	4
Other expenses	1	6
Total expenses from continuing operations	23	15
Surplus (deficit) from continuing operations before capital amounts	(22)	1
Surplus (deficit) from continuing operations after capital amounts	(22)	1
Surplus (deficit) from all operations before tax	(22)	1
SURPLUS (DEFICIT) AFTER TAX	(22)	1
Plus opening retained profits	116	115
Closing accumulated surplus	94	116
Subsidy from Council	22	–

Statement of Financial Position – Water Supply Business Activity

as at 30 June 2020

\$ '000	2020	2019
ASSETS		
Current assets		
Cash and cash equivalents	8,647	5,354
Investments	8,065	8,064
Receivables	2,595	2,304
Total current assets	19,307	15,722
Non-current assets		
Infrastructure, property, plant and equipment	42,408	41,466
Total non-current assets	42,408	41,466
TOTAL ASSETS	61,715	57,188
LIABILITIES		
Current liabilities		
Payables	227	652
Borrowings	332	–
Provisions	228	314
Total current liabilities	787	966
Non-current liabilities		
Borrowings	3,227	–
Total non-current liabilities	3,227	–
TOTAL LIABILITIES	4,014	966
NET ASSETS	57,701	56,222
EQUITY		
Accumulated surplus	55,804	54,718
Revaluation reserves	1,897	1,504
TOTAL EQUITY	57,701	56,222

Statement of Financial Position – Sewerage Business Activity

as at 30 June 2020

\$ '000	2020	2019
ASSETS		
Current assets		
Cash and cash equivalents	4,448	(110)
Investments	1,077	1,075
Receivables	638	453
Total current assets	6,163	1,418
Non-current assets		
Infrastructure, property, plant and equipment	46,248	46,573
Total non-current assets	46,248	46,573
TOTAL ASSETS	52,411	47,991
LIABILITIES		
Current liabilities		
Payables	19	43
Borrowings	728	394
Provisions	121	165
Total current liabilities	868	602
Non-current liabilities		
Borrowings	9,702	7,029
Total non-current liabilities	9,702	7,029
TOTAL LIABILITIES	10,570	7,631
NET ASSETS	41,841	40,360
EQUITY		
Accumulated surplus	39,996	38,946
Revaluation reserves	1,845	1,414
TOTAL EQUITY	41,841	40,360

Statement of Financial Position – South West Regional Waste Management Group

as at 30 June 2020

\$ '000	2020 Category 2	2019 Category 2
ASSETS		
Current assets		
Cash and cash equivalents	3,692	3,178
Receivables	355	338
Total current assets	4,047	3,516
Non-current assets		
Infrastructure, property, plant and equipment	628	767
Total non-current assets	628	767
TOTAL ASSETS	4,675	4,283
LIABILITIES		
Current liabilities		
Payables	101	178
Total current liabilities	101	178
TOTAL LIABILITIES	101	178
NET ASSETS	4,574	4,105
EQUITY		
Accumulated surplus	4,572	4,103
Revaluation reserves	2	2
TOTAL EQUITY	4,574	4,105

Statement of Financial Position – South West Rural Fire Zone

as at 30 June 2020

\$ '000	2020 Category 2	2019 Category 2
ASSETS		
Current assets		
Cash and cash equivalents	93	118
Receivables	1	1
Total current assets	94	119
TOTAL ASSETS	94	119
LIABILITIES		
Current liabilities		
Payables	–	3
Total current liabilities	–	3
TOTAL LIABILITIES	–	3
NET ASSETS	94	116
EQUITY		
Accumulated surplus	94	116
<u>TOTAL EQUITY</u>	<u>94</u>	<u>116</u>

Notes to the Special Purpose Financial Statements for the year ended 30 June 2020

Note 1. Significant Accounting Policies

A statement summarising the supplemental accounting policies adopted in the preparation of the Special Purpose Financial Statements (SPFS) for National Competition Policy (NCP) reporting purposes follows.

These financial statements are SPFS prepared for use by Council and the Office of Local Government. For the purposes of these statements, the Council is a non-reporting not-for-profit entity.

The figures presented in these Special Purpose Financial Statements have been prepared in accordance with the recognition and measurement criteria of relevant Australian Accounting Standards, other authoritative pronouncements of the Australian Accounting Standards Board (AASB) and Australian Accounting Interpretations.

The disclosures in these Special Purpose Financial Statements have been prepared in accordance with the Local Government Act 2093 (NSW), the *Local Government (General) Regulation 2005*, and the Local Government Code of Accounting Practice and Financial Reporting.

The statements are prepared on an accruals basis. They are based on historic costs and do not take into account changing money values or, except where specifically stated, current values of non-current assets. Certain taxes and other costs, appropriately described, have been imputed for the purposes of the National Competition Policy.

The Statement of Financial Position includes notional assets/liabilities receivable from/payable to Council's general fund. These balances reflect a notional intra-entity funding arrangement with the declared business activities.

National Competition Policy

Council has adopted the principle of 'competitive neutrality' in its business activities as part of the National Competition Policy which is being applied throughout Australia at all levels of government.

The framework for its application is set out in the June 1996 NSW government policy statement titled 'Application of National Competition Policy to Local Government'.

The *Pricing and Costing for Council Businesses, A Guide to Competitive Neutrality* issued by the Office of Local Government in July 1997 has also been adopted.

The pricing and costing guidelines outline the process for identifying and allocating costs to activities and provide a standard for disclosure requirements.

These disclosures are reflected in Council's pricing and/or financial reporting systems and include taxation equivalents, Council subsidies, return on investments (rate of return), and dividends paid.

Declared business activities

In accordance with *Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality*, Council has declared that the following are to be considered as business activities:

Category 1

(where gross operating turnover is over \$2 million)

a. Hilltops Water Supply

Provision of reticulated water to the community of Hilltops.

b. Hilltops Sewerage Services

Provision of sewerage services to the community of Hilltops.

Category 2

(where gross operating turnover is less than \$2 million)

a. South West Slopes Regional Waste Management Group

b. South West Rural Fire Service

Notes to the Special Purpose Financial Statements for the year ended 30 June 2020

Note 1. Significant Accounting Policies (continued)

Monetary amounts

Amounts shown in the financial statements are in Australian dollars and rounded to the nearest one thousand dollars.

(i) Taxation equivalent charges

Council is liable to pay various taxes and financial duties. Where this is the case, they are disclosed as a cost of operations just like all other costs.

However, where Council does not pay some taxes which are generally paid by private sector businesses, such as income tax, these equivalent tax payments have been applied to all Council-nominated business activities and are reflected in Special Purpose Financial Statements.

For the purposes of disclosing comparative information relevant to the private sector equivalent, the following taxation equivalents have been applied to all Council-nominated business activities (this does not include Council's non-business activities):

Notional rate applied (%)

Corporate income tax rate – 27.5%

Land tax – the first \$692,000 of combined land values attracts 0%. For the combined land values in excess of \$692,001 up to \$4,231,000 the rate is 1.6% + \$100. For the remaining combined land value that exceeds \$4,231,000 a premium marginal rate of 2.0% applies.

Payroll tax – 5.45% on the value of taxable salaries and wages in excess of \$850,000.

In accordance with the Department of Industry (DoI) – Water guidelines, a payment for the amount calculated as the annual tax equivalent charges (excluding income tax) must be paid from water supply and sewerage business activities.

The payment of taxation equivalent charges, referred to in the DoI – Water guidelines as a 'dividend for taxation equivalent', may be applied for any purpose allowed under the *Local Government Act, 1993*.

Achievement of substantial compliance to the DoI – Water guidelines is not a prerequisite for the payment of the tax equivalent charges, however the payment must not exceed \$3 per assessment.

Income tax

An income tax equivalent has been applied on the profits of the business activities.

Whilst income tax is not a specific cost for the purpose of pricing a good or service, it needs to be taken into account in terms of assessing the rate of return required on capital invested.

Accordingly, the return on capital invested is set at a pre-tax level - gain/(loss) from ordinary activities before capital amounts, as would be applied by a private sector competitor. That is, it should include a provision equivalent to the corporate income tax rate, currently 27.5%.

Income tax is only applied where a gain/ (loss) from ordinary activities before capital amounts has been achieved.

Since the taxation equivalent is notional – that is, it is payable to Council as the 'owner' of business operations - it represents an internal payment and has no effect on the operations of the Council. Accordingly, there is no need for disclosure of internal charges in the SPFS.

The rate applied of 27.5% is the equivalent company tax rate prevalent at reporting date. No adjustments have been made for variations that have occurred during the year.

Local government rates and charges

A calculation of the equivalent rates and charges payable on all category 1 businesses has been applied to all land assets owned or exclusively used by the business activity.

Notes to the Special Purpose Financial Statements for the year ended 30 June 2020

Note 1. Significant Accounting Policies (continued)

Loan and debt guarantee fees

The debt guarantee fee is designed to ensure that council business activities face 'true' commercial borrowing costs in line with private sector competitors.

In order to calculate a debt guarantee fee, Council has determined what the differential borrowing rate would have been between the commercial rate and Council's borrowing rate for its business activities.

(ii) Subsidies

Government policy requires that subsidies provided to customers, and the funding of those subsidies, must be explicitly disclosed.

Subsidies occur when Council provides services on a less-than-cost-recovery basis. This option is exercised on a range of services in order for Council to meet its community service obligations.

Accordingly, 'subsidies disclosed' (in relation to National Competition Policy) represents the difference between revenue generated from 'rate of return' pricing and revenue generated from prices set by Council in any given financial year.

The overall effect of subsidies is contained within the Income Statement of each reported business activity.

(iii) Return on investments (rate of return)

The NCP policy statement requires that councils with Category 1 businesses 'would be expected to generate a return on capital funds employed that is comparable to rates of return for private businesses operating in a similar field'.

Such funds are subsequently available for meeting commitments or financing future investment strategies.

The actual rate of return achieved by each business activity is disclosed at the foot of each respective Income Statement.

The rate of return is calculated as follows:

Operating result before capital income + interest expense

Written down value of I,PP&E as at 30 June

As a minimum, business activities should generate a return equal to the Commonwealth 10 year bond rate which is 0.88% at 30/6/20.

(iv) Dividends

Council is not required to pay dividends to either itself (as owner of a range of businesses) or to any external entities.

Local government water supply and sewerage businesses are permitted to pay an annual dividend from its water supply or sewerage business surplus.

Each dividend must be calculated and approved in accordance with the Department of Industry – Water guidelines and must not exceed:

- 550% of this surplus in any one year, or
- the number of water supply or sewerage assessments at 30 June 2020 multiplied by \$30 (less the payment for tax equivalent charges, not exceeding \$3 per assessment).

In accordance with the Department of Industry – Water guidelines a Dividend Payment form, Statement of Compliance, Unqualified Independent Financial Audit Report and Compliance Audit Report are required to be submitted to the Department of Industry – Water.

INDEPENDENT AUDITOR'S REPORT

Report on the Special Purpose Financial Statements

Hilltops Council

To the Councillors of Hilltops Council

Opinion

I have audited the accompanying special purpose financial statements (the financial statements) of Hilltops Council's (the Council) Declared Business Activities, which comprise the Statement by Councillors and Management, the Income Statement of each Declared Business Activity for the year ended 30 June 2020, the Statement of Financial Position of each Declared Business Activity as at 30 June 2020 and Note 1 Significant accounting policies for the Business Activities declared by Council.

The Declared Business Activities of the Council are:

- Water Supply
- Sewerage
- South West Regional Waste Management Group
- South West Rural Fire Zone.

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Council's declared Business Activities as at 30 June 2020, and their financial performance for the year then ended, in accordance with the Australian Accounting Standards described in Note 1 and the Local Government Code of Accounting Practice and Financial Reporting – update number 28 (LG Code).

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as the auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to Note 1 to the financial statements which describes the basis of accounting. The financial statements have been prepared for the purpose of fulfilling the Council's financial reporting responsibilities under the LG Code. As a result, the financial statements may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2020 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and Special Schedule 'Permissible income for general rates'.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements and for determining that the accounting policies, described in Note 1 to the financial statements, are appropriate to meet the requirements in the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in cursive script, appearing to read 'D Ryan'.

Dominika Ryan
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

31 March 2021
SYDNEY

Hilltops Council

SPECIAL SCHEDULES
for the year ended 30 June 2020



Special Schedules
for the year ended 30 June 2020

Contents	Page
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Permissible income for general rates	3
Report on Infrastructure Assets – Values	8

Permissible income for general rates

\$ '000	Notes	Calculation 2020/21	Calculation 2019/20
Permissible income calculation			
Plus (or minus) last year's carry forward total	l	12,860	12,860
Sub-total	$n = (l + m)$	12,860	12,860
Total permissible income	$o = k + n$	12,860	12,860
Catch-up or (excess) result	$q = o - p$	12,860	—
Carry forward to next year ⁶	$t = q + r + s$	12,860	—

Notes

- ⁽⁶⁾ Carry forward amounts which are in excess (an amount that exceeds the permissible income) require ministerial approval by order published in the NSW Government Gazette in accordance with section 512 of the Local Government Act 1993. The OLG will extract these amounts from Council's Permissible income for general rates Statement in the financial data return (FDR) to administer this process.

Permissible income for general rates (continued)

		2020/21 Former Boorowa Council	2020/21 Former Harden Shire Council	2020/21 Former Young Shire Council	2020/21 Hilltops Council	2019/20 Former Boorowa Council	2019/20 Former Harden Shire Council	2019/20 Former Young Shire Council	2019/20 Hilltops Council
\$ '000	Notes								
Notional general income calculation ¹									
Last year notional general income yield	a	2,670	3,058	7,761	13,489	2,582	2,965	7,489	13,036
Plus or minus adjustments ²	b	—	—	—	—	—	1	15	16
Notional general income	c = a + b	2,670	3,058	7,761	13,489	2,582	2,966	7,504	13,052
Permissible income calculation									
Or rate peg percentage	e	0.00%	0.00%	0.00%		2.70%	2.70%	2.70%	
Or plus rate peg amount	i = e x (c + g)	—	—	—	—	70	80	203	353
Sub-total	k = (c + g + h + i + j)	2,670	3,058	7,761	13,489	2,652	3,046	7,707	13,405
Plus (or minus) last year's carry forward total	l	(1)	1	(5)	(5)	17	13	49	79
Sub-total	n = (l + m)	(1)	1	(5)	(5)	17	13	49	79
Total permissible income	o = k + n	2,669	3,059	7,756	13,484	2,669	3,059	7,756	13,484
Less notional general income yield	p	—	—	—	—	2,670	3,058	7,761	13,489
Catch-up or (excess) result	q = o - p	2,669	3,059	7,756	13,484	—	—	—	—
Carry forward to next year ⁶	t = q + r + s	2,669	3,059	7,756	13,484	—	—	—	—

Audit Report

Notes

- The notional general income will not reconcile with rate income in the financial statements in the corresponding year. The statements are reported on an accrual accounting basis which include amounts that relate to prior years' rates income.
- Adjustments account for changes in the number of assessments and any increase or decrease in land value occurring during the year. The adjustments are called 'supplementary valuations' as defined in the Valuation of Land Act 1916.
- Carry forward amounts which are in excess (an amount that exceeds the permissible income) require ministerial approval by order published in the NSW Government Gazette in accordance with section 512 of the Local Government Act 1993. The OLG will extract these amounts from Council's Permissible income for general rates Statement in the financial data return (FDR) to administer this process.



INDEPENDENT AUDITOR'S REPORT

Special Schedule - Permissible income for general rates

Hilltops Council

To the Councillors of Hilltops Council

Opinion

I have audited the accompanying Special Schedule – Permissible income for general rates (the Schedule) of Hilltops Council (the Council) for the year ending 30 June 2021.

In my opinion, the Schedule is prepared, in all material respects in accordance with the requirements of the Local Government Code of Accounting Practice and Financial Reporting – update number 28 (LG Code), and is in accordance with the books and records of the Council.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Schedule' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the special purpose framework used to prepare the Schedule. The Schedule has been prepared for the purpose of fulfilling the Council's reporting obligations under the LG Code. As a result, the Schedule may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2020 includes other information in addition to the Schedule and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the General Purpose Financial Statements, Special Purpose Financial Statements and Special Schedule 'Report on infrastructure assets as at 30 June 2020.

My opinion on the Schedule does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the General Purpose Financial Statements and the Special Purpose Financial Statements.

In connection with my audit of the Schedule, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Schedule or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Schedule

The Councillors are responsible for the preparation of the Schedule in accordance with the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation of the Schedule that is free from material misstatement, whether due to fraud or error.

In preparing the Schedule, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Schedule

My objectives are to:

- obtain reasonable assurance whether the Schedule as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the Schedule.

A description of my responsibilities for the audit of the Schedule is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar8.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited Schedule on any website where it may be presented
- about any other information which may have been hyperlinked to/from the Schedule.

A handwritten signature in cursive script, reading "D Ryan".

Dominika Ryan
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

31 March 2021
SYDNEY

Report on Infrastructure Assets

as at 30 June 2020

Asset Class	Asset Category	Estimated cost	Estimated cost	2019/20	2019/20	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		to bring assets to satisfactory standard	to bring to the agreed level of service set by Council	Required maintenance ^a	Actual maintenance			1	2	3	4	5
		\$ '000	\$ '000	\$ '000	\$ '000							
(a) Report on Infrastructure Assets - Values												
Buildings	Specialisd Buildings	153	6	138	143	10,814	23,977	2.0%	6.0%	89.0%	3.0%	0.0%
	Non Specialised Buildings	1,532	37	474	483	53,316	99,507	0.0%	24.0%	62.0%	8.0%	6.0%
	Specialised Buildings Water	–	–	1	1	–	18	100.0%	0.0%	0.0%	0.0%	0.0%
	Specialised Buildings Sewer	24	13	4	5	620	804	26.0%	0.0%	30.0%	0.0%	44.0%
	Sub-total	1,709	56	617	632	64,751	124,306	0.6%	20.4%	67.0%	7.0%	5.1%
Other structures	Other structures	395	370	90	–	8,137	13,099	32.0%	15.0%	29.0%	24.0%	0.0%
	Sub-total	395	370	90	–	8,137	13,099	32.0%	15.0%	29.0%	24.0%	0.0%
Roads	Bridges	1,820	381	740	151	33,199	61,491	0.0%	0.0%	0.0%	0.0%	100.0%
	Footpaths	55	10	55	149	6,222	8,849	0.0%	0.0%	0.0%	0.0%	100.0%
	K&G	255	89	133	49	8,154	16,903	0.0%	0.0%	0.0%	0.0%	100.0%
	Roads	8,712	2,175	4,339	5,457	238,746	366,907	0.0%	0.0%	0.0%	0.0%	100.0%
	Earthworks	–	–	–	–	129,481	129,481	0.0%	0.0%	0.0%	0.0%	100.0%
	Sub-total	10,842	2,655	5,267	5,806	413,345	583,631	0.0%	0.0%	0.0%	0.0%	100.0%
Water supply network	Water supply network	1,564	597	535	673	37,270	65,033	10.0%	37.0%	46.0%	3.0%	4.0%
	Reservoirs	1,489	595	90	68	763	1,251	24.0%	8.0%	22.0%	15.0%	31.0%
	Pump Stations	48	–	46	15	4,298	9,781	44.0%	11.0%	27.0%	18.0%	0.0%
	Other	–	–	85	29	25	31	100.0%	0.0%	0.0%	0.0%	0.0%
	Sub-total	3,101	1,192	756	785	42,356	76,096	14.6%	33.2%	43.1%	5.1%	3.9%
Sewerage network	Sewerage network	1,532	19	251	76	27,801	45,102	24.0%	13.0%	43.0%	19.0%	1.0%
	Treatment Plant	2,545	1,276	389	372	16,055	25,697	70.0%	1.0%	4.0%	0.0%	25.0%
	Pump Stations	190	80	51	75	827	2,081	4.0%	13.0%	57.0%	7.0%	19.0%
	Other	562	284	131	51	368	1,775	0.0%	21.0%	0.0%	0.0%	79.0%
	Sub-total	4,829	1,659	822	574	45,051	74,655	38.7%	9.1%	28.9%	11.7%	11.6%

Report on Infrastructure Assets - Values (continued)

as at 30 June 2020

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2019/20 Required maintenance ^a	2019/20 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000			1	2	3	4	5
Stormwater drainage	Stormwater drainage	72	1	45	145	8,620	24,719	2.0%	4.0%	93.0%	1.0%	0.0%
	Stormwater Pits	67	—	64	—	2,320	4,210	27.0%	3.0%	61.0%	9.0%	0.0%
	Stormwater Headwalls	62	—	1	—	757	1,177	56.0%	2.0%	16.0%	26.0%	0.0%
	Pollutant Traps	—	—	6	—	157	173	0.0%	0.0%	100.0%	0.0%	0.0%
	Other	—	—	18	—	159	310	0.0%	0.0%	100.0%	0.0%	0.0%
	Sub-total	201	1	134	145	12,013	30,589	7.5%	3.7%	85.7%	3.0%	0.0%
Open space / recreational assets	Swimming pools	845	307	366	137	8,099	12,645	0.0%	29.0%	46.0%	18.0%	7.0%
	Other	235	5	226	101	8,500	13,821	32.0%	16.0%	42.0%	10.0%	0.0%
	Sub-total	1,080	312	592	238	16,599	26,466	16.7%	22.2%	43.9%	13.8%	3.3%
TOTAL - ALL ASSETS		22,157	6,245	8,278	8,180	602,252	928,842	5.6%	7.1%	19.3%	3.1%	64.9%

(a) Required maintenance is the amount identified in Council's asset management plans.

Infrastructure asset condition assessment 'key'

1	Excellent/very good	No work required (normal maintenance)
2	Good	Only minor maintenance work required
3	Satisfactory	Maintenance work required
4	Poor	Renewal required
5	Very poor	Urgent renewal/upgrading required

Report on Infrastructure Assets (continued)

as at 30 June 2020

\$ '000	Amounts 2020	Indicator 2020	Prior periods 2019 2018		Benchmark
Infrastructure asset performance indicators (consolidated) *					
Buildings and infrastructure renewals ratio ¹					
Asset renewals ²	9,002	58.87%	57.15%	104.72%	>=100.00%
Depreciation, amortisation and impairment	15,291				
Infrastructure backlog ratio ¹					
Estimated cost to bring assets to a satisfactory standard	22,157	3.68%	4.12%	4.21%	<2.00%
Net carrying amount of infrastructure assets	602,252				
Asset maintenance ratio					
Actual asset maintenance	8,180	98.82%	99.51%	99.03%	>100.00%
Required asset maintenance	8,278				
Cost to bring assets to agreed service level					
Estimated cost to bring assets to an agreed service level set by Council	6,245	0.67%	0.74%	0.74%	
Gross replacement cost	928,842				

(*) All asset performance indicators are calculated using classes identified in the previous table.

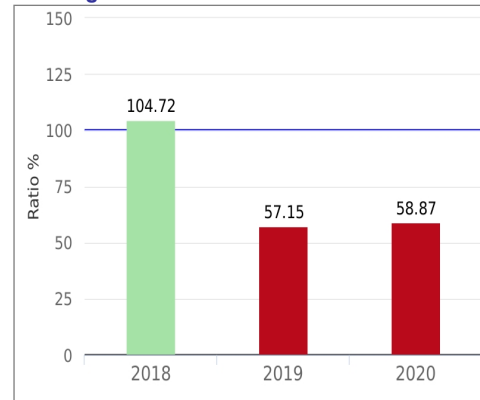
(1) Excludes Work In Progress (WIP)

(2) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

Report on Infrastructure Assets (continued)

as at 30 June 2020

Buildings and infrastructure renewals ratio



Buildings and infrastructure renewals ratio

To assess the rate at which these assets are being renewed relative to the rate at which they are depreciating.

Commentary on result

19/20 ratio 58.87%

A continued major increase in capital expenditure on new assets in this financial year this has maintained the significant deterioration in the buildings and infrastructure renewals ratio this year. Council will need to reassess investment in renewal assets in the long term financial plan in order to achieve the benchmark.

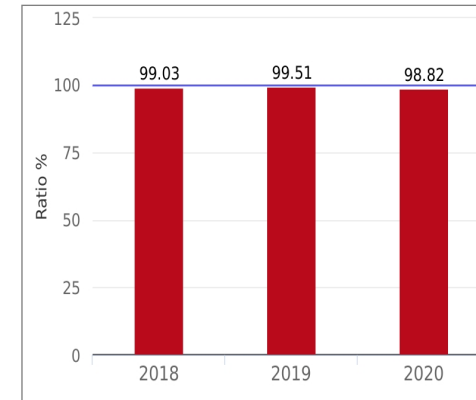
Benchmark: — $\geq 100.00\%$

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting #28

Ratio is outside benchmark

Asset maintenance ratio



Asset maintenance ratio

Compares actual vs. required annual asset maintenance. A ratio above 1.0 indicates Council is investing enough funds to stop the infrastructure backlog growing.

Commentary on result

19/20 ratio 98.82%

Council performance sits at the industry benchmark of 100% and indicates that Council is investing sufficient funds to prevent a growth in its infrastructure backlog.

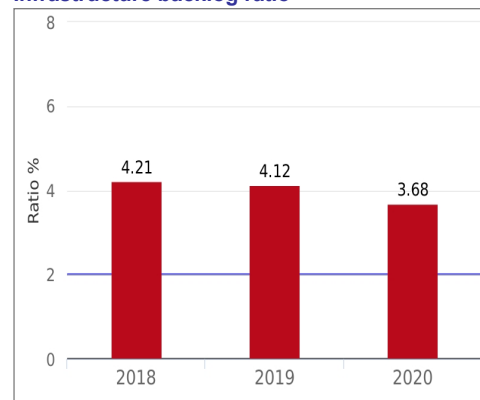
Benchmark: — $> 100.00\%$

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting #28

Ratio is outside benchmark

Infrastructure backlog ratio



Infrastructure backlog ratio

This ratio shows what proportion the backlog is against the total value of a Council's infrastructure.

Commentary on result

19/20 ratio 3.68%

Continued investment in infrastructure in 2019 and 2020 has resulted in a continued improvement in this ratio over the past two years. The increased capital expenditure has been facilitated by significant increases in capital government grants. Despite the increase in capital expenditure Council is still operating below the industry benchmark

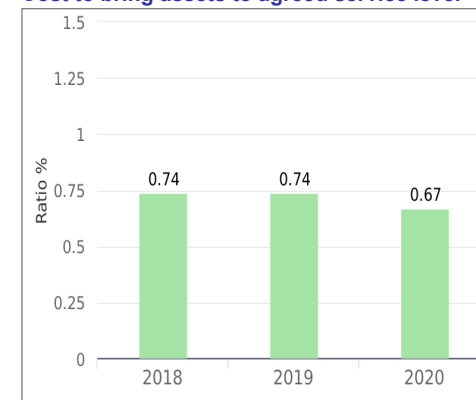
Benchmark: — $< 2.00\%$

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting #28

Ratio is outside benchmark

Cost to bring assets to agreed service level



Cost to bring assets to agreed service level

This ratio provides a snapshot of the proportion of outstanding renewal works compared to the total value of assets under Council's care and stewardship.

Commentary on result

19/20 ratio 0.67%

Council has maintained its performance on the cost to bring assets to an agreed service level compared with the 2019 financial year. As the level of Councils investment in new assets has been increasing it is expected that this ratio should continue to show some improvement

Report on Infrastructure Assets (continued)

as at 30 June 2020

\$ '000	General fund		Water fund		Sewer fund		Benchmark
	2020	2019	2020	2019	2020	2019	
Infrastructure asset performance indicators (by fund)							
Buildings and infrastructure renewals ratio ¹							
Asset renewals ²	69.19%	66.17%	0.00%	0.00%	0.00%	0.00%	>=100.00%
Depreciation, amortisation and impairment							
Infrastructure backlog ratio ¹							
Estimated cost to bring assets to a satisfactory standard	2.76%	3.16%	7.32%	7.40%	10.72%	10.61%	<2.00%
Net carrying amount of infrastructure assets							
Asset maintenance ratio							
Actual asset maintenance	101.81%	102.76%	103.84%	102.94%	69.83%	69.36%	>100.00%
Required asset maintenance							
Cost to bring assets to agreed service level							
Estimated cost to bring assets to an agreed service level set by Council	0.44%	0.49%	1.57%	1.60%	2.22%	2.24%	
Gross replacement cost							

(1) Excludes Work In Progress (WIP)

(2) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.